UTI AMC (UTIAMC)

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National Stock Exchange of India Limited
Exchange Plaza Plot No. C/1
G Block Bandra – Kurla Complex
Bandra (East) Mumbai – 400 051.
Scrip Symbol: UTIAMC BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai – 400 001.
Scrip Code / Symbol: 543238 / UTIAMC

Sub: Transcript of the Earnings Conference Call on financial performance for the quarter and financial year ended 31st March, 2023

Dear Sir / Madam,

Pursuant to Regulation 30 read with Schedule III Part A Para A of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 (the Listing Regulations) , we are forwarding herewith the transcript of the earnings conference call held on Thursday , the 27th April , 2023 on financial performance of the Company for the quarter and financial year ended 31st March , 202 3.

The transcript of the aforesaid earnings conference call is also available on the website of the Company a t www.utimf.com in compliance with Regulation 46 of the Listing Regulations.

We request you to kindly take the aforesaid information on rec ord and disseminate the same on your website.

Thanking you,

For UTI Asset Management Company Limited

Arvind Patkar
Company Secretary and Compliance Officer

Encl.: As above

UTI A sset Management Company Limited
Q4 FY23 Earnings Conference Call
April 27, 2023

Moderator: Ladies and gentlemen , Good Day and welcome to the UTI Asset Management Company Limited Q4FY23 Earnings Conference Call. From the management we have with us Mr. Imtaiyazur Rahman (CEO & Managing Director) ; Mr. Surojit Saha (Chief Financial Officer); Mr. Vinay Lakhotia (Head – Operations) & Mr. Sandeep Samsi (Head – Investor Relations and Cor porate Communications). We also have with us our investor relations team from Adfactors joining us on this call . As a reminder, all participant lines will be in listen -only mode, and you will be able to ask questions after the opening remarks conclude. If you need assistance during the conference, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded . Before we begin, I would like to mention that some of the statements made in today's discussion may be forward -looking in nature and may involve risks and uncertainties. Please note the disclaimer mentioning these risks and uncertainties are on the Disclaimer slide of the investor presentation that has been shared earlier. I will now hand the conference over to Mr. Imtaiyazur Rahman for opening remarks , thank you and over to you, Sir .

Imtaiyazur Rahman: Thank you very much. Good afternoon, everyone. Thank s for joining us today to discuss our operational and financial performance. Though the year witnessed some turbulence globally, the major economies world over, are taking measures to tackle the inflation in the best possible manner. It is also encouraging that these economies are taking all

possible measures to effectively manage the ris ing interest rate scenario and the challenges being faced by the financial sector.

The Indian economy too remains robust, receiving recognition globally for our economic resilience and growth prospects. Our mutual fund industry also has demonstrated resi lience and steadfast growth. Various factors like rising household savings, the broader geographical reach of financial products in Tier 2 and Tier 3 cities and the growing share of Mutual Funds in financial savings are positive factors that will help dri ve the development of the sector in a significant manner over the next decade.

The year was characterized by volatility in terms of inflows and outflows from Mutual Fund schemes . However, the flows into equity funds have been positive and so has been the SIP flow. The SIP contribution in March 2023

was Rs. 14,276 crore. The positive inflows into the Equity funds are testimony to retail investors’ confidence in the Indian equity markets and these investments are supporting the benchmark indices amidst investor sentiments.
The total Assets under Management for UTI Group registered a growth of about 15.4% over the corresponding quarter of the previous year and stood at Rs. 15.56 lakh crore as on 31st March 2023. This is the figure for entire UTI Group.

Friends, at UTI, we are focusing on the following five key objectives:

1. To be among the Best Board Governed Companies
Governance is one of the most important pillars on which UTI stands. 6 out of 10 Directors on the UTI AMC Board are Independent

Directors. UTI AMC Board along with the Boards of all our subsidiaries have women representation.

2. Building an A-class Human Cap ital
Realizing the importance of Human Capital in an investment organization like ours, we have been investing in acquiring, building and retaining talent with focus on gender diversity . Accordingly 32% of the hires in the last 4 years were women and curre ntly ~27% workforce is made up of women employees. We have initiated measures for Creche facility for our employees.
We have made significant investments to create state -of-art infrastructure for our investment team. We are also building the capabilities of our team. We have created customized training & development programs for employees at different levels.

3. Digital first organization
During the year, we saw very good response from Investors and Distributors in respect of our digital sales & digital engagements. Our Digital campaigns have resulted in influencing sales across all touch points of UTI AMC. We are in the final stages of re-launching

superior Digital Assets (Website & Mobile App) for our partners and Investors.

4. Geographical ex pansio n & financial awareness program
We are planning to open 29 new offices during the financial year 2023 -24 to reach newer markets across the country. Our Investment Team has been travelling to various locations all over India to spread awareness about our investment philosophy and processes. Considering the potential of the B30 cities, we already have 108 out of 166 UFCs in these locations.

5. Deeply embedded ESG-compliant framework:
We have formed an ESG Committee of the Board which provides guidance and oversight. We have in place a robust ESG framework covering all relevant aspects for planning and effective implementation. Friends, w e are using 100% renewable energy for our corporate office and have received a Green Energy certificate. During this mon th, we also published our first sustainability report. Under our Social initiatives, our CSR projects supplement our commitment to ESG for social upliftment and conservation of the environment.

Our subsidiaries for retirement business, alternate investmen t products and offshore funds are growing with expansion in operations & business.

I would like to share some highlights about our group companies.

UTI International which is a 100% subsidiary of UTI AMC, has formed a new subsidiary in the United States named UTI Investments America to capture the opportunities in North American markets.

At UTI Capital , we are building a strong team for opportunities in the Alternatives business space . We are also planning a series of fund launches such as the Real Esta te Opportunities Fund, and others in the alternate segment and are filing necessary documents with the regulators . While the company is fully capitalized, we have recorded a net loss of Rs. 3.3 crore due to various investments being made to build the busin ess.

UTI RSL . The Retirement business in the country is a very big opportunity and we have plans to expand our team and open new point s of presence across the country . The business

has been growing rapidly and we aim to capitalize further on the same and enhance NPS business.

To summarize, we initiated several progressive measures like building resources in sales & investment, enhancing engagement of fund managers with our distributors and partners, conducting investor awareness programmes , launching lear ning & development initiatives for employees, enhancing focus on KYC compliances, upgrading the infrastructure of the company as well as its subsidiaries. As, One of the positive developments, UTI was appointed as one of the asset managers for EPFO’s inve stment in ETFs for a period of 3 years and Central Public Sector Enterprises have also enabled a policy to continue their investments in all Mutual Funds including UTI.

In the financial year 2023 -24, the participation by retail investors in the Indian gr owth story is likely to be the key factor for the Indian markets in FY24. For this call, I have my distinguished colleagues Mr. Surojit Saha, Chief Financial Officer, Mr. Vinay Lakhotia, Head – Operations and Mr. Sandeep Samsi, Head - Investor Relations an d Marketing.

I will now hand it over to Mr. Sandeep Samsi, who will give the details of UTI MF's performance. Over to you Sandeep and thank you.

Sandeep Samsi: Thank you, Sir. I will first take you through UTI Mutual Fund's performance during the fourth quarter and for the full year FY 23.

UTI MF PERFORMANCE

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• The total Assets under Management for UTI Group registered a growth of about 15.4% over the corresponding quarter of the previous year and stood at Rs. 15.56 lakh crore as on 31st March 2023.
• For UTI Mutual Fund , the quarterly average AUM as 31st March 2023 stood at Rs. 2,38,791 crore, up 6.7% year on year against the industry growth of 5.6% .
• As on 31 March 2023, our market share has increased to 5.89% for the quarter ended.
• The QAAUM for Index & ETFs recorded a Year -on-Year growth of ~33% to Rs. 82,871 crore for the fourth quarter. Our Equity QAAUM for the quarter ended March 2023 stood at Rs. 70,494 crore, rising by ~2% as compared to the quarter ended March 2022.
• UTI was able to captur e market share of 8.5% of the gross sales of the industry during fourth quarter.
• UTI Mutual Fund recorded a net sale s of Rs. 1,208 crore for FY23.
• ETFs & Index Funds net inflows stood at Rs. 1,100 crore. Hybrid funds witnessed a n outflow of Rs. 719 crore for the quarter.
• During the quarter under review, UTI added 36,000 folios taking up the number of live folios to 1.22 crore as on 31st March 2023 from 1.19 crore as on 31st March 2022.
• Our SIP AUM witnessed a growth of 17. 5% over the corresponding quarte r of last year, reaching to Rs. 21,509 crore as of March 2023 from Rs. 18,311 crore as of March 2022.
• During the quarter, our number of new SIP accounts rose by 2.14 lakh taking the total numbers of live SIP folios to 25.2 lakh as of 31st March 2023.
• The S IP inflows for the quarter stood at Rs. 1,667 crore, rising by 12% year -on-year with the average SIP ticket size being Rs. 3,262 for March 2023.

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• 22% of our Monthly Average AUM for March 2023 came from B30 cities while the industry average stood at 17% in t erms of its B30 MAAUM.
• Weighted average AMC yield was at 35 bps for the quarter and was 37 bps for FY 23.

UTI AMC FINANCIALS
• During the fourth quarter, the Company posted a consolidated net profit of Rs. 86 crore , recording a growth of 43% QoQ and YoY growth of 59%.
• For the financial year 2023, the consolidated net profit stood at Rs. 437 crore.
• For UTI AMC Ltd (Standalone):
o The PAT of UTI AMC Ltd in Q4 FY23 was Rs. 98 Crore reflecting a growth of 31% YoY & a decline of 10% on a QoQ basis.
• For UTI Retir ement Solutions Ltd:
o UTI Retirement Solutions Ltd. has been managing the NPS corpus for the Government & non – Government sectors .
o The AUM for UTI RSL ha

s increased by ~19.2% to Rs. 2,40,709
crore in Q4 FY 23 and has a share of 26.78% of Industry AUM .
o PAT o f UTI RSL is at Rs. 46 crore, an increase of ~10%
compared to the corresponding quarter of last year.
• UTI International Ltd:
o UTI International has an AUM of Rs. 21,703 crore as of 31st
March 2023.
o Our international clients are across more than thirty -five
countries. These are primarily Inst itutions – Pensions,
Insurance, Banks, and Asset Managers.

o One of our flagship funds , the India Dynamic Equity fund
(IDEF) domiciled in Ireland, has an AUM of USD 852 million.
o UTI International's J Safra Sarasin Responsib le India Fund, an
ESG-compliant India fund, has an AUM of USD 75 million.
o UTI India Innovation Fund, launched in the first quarter of
the last financial year has an AUM of USD 19 million.
o The Management fees of UTI International are at Rs. 129
crore, an increase of 1.6% YoY from Rs. 127 Crore in Q4 FY22.

• UTI Capital Pvt. Ltd.:
o As Mr. Rahman highlighted, we are building this business.
o UTI Capital has a total AUM of Rs. 1,707 crore , currently
mana ging Active Debt Funds:
■ UTI Structured Debt Opportunities Fund (UTI SDOF)
I, launched in August 2017 and closed in May 2019,
having an AUM of Rs. 137 Crore. Currently , the fund
is in exit mode.
■ UTI SDOF II launched in September 2020, having an
AUM of Rs. 50 6 Crore, and the fund is currently in the
invest ing stage . UTI SDOF II has a well-defined ESG
Policy and strategy.
■ UTI Multi Opportunit y Fund I launched in March 2022
which has an AUM of Rs. 763 crore. Currently , the
Fund is in the Investing stage.
■ UTI SDOF III launched in September 2022, has an
AUM of Rs. 300 Crore, the fund is currently in the
fund -raising as well as Investing stage
• Employee Cost of the Group
■ Employee Cost of the group for FY 22 -23 was Rs. 415 crore
witnessing an increase of 2% over FY 21 -22.

■ Employee Cost of the group in Q4 FY23 was Rs. 107 crore
witnessing a decrease of 7% YoY as against the amount of Rs.
115 crore in Q4 FY22.

I would now request the Managing Director & CEO for his concluding
remarks.

Imtaiyazur Rahman: Than k you, Sandee p, for sharing operational financial highlights on this
call for the fourth quarter and financial 2022 -23. W ith this I would like
to open the forum for your questions and thank you for joining this c all
today.

Moderator: Thank you. Ladies and gentlemen, we will now begin the question and
answer session. We have the first question from line of Swarnabh
Mukherjee from B&K Securities . Please go ahead.

Swarnabh Mukherjee: Three questions from my s ide. The first one is on the yield. So there has
been a quarter -on-quarter drop in the yield. So just wanted to
understand what would be the factors driving there . The second
question is in terms of the other expenses . This had also seen some
amount of increase . So if you could highlight the rea sons behind that

increase. And thirdly, in terms of international business, the AUM for the business is now around Rs. 21,000 crore. So it has seen some reduction . Is it the Markets or anything else to read into this if you would highligh t that.

Vinay Lakhotia: Hi, this is Vinay here. So I'll take the questions on the yield and Surojit will take the questions o n other expenses as well as the international piece . On the yield part , the marginal decline of the yield of around half a basis point is primarily b ecause of the decline in the yield under the

equity category where the yield has actually fallen by close to around 2 basis point s during the last quarter . Two reason s for this - the fresh inflows are coming at a l ower yield as compared to the stock AU M and plus there has been a redemption of the older AU M which has been carrying a slightly higher yield. So these are the two primary factors because of which the yi

eld has actually come down marginally to around half a basis point a s compa red to the previous quarter.

Swarnabh Mukherjee: Sir, just to follow up, can you indicate what is the yield you are seeing on the stock AUM and the fresh AUM on the e quity segment right now ?

Vinay Lakhotia: On the stock AUM , the yield on the equity and the hybrid side, is around 75 basis points . I can't give an indicative number on the fresh AUM because the distribution mix between the distributor and the AMC varies depending on the categories of the IFA and the distributor. But normally t he distribution is within the range of around 50 % to 80% of the total expense ratios of the fund, so an indicative range won't be possible .

Swarnabh Mukherjee: OK, got it, Sir.

Surojit Saha: In respect of the other expe nses, the increase is around Rs. 16 crore from Rs. 56 crore in Q3 to Rs. 72 crore in Q4, which includes expenses like an amount of Rs. 4 crore towa rds CSR. CSR amount has to be booked on actual outflow and it is not based on the accrual basis. The actual payment was in the last quarter . Though there was a commitment towards CSR in Q3 FY23 , there was no actual payment since the amount was not requested by the concerned institution to whom we had committed. The same has been accounted for in the last quarter and reflected in the in crease in cost. After coming out of the COVID situation

last year, our business operations significantly increased with business travels, and visits of the fund managers to different centres for the purpose of creating sustained growth in business and crea ting awareness about our investment philosophy across the country . For the first time, we conducted a sales meeting in which the entire sales team across the country participated in the stra tegic sales discussion and this has reflected in the increase of c ost of Rs. 3 crore which includes the travel as well as the related expenditure, we consider ed as an investment for the future . During the quarter we also spent Rs 2.5 crore for the digital initiative , security of the business application and disaster reco very systems across our applications. Further, the subscription fees for index funds have increased corresponding to the increase in AUM. The subscription fee is linked to the quarterly average AUM. UTI Nifty Bank ETF AUM increa sed significantly from Rs. 70 crore to Rs. 2,500 crore over the year, the UTI NIFTY 50 Index Fund AUM increased from Rs. 6,300 crore to Rs. 10,000 crore and the UTI Nifty200 Momentum 30 Index Fund went up from Rs. 1,100 crore to Rs. 2,200 crore. In view of this trend during the year there is an impact on Q4 also . In view of the linkage of the index fees to the AUM, the quantum of the fees paid during the q uarter also increased by Rs. 1.5 crore. Further, there was an increase of Rs. 2 crore in the PFRDA fees paid by UT I RSL, which is in tandem with the increase in the management fees. UT I RSL has started business promotion expenses , increasing the NPS business by reaching out to the pan-India opportunity. And lastly towards the promotion of ESG in our company, we took membership of Sustainability Accounting and Standard Board (SASB), an internationally recognized organization. And we did the sustainability and value reporting, which has an expenses of Rs. 1 crore. These are the major expenses and out of this Rs. 15 crore around 50% wi ll be one time expenditure and around Rs. 8 crore will be a recurring expenditure. Lastly, Bloomberg expenses .

Because last year also we have added few terminals and we initiated Bloomberg terminals for all our investment fund managers. So there was an in crease of Rs. 1.5 crore.

Imtaiyazur Rahman: Also, the depreciation in the currency has also contributed to this .

Swarnabh Mukherjee: And just to follow up on these index -related charges, we are paying to NS

E.

Surojit Saha: NSE as we ll as BSE. Charges are paid to both .

Swarnabh Mukherjee: OK and how is it accounted for ? Is it as the whole charge paid in Q4 every year ?

Surojit Saha: It is d one every quarter. So this particular quarter it was around Rs. 1.5 crore, which is an increase compared to last quarter .

Swarnabh Mukherjee: Ok. And in terms of the business , the PF RDA charges that the incr ease that you mentioned has com e because our AUM has increased ?

Surojit Saha: Yes, AUM has increase d. If you see over the full year , the AUM has increased by ~Rs. 40,000 crore. And 5 bps is accounted as sale of service s and 1.5 bps are accounted as an expense.

Swarnabh Mukherjee: Right. OK. So that incrementa l Rs. 40,000 crore part of that has c ome this year

Surojit Saha: Yeah, lastly in respect of UTI International AUM , actual ly we have a few funds which are periodic funds like Phoenix Fund . Two Phoenix Funds have matured during this pa rticular period. One is a Rs. 1500 crore fund,

which is a B19, then another Rs. 2900 crore and another one is around Rs. 1600 crore. So the total is around Rs. 6000 crore in this respect . India Dynamic Equity fund which is a leading fund for the international business also there was a repurchase - redemption pressure . So it's around Rs. 2000 crore and the fund is doing w ell. Globally the growth stocks have not been performing well, so we expect a turnaround. Mr. Rahman has already informed d uring his part, that we have opened offices in Paris and America to improve our international business .

Swarnabh Mukherjee: In ID EF, the redemption is coming from us only because I remember that you mentioned last quarter you had redeemed.

Surojit Saha: We have not yet redeemed our seed capital. This is one of the HNI investors at thi s market level who has invested when the scheme was launched , who redeemed his investments. We have not done it yet. We are waiting for the opportune moment, and we'll definitely try to redu ce our exposure in this seed capital .

Imtaiyazur Rahman: No, but redemption is very minimal, is more on the curre ncy which is depreciated by 6% -7% and 17% is basically the performance issues. But the redempti on is only to the extent of 5.5% -6%.

Swarnabh Mukherjee: OK, Sir. And out of this Rs. 20,000 crore, how much do we hold right now? Our investment.

Surojit Saha: Rs. 7000 crore is the total ID EF size now , we should be around Rs. 350 crore.

Swarnabh Mukherjee: So yo u're initially Rs. 31 crore . And that has gone up to how much? That is what I wanted to know.

Surojit Saha : Initially we invested USD 25 million and we have already repurchased around INR seven crore.

Moderator: Thank you. We have the next question from the line of Viraj from SIMPL . Please go ahead.

Viraj: I just had two questions. The first is on the book, so if I look at the equity and the hybrid book , can you just give some colour on what share of the book is now new flow, one which comes in a much higher sharing wit h the distributor ? So can you just give some perspective?

Vinay Lakhotia : Less than 20% of the overall book is actually the old A UM and almost 80% is the new A UM only.

Viraj: OK, so basically then going into FY24, we should see the yield should be more or less stabilized for us. Because now t he book is by and large new .

Vinay Lakhotia : Yeah . Unless there's a signi ficant redemption on the older AUM , we should see some stabilization in the yield. But the overall yield will still have a drag -down effect because of the growth under the ETF and the index category .

Viraj: OK. And second question is largely in terms of the competitive dynamics . So if I look at a year back, we had and not just us, but the industry had seen a very high competitive pressure and there was also a sign

ificant
increase in sharing with the distributor. How is that , if you could just provide some perspective in terms of the competitive landscape and especially in the sense of pricing and sharing of TER with the distributor

in channel ? So has that normalized or has that corrected or is it still elevated?

Vinay Lakhotia : I think it has more or less become a standardized distribution ratio only. As I stated earlier, most of the entries are sharing in ratios of around 50 to 70. In some cases, it may be slightly higher . So depending on the distributor category, whether it's an individual IFA or the l arger national distributor or a private or a foreign bank , the ratios are changing. I don't think the competition ha s anything to do with that. I think over the last two years also the pricing has become more or less standardized a s far as sharing is concerned between the manufacturer as well as the distributors.

Viraj: OK. And just one last question, if I can squeeze in on the expansion part ? What I heard, correct me, you said that we'll be looking at adding another 29 branches. Now if you look at th e spread of our c urrent network itself. And based on the last few calls and what we understand, there's still a good amount of potential throughput which we can further leverage from existing branches itself . So compared to the potential the

AUM per branc h or the turnover at the branch l evel is still relatively lower than what the potential could be . So what is the thought process behind adding another 2 9 branches when we still have scope for increasing the t hroughput in the existing branch network? And in relation to the digital -physical mix expansion strategy we talked about over the last one or two years.

Sandeep Samsi: So V iraj, good question. This is not an either -or strategy. This is an ‘and’ strategy . So while we look at different markets, we realize that there is enough amount of potential in the top 30 markets . We have also mentioned that we have work to do, and we are continuously working

with our partners in those markets. However, India or Bharat as it is called, is growing and we see a lot of potential in these smaller marke ts also. Now there is a huge amount of education which is coming into this market and the re are people who are ready to work in this market. So that's why we want to open and tap these markets, which have got the potential for us to grow over the next maybe three to five years. They will not be immediately mature enough, but over the ne xt three to five years they will give us good returns . The second part is yes, we are also focusing on the digital part, but India is still not completely digital. It's still a Phygital world where in India , people while they want to use digital mode, also look at physical mo de. So you have to follow an an d strategy. You have to focus on the top 30 cities. You have to look beyond 30 cities. You have to open in the Tier 3 Tier 4 cities . As well as we have to have a very clea r digital strategy to be present w hether it is on the website or the app or any other mode through partners.

Viraj: So what kind of OpEx we will be looking to incur for these 29 and typically what is the gestation period in terms of the branch to start contributing in terms of profi tability?

Surojit Saha : Yeah, we ar e expecting it should break even in around 1.5 to 2 years. We ha ve plans and based on the potential , what we already have, we are opening these branches. So our existing plan is to open these 29 branches and it should break even in 1.5 to 2 years.

Viraj: Investment, Sir.

Surojit Saha : Investments for these 29 branches will be around Rs. 3.2 crore because we are expecting to open around 500 square feet to 600 square feet

area. The total restructuring is what we are doing in respect of our big offices which we have.

Imtaiyazur Rahman: Viraj , there are two distinct strategies which we are working on. We had a strategy meeting here in Jaipur and we are attending this call from Jaipur. One is the top eight cities. It is our key focused area and 2nd is the rationalization of our branch offices. Earlier we opened a lot of branch offices, bigger in size , which is no longer required. So we are going to rationalize all our branch offices in this financial year . We are also here to expand . The saving which will come out of that rationalization will be good enough t o meet our expansion requ irements . So we are not expecting m uch pressure on our P&L account. Other than three to four crore, which Su rojit has highlighted to you. Secondly, we are investing in our digital strategy . We have a fourteen members team in digital space . We may hire more people in digit al, particularly data analysts and also give the state -of-art IT and digit al assets to our investors. As young Indians, they would like to interact or make investments digitally through apps . We have three different strategies, one - top eight cities , seco nd - expansion . We need to go beyond 30 cities because they are growing. And third, digital. All three cylinders will be fired.

Moderator: Thank you. We have the next question from the line of Lalit Deo from Equirus Securities . Please go ahead.

Lalit Deo: Just one question. So like in the last two to three quarters we have been seeing our market share of more than 8% in gross sales, but it has not been reflected in our net sales numbers. So now within this 8.5% market share of gross sales, could you bifurcate between like how is the market share in the gross segment and in the equity segme nt or the hybrid

segment and what are we doing to b oth improve our net income as well?

Vinay Lakhotia : You want a gross sale percentage across scheme category. Is that question correct?

Lalit Deo: Yes.

Vinay Lakhotia : OK. So for quarter 4 , our share of wallet for equity is around 2 .5%, ETF is around 9% , income fund is 4.5% and Liquid fund is actually 9%. So on a weighted average, roughly around 8 .5% is our share of wallet as far as the gross sales is concerned.

Lalit Deo: Just to follow up on this , now within this equity segment , we have a 2.5% market share ; in terms of AUM market share, we are at about 5%. How are we looking to improve our catch -up on the market share gain going ahead? What are the different strategies we are looking to reach over there?

Vinay Lakhotia: So the focus is actually on performance . As and when your fund is performing it should take up the sales . So, t he focus strategy is that we should have three to four equity fund s that deliver superior retu rns for our investors and the outcome will be the sales number.

Moderator: Thank you. We have the next question from the line of Prayesh Jain from Motilal Oswal, please go ahead.

Prayesh Jain: Firstly, on the ETF portfolio, what will be the share of EPFO in our ETF portfolio o verall? And secondly with r espect to equity market share, while fund performance is a focus area, are any other strategies with

respect to distribution that you guys are work ing o n in or der to kind of really recoup the market share in t erms of flows ? And just adding to that, what would be a fl ow market share ?

Vinay Lakhotia : I'll answer the ETF part . In terms of gross inflows , the EPFO share is around 50% . The remaining 50% comes either from a retailisation of index funds as well as selling to t he corporate fund houses . On the overall AU M, I don't have the exact number, but it could be very well in the range of around 60 % to 65% will be the EPFO mandate . I'll come back to you with the specifi c number on the overall book AUM .

Sandeep Samsi: So far as the sales strategy is concerned, yes, we real

ized that one of our strategies which was on the growth stocks has not been doing well, because growth stocks overall have not been doing well. But we have been positioning our flanking products in this category. I don't want to take names, but we have enough strategi es which are in place to tide over this issue. Secondly, we are again approac hing our distribution partners with these new strategies for marketing our product s. So we are hopeful that with all of these, we should be able to get a good share of our market in the equity funds.

Imtaiyazur Rahman: Our products are on the platforms, including banking platforms. We are in continuous touch with our distributors. Our sales team is completely engaged, and it is our focused strategy t oday, to work with the sales team to basically regain our market share on the equity side.

Prayesh Jain: On the SIP flow market share and how do you plan to increase the same?

Sandeep Samsi: Yes. So our gross inflows in the SIP for the month of March were about Rs. 573 crore , our average ticket size is around Rs. 3,262 and the closing SIP count is around 25 .18 lakh .

Vinay Lakhotia: So the market share on the gross sale is close to around 4.2 % to 4.3 % and the market share on the overall book AUM is close to around 3.5 % to 3. 6%.

Moderator: Thank you. We have the next question from the line of Dipanjan Ghosh from Citi. Please go ahead.

Dipanjan Ghosh: Just two questions from my side. First, can you give some colour on the possible ex pense drag in FY 24 or 25 because of the new fund launches in your subsidiaries , mostl y UTI International ? And second, whil e you give the equity flow equity gross flow market share, if you can give some colour on the similar market share on the equity side across the major channels ?

Imtaiyazur Rahman: UTI International launch of any fund - we are expecting some expenses in the UTI International balance sheet that will be the legal cost. We don't have the right number at this particular point in time, but we are also in the process of hiring the team for our U.S. market and all legal expen ses towards registration s will also be there. The exact number I don't have at this particular point in time . So, for the launch of products in UTI Capital is concerned, we are n ot expecting many expenses in launching the fund because there's only the lice nse cost or document filing co st which we need to pay to SEBI which is not very high.

Dipanjan Ghosh: And on the second question? Your equity flow market share may be across some of the larger channels .

Sandeep Samsi: Yes. So if I look at my share across the various channels - across the banking channel, my equity share is around 2%. A nd this is pure equity , it does not include ETF and index . While for other MFDs it is around 7.5%. So for equities , these are the main two channels.

Dipanjan Ghosh: Just to clarify, this is on A UM or o n gross flows ?

Sandeep Samsi: This is on the AUM .

Dipanjan Ghosh: OK, would you like to get some colour on the flow side also?

Sandeep Samsi: I don 't have the numbers on the flow side and maybe offline I can share it with you.

Moderator: Thank you. We have the next question from the line of Abhijeet Sakhare from Kotak. Please go ahead.

Abhijeet Sakhare : The first one is on the expense line. How should we look at growth in staff costs and non-staff costs for FY24? Is there some indicative range that you would like to give?

Imtaiyazur Rahman: Generall y as per Hewitt report , the financial services may give raise of 9% to 11%. We are not expecting to give such a raise to our employees. But we will also have the advantage of the retirement during this financial year. So our staff cost is expected to grow at around 3.5%. Because we are not expecting to give that 10% or 12 % rais e

to our employees.

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Abhijeet Sakhare: Got it. T hat's useful. And on the non -staff, because I t hink that's where you'll have a little bit of cost pressure.

Imtaiyazur Rahman: As for Non-staff, as our CFO Mr. Surojit Saha has mentioned that there is a CSR expense as we grow and make more profit which continues to be there, but one-time expenses of sales mee t which we had , where we called the entire sales team to Mumbai and we have sales meet, these expenses will not be there . Travel will continue to be there. We don't know how the currency w ill behave , and this year's investment in IT will be less than the previous year. We have already incurred a lot of expenses in revamping our IT assets. These one-time expenses will go, but the expenses towards the CSR will again come because of the profit to meet the regulatory requirement . NPS expense is a variable expense, and it is related to the income that is charged to the profit & loss account of the retirement solution. One-time expe nses w ill be eliminated . We may have the renovation cost because we plan to renovat e 2 1/2 floors more in the existing building which will have some expenses.

Abhijeet Sakhare: Got it. So this year, I think we closed the year with overall annual expense growth of 6% and again for next year, you're looking at a few more initiatives that will add to costs and some savings as well. But I do think that going ahead, you can do better than this.

Imtaiyazur Rahman: We have especially targeted to basically optimize our costs and to ensure that the costs are not increased. If you recall our data , for the last 6 -7 years we have been outperforming inflation. We will continue to do that , and we will keep you updated on t he quarter -on-quarter basis as we go along to share with you our cost management strategy . We are not expecting much rise in administrative expenses rise.

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Abhijeet Sakhare: Sorry. On the hybrid side, we've seen continuous net outflows, so probably that is linked to ho w the fund performance is shaping up . Do you t hink that pressure will remain ? Is it driven by the more retail IFA channels, or you've seen funds kind of being removed from focused lists or recommendation lists? So if that's the case, I think this pressure can sustain for a few more quarters. So how should we look at the next two numbers for the next few quarters?

Imtaiyazur Rahman: I would like to submi t that none of our schemes has been removed from the list of distributors. Vinay will give you further details, but from a strategic pe rspective, we don't have a BAF product with us. We have submitted our application . Maybe we are expecting approval from SEBI, and we will launch the BAF product that will help us i n raising funds .

Vinay Lakhotia : So in the hybrid category, just want ed to clarify there is within our scheme categorization, the arbitrage is being categorized under the hybrid fund category only. The arbitrage fund is actually a Liquid fund in terms o f nature and because of the yield that has been receiving , there has been a lot of redemption pressure. So for pure hybrid fund , If you see t he net sales are more or less it’s actually flattish, it's not positive . Net sales are not there, but we are quite hopeful with the view and force of a Balanced Advantage F und and that is expec ted c lose to around the beginning of the next quarter or maybe the end of this quarter, the inflows under the hybrid funds should actually improve.

Moderator: Ladies and gentlemen, we will take one last question fr om the line of Gaurav Jani from Prabhudas Lilladher . Please go ahead.

Gaurav Jani : Thank you, Sir. Firstly a question for Vinay Sir. Sir, could you quantify on a stock basis FY23 versus ‘22 what would have been the reduction in equity yields?

Vinay Lakhotia : ‘22 versus ‘23, it will be close to aro

und 7 to 8 basis points.

Gaurav Jani: And j ust trying to sort of get your sense of so the fall in equity yields in ‘24 and ‘25 would not be as sharp, right?

Vinay Lakhotia : Again, depending on the redempti on analysis. If the older AUM is getting redeemed at a faster pace, maybe the yield drop can be sharp, but that will provide respite for the coming financial year. Otherwise , it will be a marginal decline.

Gaurav Jani: And stock basis FY 23 if you could quantify the equity yields ? For the full year , I mean the average yield in equity .

Vinay Lakhotia : Close to around 75 -76 basis points .

Gaurav Jani: Secondly , will we launch any equity NFOs in FY 23 and if you share the amount, please?

Sandeep Samsi : So we launched a number of funds, but not directly in the equity category. We launched ET F and we launched the fund of funds.

Gaurav Jani: Understood. Thirdly, Sir, just a question to Sandeep Sir on a YOY basis, the Banking Channel share on the equity side is about stable at or static at 12%. What measures ar e we taking to actually increase that at a faster pace?

Sandeep Samsi: So as Mr. Ra hman also mentioned that our products are listed on various bank ing channels, and we are in continuous touch with the distrib utors at the banking end to promote our products. This is again, there are two things. One is the performance of the fund. So whenever there is a good performance of the fund , automatically, the inflows also improve. And also the level of interaction and r elationship which has been maintained by the relationship manager of the banking channel. So we are trying on both. While as I mentioned earlier that some of our funds, the strategy was different and we couldn't capitalize on that in the last year, but we have now go t flanking products to support these funds and our people are in continuous touch with the distributors as well as the bank and we hope that with these measures we will be a ble to improve the share.

Gaurav Jani: So understood, just last bit slightly different question on the cash side. So this year, Sir , there's a fair bit of an increase in the payout from about 50% to about 63% on a consol level. Fair to assume, this should be maintained, or this is the payout would increase actually.

Suro jit Saha : Yeah, you are correct. In 21 we have given 48% and in 22 we have raised it to 63.21 % and we hope to maintain this payout ratio, or we'll improve it definitely.

Imtaiyazur Rahman: It depends upon the board's decision from time to time.

Surojit Saha : I just want to clarify one point to Swarnabh of B&K the total out of the 7000 crore of the seed capital investment today is Rs. 265 crore.

Moderator: Thank you, ladies and gentlemen, due to the time constraints that was the last question , I would like to hand the flow back to the management for closing comments. Please go ahead.

Imtaiyazur Rahman: Thank you and thank you very much. I also like to thank my team for their participation and thanks a lot.

Moderator: Thank you, ladies and g entlemen , for your participation in our Q4 FY22 - 23 earnings conference call. In case of any further queries , you may get in touch with the Investor Relations team at Ad factors or feel free to get in touch with us. We look forward to interacting. Thank you.

Call: Aug 2023

Ref. No.: UTI/AMC/CS/SE/2023 -24/0345 Date: 2nd August , 2023

National Stock Exchange of India Limited
Exchange Plaza Plot No. C/1
G Block Bandra – Kurla Complex
Bandra East Mumbai – 400 051.
Scrip Symbol: UTIAMC BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai – 400 001.
Scrip Code / Symbol: 543238 / UTIAMC

Sub: Transcript of the Earnings Conference Call on financial performance for the quarter ended 30th June , 2023

Dear Sir / Madam,

Pursuant to Regulation 30 read with Schedule III Part A Para A of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 (the SEBI Listing Regulations) and SEBI circular dated 13th July, 2023 , we are forwarding herewith the transcript of the earnings conference call held on Wednesday , the 26th July, 2023 at 1600 hrs IST to discuss financial performance of the Company for the quarter ended 30th June, 202 3.

The transcript of the aforesaid earnings conference call is also available on the website of the Company a t www.utimf.com in compliance with Regulation 46 of the SEBI Listing Regulations.

We request you to kindly take the aforesaid information on rec ord and disseminate the same on your website.

Thanking you,

For UTI Asset Management Company Limited

Arvind Patkar
Company Secretary and Compliance Officer

Encl.: As above

UTI Asset Management Company Limited
Q1 FY24 Earnings Conference Call
July 26, 20 23

Moderator: Ladies and gentlemen, good day and welcome to the UTI Asset Management Company Limited Q1 FY24 Earnings Conference Call. From the management , we have with us Mr. Imt aiyazur Rahman – CEO and Managing D irector ,
Mr. Suro jit Saha – C hief Financial O fficer , Mr. Vinay Lakhotia – Head - Operations, and Mr. Sandeep Samsi – Head - Investor Relations and Corporate C ommunications.
As a reminder, all particip ant lines will be in the listen-only mode. There will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' and then '0' on your touchtone phone. Please note that this conference is being recorded.
Before we begin, I would like to mention that some of the statements made in today's discussion may be forward -looking in nature and may involve risks and uncertainties. Please note the disclaimer mentioning these risks and uncertainties are on the disclaimer slide of the investor presentation that has been shared earlier.
I now hand the conference over to Mr. Imt aiyazur Rahman for opening remarks. Over to you,

sir.
Imtaiyazur Rahman : Thank you very much and Good afternoon, everyone. Thank you for joining us today to discuss our operational and financial performance for the first
quarter of financial year 23-24. You may have gone through our press release and investor
presentation available on our website as well as websites of the exchanges.
The quarter witnessed optimism across the global markets with the forecasts improving for the
calendar year 2023. The Indian economy, which recently became the 5th largest economy in
the world surpassing United Kingdom, has been receiving recognition globally for its growth and resilience.

Friends, t he Indian capital markets were a direct beneficiary of the growth story of our
economy. The benchmark indices were driven by the active participation of the domestic as
well foreign institutional investors and the matching enthusiasm of the retail investors. This
was evident in the increase in number of demat accounts in the country hitting a 13 -month
high in June 2023 at 12.05 crore, of which 23.6 lakh accounts were added in the month of June
itself .
The Indian mutual fund industry has grown over twice i ts size in the last five years from ■ 22.86
lakh crore in June 2018 to ■ 44.39 lakh crore in June 2023. The AUM

to GDP ratio for India,
though comparatively less as compared to developed economies, has reached ~16% and is well
on the path of growing further. It clearly indicates that Indian mutual fund industry is on the
growth trajectory.
Investor awareness programs including the ‘ Mutual Fund Sahi Hai' campaign, e ase of access to
technology used for investing, economic growth, rising household savings and broader
geographical reach of the mutual fund products are the positive drivers for the development
of the sector in the coming decade.
Friends, t he total Assets under Management for UTI Group registered a growth of about 16.8%
over the corresponding quarter of the previous year and stood at ■ 16.13 lakh crore as on 30th
June 2023. The domestic mutual fund business witnessed a growth of ~10.6% year -on-year
with the Q AAUM as on 30th June 2023 was recorded at ■ 2.48 lakh crore.
We have re- organized our Sales Team structure and are further deepening our reach in the B30
cities to leverage on the opportunities present in these markets. In line with this, we have planned to open 29 new offices and
6 resident offices during this fiscal year 23-24.
This quarter, UTI has launched five funds including the 'UTI S&P BSE Housing Index Fund', taking
into account the fundamental need for Indians to live in better homes. We have also launched
the 'UTI Nifty50 Equal Weight Index Fund' to provide an exposure to the Nifty50 companies with equal weight. We have also
launched UTI Silver ETF, UTI Silver ETF FoF and UTI Nifty 500
Value 50 Index Fund during th is quarter. We will continue to l aunch new thematic funds as and
when the right opportunity arises.
I would like to inform you that Mr. Srivatsa Desikamani, with his knowledge and expertise in asset management area, has
joined the Board of UTI AMC as a Non -Executive Nominee Director
in June 2023 and yesterday in the AGM, his appointment was confirmed.
We are fully committed to grow all our lines of business including Alternatives , Pension and
Offshore funds. In this direction, we are foraying into the European markets through Paris
office as well as in United States.

I have with me Mr. Surojit Saha, our CFO , UTI AMC and Mr. Vinay Lakhotia, Head of Operations
& CFO designate along with Mr. Sandeep Samsi.
Now, I hand over to Mr. Sandeep Samsi, Head of Marketing & Investor Relations, who will
update you with UTI MF performance for the quarter.
Sandeep Samsi : Thank you, Sir. I will first take you through UTI Mutual Fund’s performance during first quarter
FY 24 .
UTI MF PERFORMANCE
I am pleased to inform you that the total Assets under Management for UTI Group registered
a growth of about ~16.8% over the corresponding quarter of previous year and stood at ■ 16.13
lakh crore as on 30th June 2023.
For UTI MF, the quarterly average AUM as 30th June 2023 stood at ■ 2.48 lakh crore, up by
~10.6% year on year.
Our Equity QAAUM for the quarter ended June 2023 stood at ■ 72,811 crore, rising by ~9.2% as compared to the quarter
ended June 2022.
With passive investments gaining traction, we have witnessed a growth of 35.6% in the QAAUM
for Index & ETFs taking it to ■ 88,431 crore for the first quarter.
UTI was able to capture market share of 8.1% of the gross sales of the industry during first
quarter.
UTI Mutual Fund recorded a net sales of ■ 10,152 crore for Q1 FY 24.

ETFs & Index Funds net inflows stood at ■ 3,496 crore.
UTI added 1.3 lakh folios taking up the number of live folios to 1.21 crore as on 30th June 2023 from 1.20 crore as on 30th June 2022.
Our SIP AUM witnessed a growth of 40.1% over the corresponding quarter of last year, reachi ng to ■ 24,920 crore as of June 2023 from ■ 17,788 crore as of June 2022. During the quarter, our number of SIP accounts rose by 20 thousand taking the total numbers of live SIP folios to 25.16 lakh as of June 2023.

The SIP inflows for the quarter stood at ■ 1,652 crore. The SIP gross inflows for UTI MF witnessed a year -on-year growth of ~6.6% with the average SIP ticket size being ■ 3,142 for the month of June 2023.
Coming to the contribution from B30 cities. 22% of our Monthly Average AUM for June 2023 came from B30 cities while the industry average stood at 17% in terms of the B30 MAAUM.
108 out of our 166 UFCs are in the B30 locations .
UTI AMC FINANCIALS
During the first quarter, the Company posted a consolidated n et profit of ■ 234 crore, recording a growth of 172% QoQ and 154% YoY.
The consolidated revenue for the first quarter stood at ■ 468 crore, up 56% QoQ and 60% YoY.
For UTI AMC Ltd (Standalone):
The PAT of UTI AMC Ltd for Q1 FY24 is ■ 165 crore reflecting a growth of 68% QoQ & a 67% on YoY basis.
For UTI Retirement Solutions Ltd:
We are happy to inform you that our 100% owned subsidiary, UTI Retirement Solutions Limited has a recorded a growth of ~27% year -on-year in its AUM reaching ■ 2.58 lakh crore in Q1 FY 24 and it manages 26.57% of the Industry AUM .
PAT of UTI RSL is at ■ 12.5 crore, an increase of ~17% compared to corresponding quarter of last year.
UTI International Ltd:
UTI International Ltd. which represents our International business interests, has an AUM of ■ 21,772 crore as of 30th June 2023. Our international clients are across more than thirty -five countries. These are primarily Institutions – Pensions, Insurance, Banks, and Asset Managers.
One of our flagship funds, the India Dynamic Equity Fu nd (IDEF) domiciled in Ireland, has an AUM of USD 973 million. UTI International’s J Safra Sarasin Responsible India Fund, an ESG compliant India fund, has AUM of USD 82 million.

UTI India Innovation Fund launched last year has an AUM of USD 22.4 million.
UTI Alternatives Pvt. Ltd.:
UTI Alternatives Pvt. Ltd. has recently been renamed from UTI Capital Private Limited has a total AUM of ■ 1,784 crore. It has a well -defined ESG policy and strategy.
It currently manages the following Active Debt Funds:
UTI Structured Debt Opportunities Fund (UTI SDOF) I, launched in August 2017 and closed in May 2019, has an AUM of ■ 132 Crore. Currently the fund is in exit mode and has returned 1.1 times the capital invested.
UTI SDOF II launched in September 2020, has an AUM of ■ 507 Crore, and the fund is currently Fund raising as well as investing stage .
UTI Multi Opportunity Fund I launched in March 2022 has an AUM of ■ 763 crore. Currently the Fund is in the Investing stage.
UTI SDOF III launched in September 2022, has an AUM of ■ 383 Crore, the fund is currently in fund raising as well as investing stage.
We also launched the UTI Real Estate Opportunities Fund I which is currently in the fund -raising stage with pre -commitments of ■ 110 crore.
I would now request the Managing Director & CEO for his concluding remarks. Thank you.
Imtaiyazur Rahman : Thank you, Sandeep for sharing operational and financial highlights for the first quarter of financial year 2 023- 24. With this, I would like to open the forum for your questions.
Moderator: Thank you. We will now begin the question and answer session. The first question is from the line of Madhukar Ladha from Nuvama Wealth Management. Please go ahead.
Madhukar Ladha : Hi Sir, Good Afternoon and thank you for taking my question. On equity assets, our growth continues to be sub par. So, if I look at year -over -year QAAUM growth, that's just about 1.7%.
So, why is this struggling? I think some of the competition is doing much bette r and they are losing market share. So, some color on that will be helpful. Second, our other expenses have shot up in this quarter on a year -over -year basis. I know that there is some expectation for increase in expenses in this year. Could you give us some sense of what the full year number could be and whether there is any change

in our guidance there ? And third sir your other

income has also shot up this quarter. So, I wanted to get a sense of what the drivers are over there. These are my 3 questions. Thank you.

Sandeep Samsi : Thank you, Madhukar for your question s. As we have been mentioning in our previous quarterly calls also, we have been facing some headwinds in the performance of our flagship equity fund. It is important to mention here that historically this fund has performed very well and has seen very good traction from our distribution partners . As the growth strategy followed by this fund has not done well over the last 1- 1.5 years , we have faced challenges on the sales front o f this fun d. However, we are optimistic that once the fund sees improvement in the traction with the revival of performance, we should be able to do better. So, the challenge has been on the growth strategy that the fund was following, and we hope that going forward , there will be improvement.

Imtaiyazur Rahman : Madhukar , we are taking this particular issue very seriously . We are continuously reviewing our both sales strategy and even the investment strategy. And I'm quite confident this particular fund, which is having some challenges, is being managed by a very reputed and experienced fund manager, Ajay Tyagi . And therefore, I'm fully confident that it will turn around . Howev er, some other strategies in the equity schemes are doing well and I'm sure this will add value to our investor s. Now , I will request Sur ojit to take care of the other two questions of yours .

Surojit Saha: Yeah, Madhukar in respect of other expenses, if yo u see on a quarter -on-quarter , it has come down. Q uarter- on-quarter from 72 crore, it has come down to 61 crore, but on a year -on-year basis it has gone up from 49 crore to 61 crore . The reason of the increase is mainly the IT initiatives which is around 4.5 crore for which the benefit will be spread across the financial year and also in respect of the CSR and some legal and strategic expenses. But what you should consider is that you are asking about the run rate. It should be around 60 to 61 crore per quarter. And the other question was in respect of other income . I don't know other income has been flat, but where you are seeing other income there is a jump , Because if you go year -on-year, it has come down from 13 as if you see the investor presentation 1 3 was because of the foreign exchange gains and this year it's very flat.

Madhukar Ladha : The t reasury income right there is some mark to market ?

Surojit Saha : Mark to market, it has gone up substantially.

Madhukar Ladha : Yeah, that's what I mean by . Other income, I mean that, yeah.

Surojit Saha : No, it has go ne up substantially because of the international business . We have a seed capital because of which last quarter also the M2M was a negative. So, that itself has gone up from

269 crore to 301 crore on an NA V basis. So, overall our M2M gain is 174 crore and which I think we have given it in the investor presentation also the details.

Moderator: Thank you. We have the next question from the line of Prayesh Jain from Motilal Oswal Financial Services. Please go ahead.

Prayesh Jain: Just a couple of questions. Firstly, on the equity net inflows if you look, we have a negative number this quarter, so are the redemptions kind of picking up and is there apart from the fund performance issue that you cited about the equity market share, is there a pickup in terms of redemption, because of the high market levels that we are seeing. That is question number one. Secondly, even with regards to the SIP monthly run rate, there is flattish trajectory rather than fo r the industry , it has been trending at a significantly hig her level. There has been month -on-month growth, but we have not seen that kind of replicated for us. So, what are the issues that we're facing there a

nd how do we plan to kind of re surrect our market share there?

Sandeep Samsi: So, Prayesh, as I mentioned earlier that one of the flagship funds where the maximum SIPs were also coming was impacted due to the fund performance issues. Also, over a period of time, people who have invested say 5 years, 10 years back , looking at the market values, they will be redeeming their amount because they will consider whatever goals they might have set, there will be some natural redemption, and generally if you se e in the month of April, the SIP numbers come down for the industry also and for us because people end their SIPs in March and new SIPs get started in the month of April , May. So, these are the two factors. As I mentioned, fund performance impacting our inflows. Secondly, natural redemptions which will happen because of the market levels currently which they are at, and SIPs which get renewed and if you see again in the month of May -June, o ur SIP numbers have come back to the earlier numbers, becau se in April there was a dip, but M ay and June have been bet ter.

Imtaiyazur Rahman : And your question was because of the market is more on a north side , do we expect a more redemption , the answer is no. We are not expecting the accelerated redemptions because the market is on the higher side.

Prayesh Jain: And just one more question on the alternate side. What are our thoughts about the growing the alternate assets in terms of our future and what kind of profitability or revenue contribution we can expe ct from the alternate business?

Surojit Saha: See, UTI Alternatives Private L imited , this is a new name formally which was earlier the UTI Capital Private Limited , has certain plans - UTI Alternatives aims to be a multi -asset manager of alternate assets. Currently , UTI A lternatives is managing high yield performing credit funds and a multi -asset fund. And it has already launched a real estate credit fund this month . It has filed with SEBI 2 new funds and investment grade performing credit and a distressed credit fund. Once these strategies are launched, UT I Alternatives will be present across the entire

spectrum of these alternatives and U TI Alternatives is also in the process of evaluating and finalizing the equity strategies. So, this f inancial year, we hope to break even and maybe from next year it will be a profitable subsidiary for us.

Imtaiyazur Rahman : Mr. Jain, we are building this particular business. We have built a very strong team and we will continue to invest in this particular business. We are also planning to have an office in the GIFT City, and t his is the business where we are fully capitaliz ing the company . We have allocated the good resources for this particular company, financial resources as well. And we will continue to invest in this line of business that will give us a significant growth i n the years to come.

Moderator: Thank you. The next question is from the line of Lalit De o from Equirus Securities. Please go ahead.

Lalit Deo: Sir, just two questions. So, firstly, like as you have alluded that due to fund performances , the flows are getting impacted , so are we seeing any kind of a pressure from the d istributor side also where our funds are going in the bottom list of their recommended list as are we seeing anything as of now. And if you would like to share , what are the possible methods that we have taken?

Imtaiyazur Rahman : We are not witnessing any pressure from the distributor. Our products are on the platform for all distributors and bank s. And as you know, we are now live with our new NFO UT I Balanced Advantage Fun d and all distributors, all MFD s and national distributors including banks are distributing our products . So, we have no challenges so far our distributor s are concerned , and this is a temporary fund issues headwind. We are quite confident that some of the schemes are doi

ng pretty well and therefore we are quite confident that this particular phase will also pass , but there is no pressure fr om the distributor side at all.

Lalit Deo: And s ir like the second question was on the employee expenses side. So, like this quarter, it has remained broadly flat . So, going ahead, do we expect similar kind of a number on a run rate basis or like do we expect some improvement over there?

Surojit Saha : No, I feel the expenses run rate is if you see the Q4 23 and Q1 24, it's almost flat at 1 06 and we feel this will be the run rate for this financial year.

Moderator: Thank you. The next question is from the line of Aditya from Securities Investment Management Company. Please go ahead.

Aditya : So, if you could help us understand that reason for sequential improvement in yields in the domestic mutual fund business, considering the addition of new flows which are lower margins

and the equity mix also remaining flat sequentially. So, what is the reason for the improvement in yields on a Q oQ basis ?

Vinay Lakhotia : So, it's primarily because of the equity AUM has gone up because of the mark -to-market appreciation. But if yo u see the overall yield , it is actually flattish at around 35 basis point only . There has been just one basis point improvement in the e quity yield because of the mark -to-market component. Otherwise , it is flattish on a quarter -on-quarter basis sequential ly.

Aditya: According to my calculation, the yields have seen an increase of around 1 to 1.5 basis points , but the equity mix has remained same around 45 % to 45.5%. A nd the new mix, which would have come in in this quarter would have lower margin than the old book . So, there should have been some moderation in the yields on a Qo Q basis ?

Vinay Lakhotia : No, I'm saying on the overall book AUM yield , equity yield has actually only improved marginally by one basis point from 72 to 73 .

Aditya: And s ir, there has been a sharp drop in yield in the UTI I nternational sequentially. So, have you taken any price cuts o ver there to arrest the drop in flows which we are seeing in the earlier quarters?

Surojit Saha : Basically, it's a drop in flow, but if you see overall one or two funds have matured like this Phoenix F und and all. But there has been a good flow in UTI Dynamic Equity Fund for the last three months like from 31st March 2023, the A UM was around ■ 7000 crore , it has increased to ■ 7,900 crore and there was an inflow of ■ 976 crore. So, overall, if you see our rev enue is in the range of ■ 31 to ■ 32 crore. So, overall, our revenue has not come down, but yes, we expect UTI Dynamic Equity Fund to claw back to their original around ■ 10,000 crore fund and there's a lot of traction in the market. So, we hope our revenues will definitely increase in U TI International.

Aditya: So, just to rephrase my question. So, if we look at the AUM of UTI I nternational in March 23, it was 21,700 crores and the same is 21,720 crores . AUM is flat on a Qo Q basis. But if I look at the revenue, it has seen a drop from 31 crores to 29 crores . It means that there is a drop in yield also. Just wanted to understand if you have taken any price cuts over there because we are seeing loss of flows in this subsidiary. So, just wanted to understand, have you taken any price cuts to arrest this drop inflows ?
Surojit Saha : No, there is no price cut. But UTI India Sovereign B ond, UTI India Strategic Opportunities Fund, UTI India Strategic Opportunities Fund II, these are all funds have been launched where the fees received is much less compared to the equity fund. So, that is why you are seeing a drop in the yield. But may be over the y ears with the UTI Dynamic E quity fund and other equity fund, we are seeing lot of traction. If the money comes, the yield will be much better.

Aditya: And sir the employee count has seen an increase by around 110 sequential

ly. So, firstly, why
there is suc h an increase when the employee count was expected to moderate due to retirement of employees and will this increase in employees give to higher employee costs going forward?
Aditya : So, it has increased from 1377 last quarter to 1491 in this quarter.
Imta iyazur Rahman : We have recruited 108 management train ees that we do every year as a process because there is a lot of reiterations and the retirement coming up , and that is the reason . As I mentioned to you in my initial remarks, we have a plan to open 29 new UFCs (branch offices) and as well as 6 resident offices. In order to be ready, we need to hire the people to serve at our branch offices and therefore we have appointed, I repeat 1 08 new management trainees to be future ready. But that is at low cost, and it will not a ffect at all an increase in our employee cost because over the year we will see the retirement this year and that we will be able to compensate this cost or offset this cost with the entire cost benefit s.
Aditya: And what was the ESOP cost for this quarter and what would be the ESOP cost for the remaining quarters?
Surojit Saha : For 23 -24, the total ESOP cost is around ■ 16 crore and 2 2-23, it was around ■ 20.77 crore.
Imtaiyazur Rahman : ■ 4 crore ESOP cost in this quarter. It will cont inue unless we decide to issue the fresh ESOP .
Aditya: And sir if you could break up our employee cost in terms of variable or performance which we give to our employees and the fixed pay ?
Imtaiyazur Rahman : We have taken the ■ 45 crore yearly variable pay. Rest is all the fixed pay. So, accordingly, we are proportioning to the extent of ■ 11.25 crore for this particular quarter. Balance is reserved . For the full year we have considered ■ 45 crore . Depending upon the performance, we will decide at the year end. But this is our guidance , ■ 45 crore is variable pay . Rest is fixed pay.
Aditya: And what was the variab le pay for last year?
Imtaiyazur Rahman : Last year was similar ■ 45 crore .
Surojit Saha : ■ 45 crore is on standalone basis . And if you take the subsidiaries, it was around ■ 58 crore altogether as a group .
Imtaiyazur Rahman : On consol idated basis, ■ 58 crore. T his year will be similar account both the consol idated basis and as well as on the standalone basis .
Aditya: So, the variable pay is going to be similar for last year and this year as well ?

Imtaiyazur Rahman : That's correct.
Moderator: Thank you. The next question is from the line of Dipanjan Ghosh from Citi. Please go ahead.
Dipanjan Ghosh : Few questions from my side. F irst you mentioned that you expect the other expense run rate to remain flattish at around ■ 60 to ■ 61 crore . Now on the other side, you also mentioned that you're going to open up some new branches , expand into B30, you plan to also grow the UT I International business. And you have some planned NFOs , one of which is already going on. So, on this backdrop, what gives you confidence to retain the other expense run rate at current levels? Because I would assume that NFO spend s and all are not factored in Q1 other expense number. My second question is I think repetition of what was asked earlier in the call on the yields part . You mentioned that your equi ty yields have increased by 1 b ps to 73 from 72. And my quest ion is, wheneve r there's a mark- to-market jump normally because of the slab wise pricing, one should see some amount of compression in yields and not expansion. So, is there any mix change within schemes or something in the churn w here maybe some high payout portfolio ex ited or what really is going on there , just wanted to get some color on that. Lastly one data keeping question, if you can give the gross equity sales number for the quarter?
Surojit Saha : First question I will take regarding the other expenses, FY 22-23, if you see the overall expenses was around

■ 238- 240 crore. So, which has a run rate of around 60 crore last year also and if you remember in the last quarter , we had a strategic annual meet , for which there was expenses because of which if you see the Q4 other expenses on a very higher side and we have factored this 29 office opening cost and all we have factored and we expect it to be in the range of 60 to 61 crore run rate.

Vinay Lakhotia: So, on the yield part, because of the mark -to-market component, the older AU M share to the overall number have actually increased while the net sales number has been negative for the equity fund s for this quarter because of that the re is not much compression on the equity yield because of the fresh inflows . So, because of the mark -to-market component, the older AUM has contributed a slightly higher fees and that's why it has margin ally improved by around one basis point.

Dipanjan Ghosh : Just one follow up on this. Can you kind of quantify the difference between your fresh equity yields versus blended equity yields on the book or give some color on what is the differential today?

Vinay Lakhotia: As of now, the yield on the overall equity and hybrid put together is around 76 -77 basis points and for the fresh inflows, actually the ratios are defined depending on our arrangement with the distributor. And as I stated earlier, it varies from 50 % to 80% of our distributable expense ratio. So, can't define a straight number on that. It depends on our channel mix if the money is coming from an individual financial advisor or is coming from a distributor or from a private or

a foreign bank . But the ratio between the manufacturer and the distributor is roughly in the range of around 50 % to 80%.

Dipanjan Ghosh : And if you can jus t quantify the gross equity sales for the quarter?

Vinay Lakhotia: Equity and hybrid put together is close to around 2,344 crore.

Dipanjan Ghosh : So, if you can just chip in one small question, you give your AUM mix break up across channels on the equity and hybrid business. Can you give some color of that on a flow basis and maybe just give a trajectory of how it has been shaping, let's say, for the past 3 -4 quarters on a flow basis rather than on a stock basis?

Sandeep Samsi: Dipanjan, we don't have that data. The data on the AUM is shared, but we don't have that data. So, maybe offline we can take this question.

Moderator: Thank you. The next question is from the line of Aman Shah from Jeetay Investments. Please go ahead.

Aman Shah: Sir, a few questions from my side. One is the yield s have stabilized in Q1. What will be your outlook for this year for the yield part , aggregate yields?

Vinay Lakhotia: So, aggregate yield , might see a slight compression of a basis point or two primarily because of two factor s because of the growth in the ETF business , plus we have launched a new NFO as well, which is going on - UTI Balanced Advantage Fund , and obviously the new fresh inflows under the equity fund will have some impact on the overall equity AUM yield . So, for the next 2 or 3 quarter s, there might be a compression of a basis point or two on the overall yield number.

Aman Shah: And what would be the share of older AUM now ?

Vinay Lakhotia: The older AUM, we have indicated earlier , is close to around 20% of the total AUM. But again , it's very difficult to quantify in absolute and percentage terms because there is a substantial AUM where the trail c ommission is very low . 20% is where the trail commission is negligible . But since , upfront c ommission was being preva lent earlier , there 's AUM which is more than 5 years old and has low trail commission . But AUM where the trail c ommission is low or very negligible , that is close to around 20%.

Aman Shah: So, on the international side, we have seen there have been investment expenditures and this year Q1 was 31 crore total expenditure compared to 17 c

rore last quarter last year . And like topline being at 29 crore, so there is a n operational loss . How should we see the P&L of UTI International look like ?

Surojit Saha : See the international expenses are in the range of around 30 crore. T he figure which you said 17 crores, t hat was because of a foreign exchange gain as per the international books, it was accounted over there. That's where there was a 11 crore gain , that's why that figure was 17 . Otherwise generally , the expenses of per quarter of UTI I nternational is in the range of 2 9 to 30 crore.

Imtaiyazur Rahman : But this company at the year -end will be profitable in this quarter itself , the Q2 will be profitable. The initial cost was there because in the first , we signed a lot of new agreement and we paid a lot of legal fees, t herefore marginal loss was there. But from the next quarter onwards , it w ill be profitable. Overall , the profits will come, it is a profitable company.

Aman Shah: How should we see like top line we said like it should be 32 to 34 crore quarterly ?

Surojit Saha: See, I'll just give you the UTI I nternational plans to grow the distribution for the UTI India Innovation Fund, which was co ncentrated portfolio of the mid cap , small cap disruptive business . Innovation Fund is about finding the companies , leveraging on technology across sectors and we will distribute this in Europe and Asia to start with and we also plan to expand the reach for the UTI India G-Sec, which is listed in the Euronext Amsterdam by reaching out to the European In stitutional Investors. And the decline in the channel's weight in MSCI E merging Market Index has opened up many South Asian markets for increasing the Indian exposure through our flagship IDEF. From a long -term perspective, many clients are wanting to go overweight on India versus its weight in MSCI . Given the current geopolitics , India is finding lot of flavour with the global long only investors . our IDEF will capitalize on this given its long -term orientation . In the M iddle East distribution of our b alanced fund remains the robust among the NRI Community . Balanced fund as a concept is popular with the Indian expats and we are promoting this fund in the Middle East . So, we are expecting a lot of traction in the U TI International business. And as S ir said, this is on a growing path, and we'll have profitable quart ers in the following period.

Aman Shah: So, last just the cash that we have on books , now, 3500 crore , a good part is also there in the standalone, the major part is in stand alone balance sheet. What is our outlook on cash distribution?

Imtaiyazur Rahman : We are seriously looking at the cash element, but we have no plan at this particular point of time to distribute the cash . We may need it for our future business development.

Moderator: Thank you. The next question is from the line of Mohit from B OB Capital. Please go ahead.

Mohit: My first question is that if I look at district associates , it has declined from 210 last quarter to 188. What could be the reasons for that?

Sandeep Samsi: See, we look at the partners that we have, the district associates across the country and we keep on renewing and working with them on a year -on-year basis. So, some of the agreements which people retire over a period of time and those have not been renewe d. So, that's why you are seeing a dip in the number of district associates on a year -on-year basis . Our endeavour is to appoint new d istrict associates wherever we find that there is potential at a district level or at the block level so that they can fur ther UTI’s business interest.

Imtaiyazur Rahman : And wherever we feel appropriate, we are substituting with our branch offices, which we call UTI Financial Center.

Mohit: Right, understood. Coming again to the net flows , you said that performance issues le d to outflows. But if I l

ook at last two quarters, there was a net outflow like this quarter it was 15 billion and earlier quarter 7 billion. So, are we confident that in financial year 2 4 we would be able to turn this outflow into net inflows like we have seen that for the peers as well. They are getting substantial equit y flows. So, are we confident that we'll be havin g a good performance this year?

Imtaiyazur Rahman : We are working with all channel partners. We are very aggressively marketing and distributing our products. We are quite confident and putting in all our best effort s to show that our net sales will be positive in the equity.

Moderator: Thank you. We have the next question from the line of Bhuv nesh Garg from Investec Capital. Please go ahead.

Bhuvnesh Garg : Sir, y ou mentioned earlier that that your market share in SIP declined because of most of your SIPs were in flagship fund. So, in that regard, just want to understand that any specific plan you have to diversify your AUM across the f unds or to increase the base of your SIPs so that it is not depe ndent on one fund or something.

Sandeep Samsi : So, as M r. Rahman also mentioned that we have a number of other funds which are doing quite well and we are positioning these funds to our distribution partners as well as to banks and other distributors to take the fund flows forward. So, we are quite confident as Mr. Rahman also mentioned just in the previous question that this should help us to revive our SIP sales in these funds.

Imtaiyazur Rahman : But the current fund itself, this fund is where there is a right opportunity for the investors to invest now to capture the market and the benefit which may come once the scheme starts performing better.

Bhuvnesh Garg: And sir on inflows, a ny particular target we have in our mind for the year or any particular target we have for our alternate business, what kind of inflows we are targeting for the year?

Surojit Saha: If you see the A UM is already in a rising trend and we have lines of plan which have already told, like it has already launched a real estate credit fund this month and it has filed to SEBI 2 new funds , an investment grade performing credit and a distressed credit fund, and so U TI Alternatives is now present almost entire spectrum of credit alternatives, and they are also in the process of evaluating a nd finalizing the equity strategies. So, the business is doing very well and we have bui lt up the team also. So, we expect maybe in the range of 2500 to 3000 moving in the future period.

Moderator: Thank you. We have the nex t question from the line of Rahi l Shah from Crown Capital. Please

go ahead.
Rahil Shah: Just on the overall consol idated basis, AUM growth and margins, if you could share some outlook for the year that would be great. Thank you.
Surojit Saha : Overall, if you see our investments, group AUM has grown from 16.13 lakh crore vis -à-vis 13.81 lakh crore year -on-year and on 31 March, 2023, it was 15.55 lakh crore. So, it's a rising trend of around 4%. So, there is a continuous effort in all the sectors of our business, whether it's UTI Retirement, whether it's UTI Alternative s, whether it is UTI International or PMS. So, we are driving our business. Our AUM has been co ntinuously improving in all the s pectrum of our business.
Rahil Shah : And on the margin side sir?
Surojit Saha: Overall ma rgins will continuously increase because it also depends on the mix which we'll be getting, whether it's an equity business and alternative also. If I remember, they are in the process of evaluating the equity strategies which will give a better return and UTI I nternational , the yields have come down because we have got some of the debt funds , but with the equity funds now performing and there's a lot of traction, we expect the overall yield of the group will be increasing.
Moderator: Thank you. The next question i

s from the line of Abhijee t Sakhare from Kotak Securities. Please go ahead.
Abhijeet Sakhare: Sir, as per the annual report, we have about 350 odd people who are still part of the Union or part of the old compensation structure. So, if you could just remind us again in terms of what is your sense of the retirement pipeline and what does it mean for our overall staff expense growth over the next 2 to 3 years?

Imtaiyazur Rahman : Over the next 3 -4 years, most of the people will be retiring. We have not done any fresh recruitment in this particular grade for last 20 years and the expense will be on the range which we have shared with you. We are not anticipating any growth or any significant rise in the implied expenses. Rather we will get the benefit of this retirement over the period of time.
Abhijeet Sakhare: Any numerical guidance that you might want to share?
Surojit Saha : I have already shared that we are having a run rate of around 106 crore .
Imtaiyazur Rahman : Benefit requirement if you want a specific number, we are not ready now, you can take offline with Sandeep.
Abhijeet Sakhare: Got it, s ir. But most of these savings should come to the bottom line, right like, I mean in that parallel, if you've been investing in other parts of the business, but now that you've already been doing that for a few quarters . Incrementally over the next 2 -3 years, all the savings should go to th e bottom line? Is that a fair assumption?
Imtaiyazur Rahman : That is the fair assumption because all our three companies are fully capitalized. UTI Retirement Solutions is fully capitalized , International is fully capitalized and UTI Alternative also reasonably capitalized. So, therefore we don't expect the capitalization in those companies and therefore all the benefits will go towards the P&L.
Moderator: Thank you. We will now take the last question from the line of Prayesh Jain from Motilal Oswal Financial Services. Please go ahead .
Prayesh Jain: Just a question on the industry side and also on the EPFO book. So, one is that out of the total ETF AUM of the industry, how much is coming from EPFO and how much of that share is for UTI? Second is on your E PFO AUM that sits in your PMS , how much is that and what are the kind of yields on both thes e pieces?
Vinay Lakhotia: So, of the total ETF busines s, which is part of the mutual f und business, E PFO contribution is close to around 75 % to 80%. The EPFO, which is there in the PMS business, is mostly on the fixed income side, not on the equity side. Equity side comes under the m utual fund business where the fees is very negligible . On the equity side, the fees for EPFO is close to around 3.5 to 4 basis points .
Prayesh Jain : And the 75 % to 80% that you have mentioned, that is true for the industry also right, share of EPFO in the ETF?
Imtaiyazur Rahman : Let me share with you . The 25% used to come to UTI, 75% al location used to go to SBI.

Moderator: Thank you . For any further queries, ladies and gentlemen , you may contact Adf actors PR or the UTI Asset Management Investor Relations team. I would now like to hand the conference over to Mr. Imtaiyazur Rahman for closing comments. Over to you, s ir.
Imtaiyazur Rahman : Thank you very much for attending this call and thank you very much for asking questions . We have attempted our best to clarify them . In case you need any further information and clarifications , you may contact my colleague or our partner Ad factor s and we're more than

happy to share those information with you . As per the guidance of the L ODR, whatever is possible for us, we will be in a position to share with you and thank you very much once agai n for joining this call. Thank you.

Moderator: Thank you. On behalf of UTI Asset Management, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Oct 2023

Ref. No.: UTI/AMC/CS/SE/2023 -24/0371 Date: 26th October , 2023

National Stock Exchange of India Limited
Exchange Plaza Plot No. C/1
G Block Bandra – Kurla Complex
Bandra East Mumbai – 400 051.
Scrip Symbol: UTIAMC BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai – 400 001.
Scrip Code / Symbol: 543238 / UTIAMC

Sub: Transcript of the earnings conference c all on financial performance of the Company for the quarter and half year ended 30th September , 2023

Dear Sir / Madam,

Pursuant to Regulation 30 read with Schedule III Part A Para A of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 (the SEBI Listing Regulations) and SEBI Circular no. SEBI/HO/CFD/CFD -PoD-1/P/CIR /2023/123 dated 13th July, 2023 , we are forwarding herewith the transcript of the earnings conference call held on Thursday , the 19th October , 2023 at 17 00 hrs IST on the financial performance of the Company for the quarter and half year ended 30th September , 202 3.

The transcript of the aforesaid earnings conference call is also available on the Company's website at www.utimf.com in compliance with Regulation 46 of the SEBI Listing Regulations.

We request you to kindly take the aforesaid information on rec ord and disseminate the same on your website.

Thanking you,

For UTI Asset Management Company Limited

Arvind Patkar
Compan y Secretary and Compliance Officer

Encl.: As above

UTI Asset Management Company Limited UTI Mutual Fund

UTI Asset Management Company Limited
Q2 FY24 Earning Conference Call
October 19, 2023

Moderator: Ladies and gentlemen good day and welcome to the UTI Asset Management Company Limited Q2 & H1 FY24 Earnings Conference Call. From the management we have with us Mr. Imtaiyazur Rahman (Managing Director & Chief Executive Officer); Mr. Vinay Lakhotia (Chief Financial Officer & Head - Corporate Strategy); Mr. Surojit Saha (Group Financial Advisor); & Mr. Sandeep Samsi (Head – Investor Relations, Marketing and Corporate Communications).
We also have the Investor relations team from Adfactors PR.
As a reminder all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes.
Should you need assistance during the conference call, please signal an operator by pressing "*" and then "0" on your touchtone phone. Please note that this conference is being recorded.
Before we begin, I would like to mention that some of the statements made in today's discussion may be forward -looking in nature and may involve risks and uncertainties. Please n ote the disclaimer mentioning these risks and uncertainties are on the Disclaimer slide of the investor presentation that has

been shared earlier.
I will now hand over the conference to Mr. Imtaiyazur Rahman for his opening remarks. Thank you, over to you sir.
Imtaiyazur Rahman: Good evening, everyone. Thank you for joining us today to discuss our operational and financial performance for the second quarter and the first half ended September 30, 2023. It is my privilege to welcome you all. You might have gone through our press release and investor presentation available on our website as well as on the websites of the stock exchanges.

The world economy is yet to reach the pre -pandemic levels of growth and is witnessing inflationary pressures. But this has paved way for emerging markets like India to have a prominent contribution towards the global economic growth.
The economic scenario in India is optimistic, continuing the momentum of last couple of quarters. For the current fiscal, IMF has raised the GDP growth forecast to 6.3% for India.
During the quarter, there was another milestone achievement for the Indian capital markets – JP Morgan announced inclusion of Indian sovereign bonds into its E

merging Markets Index. According to industry experts, this i nclusion is likely to result in to inflows of around $30 billion in investments into Indian debt markets , which have traditionally been held primarily by banks and financial institutions. Inclusion of Indian bonds with effect from the next fiscal, with maximum weightage of 10%, is a testimony of India's emerging significance in the global financial markets.
Coming to the equity markets, the Indian indices have well captured this optimism as is evident from the new all -time high touched by both benchmark indices during the quarter. This has also led to an increased participation in the Indian Mutual Fund In dustry. I am to share with you that t he September 2023 data from AMFI reveals that the industry now have 40 million unique mutual fund investors in India.
Coming to UTI, I am happy to share with you that on 29th September 2023, we successfully inaugurated 29 new offices across the country taking the total number of UTI Financial Centres to 195. We continue to be committed to growing our presence in the Beyon d 30 (B30) locations and make mutual funds more accessible to the people in the Tier II & Tier III cities in India. 134 of our UFCs are now present in these locations. Staying committed to guide more and more people about mutual funds, UTI conducted 82 Inv estor Awareness Programmes pan India covering ~4,600 participants during the first half of FY 23 - 24.
While the geographical reach has increased, we are also working on our digital strategy & reach. We re -launched our Mobile Apps for our investors and distribution partners with a better user interface and have also adopted state - of-the-art technology for our contact centres. uti ®
UTI Mutual Fund

On the HR front, we now have a new CFO – Mr. Vinay Lakhotia, who is a career UTIian and also handling the Corporate Strategy function of UTI AMC. We have also elevated Mr. Anurag Mittal to be the Head – Fixed Income of UTI Mutual fund .
Now sharing numbers for UTI Group. The total Assets under Management for UTI Group registered a growth of about ~16.89% over the corresponding quarter of the previous year and stood at ■ 16.89 lakh crore as on 30th September 2023.
The domestic mutual fund business witnessed a growth of ~14.22% year -on-year with the QAAUM as on 30th September 2023 at ■ 2.67 lakh crore.
We launched four successful NFOs during the first half of this fiscal year – UTI Nifty50 Equal Weight Index Fund , UTI S&P BSE Housing Index Fund , UTI Balanced Advantage Fund & UTI Innovation Fund during this half year .
Now, I hand over to Mr. Sandeep Sams i, Head Marketing & Investor Relations, who will update you with UTI AMC performance.
Sandeep Samsi: Thank you, Sir. I will first take you through UTI Mutual Fund's performance during the second quarter and half year ended September 30, 2023.
UTI MF PERFORMANCE

■ UTI was able to capture a market share of 7.8% of the gross sales of the industry during this quarter.
■ Our Equity QAAUM for the quarter ended September 2023 stood at ■ 78,291 crore, rising by ~9.2% as compared to the quarter ended Sept ember 2022.
■ With passive investments gaining traction, we have witnessed a growth of about 35.82% in the QAAUM for Index & ETFs taking it to ■ 98,421 crore for the second quarter.
■ ETFs & Index Funds net flows stood at ■ 2,364 crore.
■ UTI added 1.03 lakh folios taking up the number of live folios to 1.22 crore as on 30th September 2023.
■ Our SIP AUM witnessed a growth of 29% over the corresponding quarter of last year, reaching to ■ 26,541 crore as of September 2023 from ■ 20,565 crore as of September 2022.

■ The SIP inflows for the quarter stood at ■ 1,648 crore. The SIP gross inflows for UTI MF witnessed a year -on-year growth of ~ 3.70 % with the average SIP ticket size being ■ 3,140 for September 2023.
■ Coming to the contribution from B30 citi

es. 23% of our Mo nthly Average AUM
for September 2023 came from B30 cities while the industry average stood at 17% in terms of its B30 MAAUM.
UTI AMC FINANCIALS
■ During the second quarter, the Company posted a consolidated net profit of ■ 183 crore.
■ The consolidated revenue from operations for the second quarter stood at ■ 404 crore.
■ For the first half, the consolidated net profit was ■ 417 crore, higher by 43% YoY.
■ The consolidated revenue from operations for the first half stood at ■ 872 crore, up by 27% YoY.
On a standalo ne basis:
■ PAT of UTI AMC Ltd for Q2 FY24 is ■ 134 crore reflecting a growth of 14% on YoY basis.
■ PAT of UTI AMC Ltd for H1 FY24 is ■ 299 crore, higher by 38% YoY
■ We are happy to inform you that our 100% owned subsidiary, UTI Retirement Solutions Limited has recorded a growth of ~24% year -on-year in its AUM, reaching ~■ 2.7 lakh crore in Q2 FY24 and currently it manages 26.4% of the NPS AUM
■ The PAT of UTI RSL for the first half of FY 24 is ■ 25.2 crore, an increase of ~11.5% Y-o-Y.
■ UTI International which represents our International business interests, has an AUM of ■ 24,207 crore as of 30th September 2023.
■ Our international clients are across more than thirty -five countries. These are primarily Institutions – Pensions, Insurance, Banks, and Asset Managers .
■ One of our flagship funds, the India Dynamic Equity fund (IDEF) domiciled in Ireland, has an AUM of $ 961 million.
■ UTI International's J Safra Sarasin Responsible India Fund, an ESG compliant India fund, has AUM of $ 78.4 million. ~·~ .... 'c;;p
UTI Mutual Fund

■ UTI India Innovation Fund launched last year has an AUM of $ 25.6 million.
■ UTI Alternatives Pvt. Ltd. has a total AUM of ■ 1,799 crore and has a well -defined ESG policy and strategy. It currently manages the following Active Debt Funds:
o UTI Structured Debt Opportunities Fund (UTI SDOF) I, launched in August 2017 and closed in May 2019, has an AUM of ■ 132 Crore. Currently the fund is in exit mode and has returned 1.1 times the capital invested.
o UTI SDOF II launched in September 2020, has an AUM of ■ 507 Crore, and the fund is c urrently in the investing stage.
o UTI Multi Opportunity Fund I launched in March 2022 has an AUM of ■ 763 crore. Currently the Fund is in the Investing stage.
o UTI SDOF III launched in September 2022, has an AUM of ■ 398 crore, the fund is currently in fund raising as well as investing stage.
o UTI Real Estate Opportunities Fund I is currently in the fund -raising stage with pre -commitments of ■ 110 crore and net commitments of ■ 30 crore.
■ UTI Alternatives has also received the Regulator's approval for two more funds

– UTI Credit Opportunities Fund I and UTI Asset Reconstruction Opportunities Fund I. We will be launching these funds soon.

■ UTI Alternatives has the Regulator's nod for providing Co -Investor Portfolio Manager (CPM) services. We have onboarded 7 clien ts as co -investors till September 30, 2023.

I would now request the Managing Director & CEO for his concluding remarks.

Imtaiyazur Rahman: Thank you, Sandeep, for sharing operational and financial highlights for the second quarter and half year of financ ial year 2023 -24. I would also like to inform you that we have received the approval from SEBI to start our US operations.

With this, I would like to open the forum for your questions.

Moderator: Thank you very much. W e will now begin the question and answer session. The first question is from the line of Swarna bh Mukherjee from B&K Securities.

Please go ahead.

Swarna bh Mukherjee: I have couple of questions on the yield side. First of all, the yield compression that we have seen in this quarter ; just wanted to understand is it only a factor of the mix sales that is coming from the ETF or within the equity category also, there has been some compression as fund size has increased. If you could call out

also

the yields for individual product categor ies, that would be very helpful. That one uti ®

is on the mutual fund business . On the international business. If I try to calculate the yield, I see some softening on that front as well. What has happened there and how to think about it? These both on the yield side.

On the cost side, there is been some increase on a sequential basis on the employee benefit expense in the mutual fund business. If you could highlight the reason and how should we think about for the rest of the year?

Related to the US operations that you have mentioned . Whether we should expect any kind of additional costs and what will be the quantum of that in this year and next year in our P&L. Thank you. These are my questions.

Vinay Lakhotia: I'll take the question on the yield part and the employee cost. Let me first give you the break up o n the yield part . On equity fund , the yield for the second quarter is around 72 basis points ; on the hybrid fund 84 basis point ; and on the ETFs and Index F und is 4 basis point. Cash and arbitrage funds around 7 basis point s and income fund 22 basis point s. During the quarter ; while the equity yields are more or less stabilized at around 72 -73 basis points , we have seen some headwinds as far as the other scheme categories are concerned.

On the hybrid fund, since w e launched an NFO which is UTI Balance d Advantage Fund, we have seen some yield comp ression from 90 to around 84 basis points , because of the mobiliz ation of the new fund is at slightly at a higher cost and the yield on the new NFO is c lose to around 30 to 35 basis p oints .

We have reduced the expense ratios and the management fees under the ETF categor y of the fund from overall 7 to 4 basis points. Be cause of that, there is some yield compression under the ETF categor y during this particular quarter .

On the income fund, both at the industry level as well as UTI, significant inflows are coming into a shorter duration product where the yields are general ly lower. We have mobilized s ignificant amount of inflows under the income category during this particular quarter, which have been through the shorter duration of the product on which the management fees are lower as compared to a longer duration product. Because of that the yield on the income category has also fallen from 26 to around 22 basis points. Due to this overall yield compression is around two basis points lower; however, for the equity fund s the yield has stabilized at around 72 to 73 basis points. uti ®

On the international business, I don't think there is any yield compression. There is some marginal decline in the overall AUM because of some redemption under the ID EF categor y of the fund and because of that, you might see some reduction in the management fees.

Coming to your second question on the employee cost. Over all, employee cost on the stand alone basis has gone up by around ■ 6-7 crore. There are three factors behind this increase. First is the normal wage increase . Despite reduction in retirement benefits, this has gone up by around 2 -3%. Secondly, there is ESOP amortization cost, which has gone up as compared to the pre vious financial year by around ■ 2 crore . Lastly, there has been an actuarial valua tion increase for leave encashment . The one-time impact on this until the interest rate goes down is around ■ 3 crore .

On the US subsidiary, as of now, we do have the approval from SEBI , but the operation hasn't started yet. As and w hen we open the office s we expect the overall cost actually to increase.

Imtaiyazur Rahman: This y ear t here will not be any cost because by the time we get the license, it will be March 2024. W e may see some cost next year. This year the re will not be any cost. Other are l egal expenses to the extent of ■ 1 crore.

Swarna bh Mukherjee: A couple of follow -ups. If you could highlight why the expense ratio on the EPFO side was rationalized ? I understand the expense ratio at the industry level is lower than four basis points . I mean yield should be higher on the EPFO side. Some color on that would be very helpful.

Vinay Lakhotia: We have submit ted a revised bid for the EPFO mandate . There are competitors whose expense ratios are even lower than four basis points. Basically because of the revised bid submission, the expense ratios and the management fees have actually c ome down.

Imtaiyazur Rahman: In EPFO our yields are best in industry.

Swarna bh Mukherjee: Right, Sir. And since a new player has also come in the EPFO flow, what would be our share in the incremental flow going ahead? Any color o n that?

Imtaiyazur Rahman: 23.5%.

Moderator: The next question from the line of Mohit from B OB Capital. Please go ahead.

Mohit Mangal : Thanks for the opportunity. I will a sk three questions. First, as you sa id, you opened 29 new offices, s o what would be the impact on OpEx for that?

Vinay Lakhotia: So OpEx for this particular financial year, our OpEx might increase by around ■ 60-70 lakh , especially on the rental side . On employee cost , there won't be any increase because we'll be leveraging on our existing employees.

Mohit Mangal : Right my second q uestion is that we did see equity segment having n et inflows which is good. But if I look at equity market share, there is a decline by around 22 basis point Q oQ and 75 basis point YoY. Any particular strategy to redeem the market share on the equity side?

Sandeep Samsi We have seen some pressure on the equity side and we are working towards it. As we had mentioned earlier the performance of some of our funds was impacted because of the strateg y that we developed . We were following the growth strateg y when the market was tilted towards the value strategy. However, as we have mentioned earlier also, we are on course correcti on and if you see in other categories, that is the income categor y, we have seen a good net inflow . Similarly, in the hybrid category also we have seen inflow. We believe the strategies th at we are employing will work and will help us to c law back the market share .

Imtaiyazur Rahman: We are repositioning some of our equity schemes which are performing very well. We have a very detailed strategy in place and that will help us to recapture our mark et share in the other category of equity scheme s other t han the Flexicap fund. We are repositioning other equity scheme s which is well performing l ike hybrid equity scheme, focus ed equit y fund etc.

Mohit Mangal : This is helpful. Lastly , if I look at SIPs' gross sales . It has declined this quarter ; wherein for the industry, it has increased. What could be the reason for that?

Sandeep Samsi: What we have done is we provide data only for live SIPs. In that what we mean is that SIPs which are live and not paused SIPs are considered . If there are no inflows for the last four month s then we call it a paused SIP and we don't show it in our numbers . In the last six months and this quarter specifically, we have done a lot of exercise of de-dup, so we saw whichever SIPs were paused, earlier we only considered direct SIPs Now we have also included paused SIPs from

distributors and t hat is why there is a marginal decline in the numbers of SIPs for us.

Mohit Mangal : You meant to say that had you been disclos ing those numbers, that number would have loo ked a lot better?

Sandeep Samsi : Yes, it would have looked better . But we don't want to show all SIPs. W e only want to showcase our live SIPs and so that number has come down.

Moderator: Thank you. The next question is from the line of Madhukar Lad ha from N uvama Wealth Management please. Go ahead.
Madhukar La

d ha: Thank you for taking my question . Frankly , most of my questions have been answered. Just one on the wage increase. What would be our guidance for the year because we would have expected some sort of moderation, but still on a QoQ basis, salary costs are up by 5%. We expected some sort of operating leverage to play out of here.
Vinay Lakhotia : Madhu kar, I don't see overall number increasing by more than 4 to 5% as compared to the previous year. We have some slightly higher employee cost on the international business front where because of opening of Paris and US operation s, there could be additional increase in salary expenses . On the stand alone front for UT I AMC , the salary increase will not be more than 2 to 3% . On a consolidated level , it could be m aximum 4 to 5% increase.
Madhukar Lad ha: Got it. And the other thing while you explain ed the yield decline not being that related to sort of equity b ut we are seeing net outflows from equity as well . Isn't that hurting our book? What will that have sort of r esulted in lower equity and hybrid yields .
Vinay Lakhotia I think equity yields are more or less flat at around 72 to 73 basis points. But yes, if the stock AUM is redeemed and is being replenished by fresh inflow , it’s definitely going to impact the yield. That has been the trend in the earlier quarter s and not in this particu lar quarter. Going forward, if the stock AUM is being replenished at a faster rate, yield compression might be there.
Madhukar Lad ha: And final thing Sir . Any sort of sense of what is our stock AUM right now in equity and hybrid? uti ®

Vinay Lakhotia: Very difficult to give any exact number Madhukar . Because within the stock AUM itself , there are many banks and distributor s who for the last 7 to 8 years ha ve been working on a trail commission . It's not possible to provide correct number.
Moderator: Thank you. We have the next question from the line of Lalit De o from EQUI RUS Securities. Please go ahead.
Lalit De o: Good evening. I have few question s. First one was on th e investment book. In this quarter’s investment book, you can see there is a shift from i nvestment from mutual fund s to G -Secs and bonds. Any particular reason for the same? We also see a di p in the equity MF investment b ook. What could be the reason for this?
Vinay Lakhotia : Maybe we have got a better yield in some of the bond and G -Secs . Otherwise if you see the normal allocation of around 60% of our book is into mutual fund . Yes, the allocation to bonds and G-secs have slightly increased , but no specific reason . Only the incremental allocation has gone to Bonds and G -Secs.
Lalit De o: Second one was on your net outflows in the core equity scheme. This was the second quarter where we have experienced net out flow . Just to understand this better like in which of the channels we are experiencing more pain resulting in the outflows because for the industry t his quarte r has been a good quarter for the equity net sales.
Sandeep Samsi: The out flows have been across . It's not specific to any channel . If we have to pinpoint the channel, maybe Banking where there is a higher ch urn. But otherwise it's been across and as Mr. Rahman mentioned that we are now positioning our flanking products there and through those prod ucts we will be able to get back our share in equity.
Lalit De o: Could you also give us the gross equity sal es which you have done during the quarter?
Vinay Lakhotia: Gross , you are asking for this particular quarter?
Lalit De o: Yes Sir.
Vinay Lakhotia: Close to around ■ 2,000 crores.
Moderator: The next question is from the line of Prayesh Jain from Motilal Oswal. Please go ahead. uti ®

Prayesh Jain: Firstly, if I look at your market share it's been weak across segments, not just equity even hybrid in spite of the product la

unch that we ha d we just have a flattish market share sequentially . On income fund we have an improved market share, but the major categories we still have a decline. W hat is the strategy that we would do to improve the market share? One, I think you mentioned on the equity side, but on the overall strategy, what would be the steps that y ou would be taking.

Imtaiyazur Rahman: The decline in market share is because of the two reasons. One, I will tell you the appreciation , since the equity market has gone up significantly and as a result of which the various fund houses, which have high equity AUM , they have got the advantage of the improvement in the market share . However, in the fixed income we have done far better. We have launched the Balanced Advantage Fund so we will be in a position to arrest the loss of market share in t he hybrid . In the equity front , there are five or six schemes which we are working, and we are repositioning in the market and that will help us to regain our market share, and these are Hybrid Equity Fund, Core Equity Fund, Equity Saving Fund and they are well perfor ming fund s, including arbitrage and the multi asset fund . These are the few funds which we are repositioning to recapture our market share.

Vinay Lakhotia : So just to add, I think hybrid and income category of fund s are performing both on the quarterly average as well as closing average . We have increased our market share in the cash and arbitrage , which is a seasonal product . We are quite optimistic and seeing the kind of performance that we have especially on the fixed income side, the market share should actually improve in next few quarters.

Prayesh Jain: Any measures on the distribution side where you plan to increase commissions or something?

Vinay Lakhotia : No. I think commission payout structure is more or less standard. There is no thought process of increasing payout to increase any market share. That's not the case.

Prayesh Jain: Just extending that point, the yield on the balanced Advantage Fund that was launched was much lower. We've been hearing from your competitors that the environment in the N FO market has been better than what we had seen in the uti ®

last couple of years. But still our yields were much lower on that. Is that a challenge to get new funds and that reason you had to bring in at that r ate or what was the thought behind keeping it at that low rate?

Vinay Lakhotia : Normally if you see historically also the yields on the new NFO is lower as compared to yields on the fresh ongoing scheme sales under the equity and the hybrid category . That has been the trend in the industry for the last few years and we don't see any reversal of that particular trend.

Prayesh Jain: Got that. And last question, your seed investments in the international funds . What is the quantum of that and you had earlier high lighted about reducing that. Where we are in that? How should you think about it?

Surojit Saha: We have plans to reduce it . But in these six months, we have not reduced it. We have plans . We are waiting for the opportune movement with the sales increasing in IDEF , which is a flagship scheme as you all know . We are constantly expanding our footprint. We are not only expanding in Europe, but also expanding our reach in the Asia as well as Aust ralia. Once we improve upon the overall AUM , then we will think of further reducing the stake in the seed capital.

Prayesh Jain: What is the current sta ke?

Surojit Saha: Current stake is around USD 18 million.

Moderator: The next question is from the line of Abhijit Sakhare from Kotak Securities.

Abhijit Sakhare: Hi, good evening. Sorry I missed the numbers on equity yields. If you could just reiterate the numbers in terms of t he stock and the flow.

Vinay Lakhotia : There’s no disclosure of yield on f lows. The stock AUM yield on the equit

y is around 70 to 73 basis points.

Abhijit Sakhare: And would you have the numbers, let's say a year back on the similar basis?

Vinay Lakhotia : Last year , it was roughly in the range of 80 basis points .

Abhijit Sakhare: And the second one is that the 4 to 5% expense growth guidance, is that on an overall basis or only on the staff cost?

Vinay Lakhotia : On an overall basis.

Moderator: We have the next question from the line of Dipanjan Ghosh from Citi. Please go ahead. uti ®

Dipanjan Ghosh: Just a few questions. First from the international business . All of the expenses that you need to incur for the Paris and the US facility, have they been incurred, or can we see some lump sum expenses coming in the second half ?
Vinay Lakhotia : Yeah, some legal expenses that M r. Rahman told will come in the second half . But any major expenses, including the hiring of the employees and other establishment costs that may come in the first quarter of the next financial year.
Dipanja n Ghosh: Second . On a standalone b asis, in the last two or three quarters we have seen increase in your employee base quite significantly . Even in a situation where probably AUM growth has been relatively weak. We just want ed to get some sense of where you're really adding these employees and are you strengthening your sales distribution or where are we adding them in?
Vinay Lakhotia : Mostly in the distribution side, as you might be aware we opened 29 offices . We also are pla nning to open roughly around 8 to 10 resident offices across the length and breadth of the country. Any employee increase will be mostly to our sales and distribution.
Imtaiyazur Rahman: We are also planning to go for t he direct and there fore there are a lot of sales team - senior people are retiring . In order to keep the bench ready we have appointed additional management trainees from the campus.
Dipanjan Ghosh: Two more questions . One on your product pipeline for the second -half or the next year 6 to 9 months on the equity or hybrid side.
Sandeep Samsi: We have approval from SEBI for 3 funds a s of now. One is UTI Nifty IT ETF, one is UTI N ifty 10 years benchmark G-Sec ETF and third is UTI 5 year s benchmark G-Sec ETF. So as and when there is an opportune time to launch, we will be launching th ese fund s.
Dipanjan Ghosh: So just if I get it correct there is no active equity sort of spectral form that you are planning to l aunch in the next.
Vinay Lakhotia : No. Mostly all-around the passive side.
Dipanjan Ghosh: Last question . In some of schemes where you have seen weakness in performance, or at least now maybe the one-year category has worsened, the beating maybe gradually gets reflected in three - or five -year market . Are you taking any steps out there and if so, can you just elaborate on that? uti ®
UTI Mutual Fund

Imtaiyazur Rahman: I don't feel I should be in a position to give any color on it . Our fund management team is true to their philosophy and they are fully committed. W e have very competent team led by Mr. Vetri Subramaniam and Ajay Tyagi . They continuously review their por tfolios. But I don't have any i dea to give you any color about this one.
This is led by our fund management team and they have the complete authority and au tonomy to decide and we do every bit in the best interest of the investors . We are true to our philosophy both for the growth and the value opportunity philosophy.
Moderator: The next question is from the line of Gaurav Jani from Prabhudas Liladhar . Pleas e go ahead.
Gaurav Jani: The question is for Vinay Sir I missed the c omments on the yield, so I believe the equity yield of 70-73 basis points is on the stock basis for the qu arters . What would they have been in the last quarter?
Vinay Lakhotia: It was similar . The equity yields are almost flat at 72 to 73 basis point.

There is a marginal decline in the yields under the hybrid category where as I stated earlier, because of this NFO, the yields have actually drop ped.
Gaurav Jani: OK. And debt you would have seen some decline?
Vinay Lakhotia: Yeah, that also as I stated earlier in the debt scheme s, the significant inflows are coming into a shorter duration product where the yields are lower because of that also they have been a four basis point dec line on the fixed income yield on QoQ basis.
Gaurav Jani: Understood. And ETF would have been a bout 1 or 2 basis point .
Vinay Lakhotia: Yeah, almost around three basis point on t he E TF. As I stated earlier, that was because of the revised expens e ratio that we submitted to EPFO .
Gaurav Jani: The three basis points decline would be o n the stock ?
Vinay Lakhotia: Yeah, it's on the stock as well as on the fresh inflows.
Gaurav Jani: Understood, Sir. Second question on the tax rate . This quarter , again we saw lower tax rate. One of the reason s for that and secondly you know drawing parallels to the last year generally we after a couple of quarters of low tax rate, uti ®
UTI Mutual Fund

we see a bump up in t he tax rate. Should we see m ore sort of the numbers in the seco nd-half or how do we look at the overall tax rate of the year?
Vinay Lakhotia: I thin k overall tax rates should be i n the range of around 20 .
Surojit Saha: We don't go by the effective tax rates of any particular quarter . For the year , the effective tax rate will be in the range of 20 to 21 percent. Quarter wise, we don't get into that because it depends on investmen t income and our deferred tax on such investment income. Annually, the effective rate will b e in the range of 20 - 21 percent .
Moderator: The next question is from the line of Bhuvnesh Garg from Investec Capital. Please go ahead.
Bhuvnesh G arg: I just want ed to understand the structure of our trail commission for NF O. For a recently launched, is it a fixed percentage throughout the tenure of the fund or is it a ste p-down structure ? For example , higher commission in earlier 1 -2 years and then lower commission? And how this structur e has changed in the last two or three years? Just your thoughts on th at.
Vinay Lakhotia: Yeah. Normally the first -year payout is slightly higher and 2nd and 3rd year onwards the trail commission get s reduced. This the trend over last 2 to 3 years.
Bhuvnesh G arg: Is there any particular limit as such that how much higher c ommission you can pay in the first year and how much lowest c ommission you can pay in the subsequent years ?
Vinay Lakhotia: No, there is no limit. SEBI doesn't allow the c ommission to exceed the distributable expense ratio. When I say distributable expense ratio , it is the scheme expense ratio minus the operating cost, that's the limit being defined as per the SEBI guideline.
Moderator: Thank you. The next question is from the line of Sunil Shah from S RE PMS. Please go ahead.
Suni l Shah: My question is from the industry perspective. The way in which regulator is addressing the expense ratio. The industry's volume will certainly go over a period of time, but in between for the near term will we see pressure for most of the AMC compa nies. Because of regulatory thing their secondary competition will increase and technology also plays a big role. All those factors will result in uti ®
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the enemy charge that we actually take from the customers . Will that number see a shrinkage overall from a n industry perspective ? Not from the company perspective , but for the industry, could you help to understand ? That is one part . Secon d is more and more passive funds are being launched rather than active ones. The ir charge s to the customer would are at a low er rate versus the direct active fund management. Would those things be right in my assumption that overall the inco

me for t he industry could see some kind of correction before the volume really coming over the long term and then the marke t really explodes . That's the second situation. C ould you help me understand this better? Is my thought on the right direction ?
Vinay Lakhotia: I think industry thought process , I can say very clear if any TER reduction come that will be passed on to the intermediaries. AMC margin, I think most of the AMC will try to protect the margin and the TER cut wi ll be passed on the long term . Yes, there will be some pressure as far as the margin is concerned, but we believe that the volume growth itself will compensate with the overall revenue growth. Margin may contract little bit because of the reduction in the TER. But overall the AMC margin should get protected and the volume will actually play a much important role going forward. As you rightly said, with the growth of the ETF and the passive fund, the overall management fees will come down, and hence volume is where we need to look . Overall revenue number we believe should be improving on a year on year basis.
Obviously operating leverage play a role in this part since the costs are not going to increase substantially, the PAT margin should improve from here onward s.
Imtaiyazur Rahman: It is important to see this as a business opportunity . The industry is growing with the great speed and therefore regulation is there to help the investor . Regulation is not there to harm the investor. We should not see from the regulation perspective . We should look at the opportunity perspective and I believe th e tremendous opportu nity for the entire industry to grow. As Vinay has rightly pointed out, the OpEx so far as the passive is concerned is not going to increase .

Only the volume will increase and therefore the absolute yield will be far superior for the entire industry. We are quite confident .

Sunil Shah: If I can dwell upon one more point. Given the rate at which the country itself is growing and lot of things which are very positive, which are happening right now uti ®

at India versus the wo rld. Can we try to look at global investment s looking at AMC as a platform through which they can i ncrease Indian exposure ? Can we work towards getting money from the international market because getting money in India is perhaps and sorry to use, this word has become a commodity wherein one AMC differentiates from something and the other AMC tries to replicate it overnight. But if we try to get money from the international market and have some presence there, is there any thought that we have within the organization on such a point?

Imtaiyazur Rahman: Yeah, I don't feel . These are always the commoditized products. We will not b e in a position to give you any color about that. India is a great destination. India is the only country which is now talked globally and in every conference room India has been spoken about and discussed. I was there in London four weeks back and I see t he huge amount of optimism about India. Whether the product is commoditized or not, there will be differentiation coming from the performance of the fund and the fund manager and that's how we win a position to differentiate. But India will continue to be in destination despite the fact that the products are commoditized.

Mr Vinay Lakhotia : And we are focusing on in the international business and the testimony to the fact is we have opened an office in Paris and w e are also opening an office in USA so the international business focus is very much there and we expect volume growth from that business as well.

Moderator: The next question is from the line of Dipanjan Ghosh from Citi. Please go ahead.

Dipanjan Ghosh: Just two small questions. One is could you just repeat your point on the ETF yields and why they declined during the quarter and 2nd from a fundamental perspective

w hen there is, let's say sl ight change in your equity AUM . I would presume that the gross expense ratio gets reset immediately, but do you have any flexibility on the payouts on the back book or is it like is just a pass through to your net payers which also declined by almost a similar magnitude, just talking on the back book?

Vinay Lakhotia: Let me answer for the first question. Th e ETF field drop has been because we have submitted the revised proposal to EPFO and because of that, the expense uti ®

ratios and the management fees have actually come down by around 2 to 3 basis points .

Imtaiyazur Rahman: The EPFO came out t o the revised RF P and four of us were selected - SBI, UTI, ICICI and Nippon and everybody put this rev ised quote. Amongst all of them w e are get ting a share of almost 23.5 %, but amongst four our fee is the highest.

Vinay Lakhotia : Could you repeat your second question?

Dipanjan Ghosh: Sir, before that, just a follow up to this question. Can you quantify your EPFO AUM within your ETF space if that's possible?

Imtaiyazur Rahman : We can't share w ith y ou those data .

Dipanjan Ghosh: On the second question, Sir, let's say when your AUM grow on the equity side or even on the hybrid side and you see a change in slab for the TER structure. I would assume that your gross tier resets immediately, but do you have a ny flexibility on the distributed payout on the back boo k or do they contin ue to remain at whatever levels they are?

Vinay Lakhotia: Yeah. Normally we don't. You're asking on the stock AUM ?

Dipanjan Ghosh: On the stock, yeah.

Vinay Lakhotia: On the stock AUM , the commission part remain s as it is and maybe in due course of time, we will correct that, but on the fresh inflows, the commission gets adjusted immediately.

Moderator: Thank you. Ladies and gentlemen, that was the last question. I would now like to hand the conference over to Mr. Imtaiyaz ur Rahman for his closing comments. Over to you, Sir.

Mr. Imtaiyazur Rahman : Thank you . I would like to express our sincere thanks to all of you for your participation. Thank you and go od night.

Moderator: Thank you. Ladie s and gentlemen, thank you for joining the call. In case of any queries, feel free to connect with A dfactors Investor Relations team. You may now disconnect your lines. uti ®
UTI Mutual Fund

Call: May 2024

Ref. No.: UTI/AMC/CS/SE/202 4-25/0424 Date: 2nd May, 202 4
National Stock Exchange of India Limited
Exchange Plaza Plot No. C/1
G Block Bandra – Kurla Complex
Bandra East Mumbai – 400 051.
Scrip Symbol: UTIAMC BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai – 400 001.
Scrip Code / Symbol: 543238 / UTIAMC
Sub: Transcript of the earnings conference c all on financial performance of the Company
for the quarter and financial year ended 31st March , 202 4
Dear Sir / Madam,
Pursuant to Regulation 30 read with Schedule III Part A Para A of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 (the SEBI Listing Regulations) and as per the relevant SEBI Circulars we are disclosing the transcript of the earnings conference call held on Friday , the 26th April , 202 4 at 1100 hrs IST on the financial performance of the Company for the quarter and financial year ended 31st March , 202 4.
The transcript of the aforesaid earnings conference call is also available on the Company's website at www.utimf.com in compliance with Regulation 46 of the SEBI Listing Regulations.
Thanking you,
For UTI Asset Management Company Limited
Arvind Patkar
Company Secretary and Compliance Officer
Encl.: As above
Information Classification: UTI AMC - Confidential
Page 1 of 19 UTI Asset Management Company Limited
Q4 & FY 2024 Earnings Call
26th April 2024
Moderator: Ladies and gentlemen, good day and welcome to the UTI Asset Management Company Lim ited Q4 & FY 24 Earnings Conference Call. From the management, we have with us , Mr. Imtaiyazur Rahman , Managing Director & Chief Executive Officer ; Mr. Vinay Lakhotia , Chief Financial Officer & Head - Corporate Strategy; Mr. Surojit Saha , Group Financial Advisor and Mr. Sandeep Samsi , Head - Investor Relations, Marketing and Corporate Communications. We also have an Investor Relations team from Adfactors PR.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" and then "0" on your touchtone phone.
Please note that this conference is being recorded.
Before we begin, I would like to mention that some of the statements made in today's discussion may be forward -looking in nature and may involve risks and uncertainties. Please note the disclaimer mentioning these risk s and uncertainties are on the disclaimer slide of the investor presentation that has been shared earlier.
I will now hand the conference over to Mr. Imtaiyazur Rahman , MD and CEO for opening remarks. Thank you and over to you, sir.
Imtaiyazur Rahman: Thank you very much. Good morning , and welcome to our earnings call for the fourth quarter and financial year ending 31st March 2024. We appreciate your presence today as we discuss our operational and financial achievements. You may have read our press release and investor presentation , which are available on our website and the website of stock exchanges.

Page 2 of 19 The financial year 2024 has indeed been a stellar year for the capital market and for the investor community. The year brought in numerous opportunities following the phase of normalization in the financial year 2023. Throughout the year, we have witnessed a resilient surge in growth driven by robust positive sentiments towards consumer demand and substantial capital expenditure. Despite tight monetary conditions and a challenging geopolitical landscape, India has maintained its position as one of the faste st-growing economies, building upon the momentum gained in the previous fiscal year. The latest South Asia Development Update by the World Bank, released in April 2024, projects India's growth to reach an impressive 7.5% in Financial

Year 2024. This optimism is supported by the stellar Q3 GDP growth at 8.4%. Other noteworthy developments were the increase in India's weightage in the MSCI Global Index to 18.2%, more than double what it was three years ago, and the inclusion of Indian bonds in the JPMorgan EM Bond Index, which is expected to take effect by the end of June in the current financial year.

In the mutual fund industry, we have observed a significant evolution in recent years. The equity market surge in FY24 has been instrumental in attracting net inflows of approximately ■ 3.54 lakh crore , pushing assets under management to a commendable ■ 53.4 lakh crore as of March 31, 2024. This surge of about 35% from last year has created substantial wealth creation opportunities for retail investors and has led to a notable increase in their count , according to the latest data from AMFI .

As per the March 2024, AMFI reports that more than 60% of assets, i.e., about ■ 33.3 lakh crore , based on average AUM, are held by individual investors. Going by the composition, around 84% of individual investor assets, including HNI, are held in equity -oriented schemes.

Friends, i f we speak about the geographical opportunities for mutual funds, only 18% of AUM is coming from B30 cities . Another interesting point is that the share of women investors in AUM was close to 23% as of February 2024.

 This is an opportune time to bring in substantial investors from these cities into the mainstream financial ecosystem while reinforcing mutual fund industry’s significance in the country's economic structure.

At UTI, we are well positioned to harness the momentum from both B30 and T30 cities, leveraging the changing investor behaviour and improving financial literacy. UTI has been expanding its footprint into new locations across India, particularly in tier-2 and tier-3 towns. Our strength in beyond -30 cities remains steadfast , accounting for close to 21% of our AUM, with a total folio count of 40.87 lakh, which is 33% of our total folio s. This success can be attributed to our consistent efforts in these towns for onboard ing of new investors and foster ing long -term relationships with them. During the year, UTI opened 29 new branches in the Tier-2 and Tier-3 cities, and we will continue to expand our presence in the smaller towns during the current fiscal as well by using the digital infrastructure.

Our strategic focus has been on enhancing supervisory efficiency within the sales function, introducing innovative sales models and roles , and expanding our product offering s for distribution at key counters. We have strengthened our engagement with our distribution partners, and during the year our fund management and product team travelled across the country and conducted 106 mee tings . Of these , 43 meetings , were in the top 10 cities.

We have also reached out to potential investors conducting investor awareness programs across Bharat to raise awareness about Mutual Funds industry to the first-time investors and benefits of investing through SIPs in the mutual funds . As a part of this commitment to financial literacy, we partnered with Dainik Jagran to conduct investor awareness programs across 40 Tier -I, II and III cities. Our Mega IAP event in Varanasi in December 2023 garnered significant retail participation. We will continue to use IAPs to create investor awareness.

Our new and revamped website , catering to investors and distributors , offers enhanced accessibility and functionality. All digital assets of UTI Mutual Fund are now consolidated under our digital platform, ‘UTI HART’ , indicating our

 commitment to providing a delightful experience across all touch points. Leveraging on the digital network, we have hosted online sessions with our fund managers on the debt and equity market outlook.

We have undertaken a comprehensive renovation of our corporate office premises , focusing on ease of comfort and aesthetics to create an appealing working environment for our stakeholders.

Over the last year, we have strengthened our focus on sustainability and responsible investing , and ESG has been deeply embedded in our investment processes and operations. We have developed sector -specific ESG framework and are continuously building capabilities for value -driven investments.

Continuing our commitment to environmental conservation, we have implemented cutting -edge processes such as biometric KYC and go -green options for selected after -sales services.

During the year, we launched UTI Balanced Advantage Fund in the month of July. The fund has an AUM of ■ 2750 crore as of March 31st , 2024. This product launch has helped us complete our offering in the hybrid category of funds. Also, we now have five products under the smart beta category with total AUM of more than ■ 5,500 crore . These smart beta products have helped us address the growing demand of such products in the market. Additionally, we have launched our two differentiated products, namely Nifty 5 -year and 10-year G -Sec ETFs , during the year for institutional investors. While the AUM of these funds is small, we now have two products i n the upcoming category .

On a group level, we are delighted to share with you

•UTI International obtained license from the French regulators for business operations in the European region through our Paris office. This will give us an on-ground presence in Continental Europe and create significant business opportunities in this market.

•Our retirement solution business has obtained a point -of-presence license from PFRDA and a NOC from SEBI. The POP license will allow UTI RSL to reach out to new pension fund investors and engage the

 services of partners t o grow the business. For our AIF business, we have received SEBI approval for starting operations in GIFT City in Gujarat. This will enable foreign investo rs to invest in our domestic AIF fund s.

•UTI AMC and UTI Investment America Ltd. have been registered with the Securities Exchange Commission , USA, and we are planning to start our operations in the USA.

•The total AUM for UTI Group has increased by 19% to ■ 18.48 lakh crore as of March 31st , 2024, compared to ■ 15.56 lakh crore during the previous financial year. The domestic mutual fund business has witnessed a commendable 22% growth, reaching ■ 2.91 lakh crore against ■ 2.39 lakh crore last year.

For further insight into UTI Mutual Fund performance and other operational updates for Q4 & FY 2024, I now invite my colleague, Mr. Sandeep Samsi, Head of Investor Relations, Marketing and Corporate Communications to provide more details .

Sandeep Samsi: Thank you, Sir. I will first take you through UTI’s performance during the fourth quarter and financial year ended March 31st , 2024.

UTI MF PERFORMANCE

•UTI was able to capture a market share of 6.84% of the gross sales of the industry during thi s quarter and market share of 7.79% of the gross sales for FY24.

• Our Equity QAAUM for the quarter ended March 2024 stood at ■ 84,777 crore, rising by 20% as compared to the quarter ended March 2023 .

•QAAUM for Index & ETFs stood at ■ 1,15,448 crore , up by 39% in the fourth quarter commensurate with growth in the overall passive investment. ETFs and index fund s net inflow s stood at ■ 11,682 crore .

•UTI added 1.92 lakh folios taking up the number of live folios to 1.24 crore as on 31st March 2024.

•Our SIP AUM witnessed growth of 42.95% over the corresponding quarter of the last year, reaching to ■ 30,747 crore as of March 2024.

 •The SIP inflows for the fourth quarter stood at ■ 1,772 crore . The SIP g ross inflows for UTI MF witnessed a year -on-year growth of 5% with an average SIP ticket size of ■ 3,164 .4 crore for March 2024.

•For the full year , the SIP inflows were ■ 6,767 crore , higher by 5% compared to ■ 6,463 crore in FY 23.

UTI AMC FINANCIALS

On Consolidated basis

•During the fourth quarter , the company posted a consolidated net profit of ■ 163 crore , higher by 90% YoY and down by 12% QoQ while t he consolidated revenue from o perations for the fourth quarter stood at ■ 416 crore , up by 38% YoY.

•Consolidated core PAT for the fourth quarter is ■ 96 crore up by 68% YoY and 22% QoQ.

•For the full year , the consolidated net profit was ■ 766 crore , Higher by 75% YoY and consolidated revenue from operations was ■ 1,737 crore , up by 37% YoY.

•For the full year , the consolidated core PAT was ■ 345 crore , up by 8% YoY and the core revenue for the same period is ■ 1,182 crore, which is up 5% YoY.

On stand -alone basis

•The PAT of UTI AMC Ltd. for Q4 FY24 is ■ 151 crore , reflecting a growth of 54% YoY and 1% QoQ and core PAT for Q4 FY 24 is ■ 91 crore, up by 71% YoY and 40% QoQ .
•The PAT of UTI AMC Ltd . for FY 24 is ■ 601 crore, higher by 41% YoY .
•Core PAT of UTI AMC Ltd . for FY 24 is ■ 293 crore, up by 6% YoY .
UTI Retirement Solutions Ltd.
•Our 100% owned subsidiary, UTI Retirement Solutions Ltd., has recorded a growth of 25.74% YoY in its AUM, reaching ■ 3.03 lakh crore in Q4 FY24, and currently manages 25.8% of the NPS industry AUM.

 •The PAT of UTI R SL for the full year is ■ 54 crore , an increase of 16% YoY basis .
UTI International
•UTI International, which represents our international business interest , has an AUM of ■ 27,645 crore as of March 31st, 2024, up by 27.4% YoY.
•Our international clients are across more than 35 countries. These are primarily institutions, pensions, insurance, banks, and asset managers.
•One of our flagship funds, the India Dynamic Equity Fund (IDEF) , domicil ed in Ireland, has an AUM of USD 951.77 million.
•UK International's J Safra Sarasin Responsible India Fund, an ESG -compliant India fund, has an AUM of USD 74.66 million.
•UTI India Innovation Fund, launc hed last year, has an AUM of USD 41.33 million.
UTI Alternatives Pvt. Ltd.
•UTI Alternatives Private Limited has a total AUM of ■ 1,974 crore. It has a well-defined ESG policy and strategy in place . It currently manages the following Active Debt Funds:
oUTI Structured Debt Opportunities Fund (UTI SDOF) I, for which we received SEBI approval in August 2017 and which closed in May 2019, has an AUM of ■ 132 crore . Currently, the fund is in exit mode.
oUTI SDOF II has an AUM of ■ 519 crore , and the fund is currently in the investing stage. We had received SEBI approval in February 2021.
oUTI Multi Opportunity Fund I has an AUM of ■ 763 crore . Currently, the fund is in the investing stage.
oUTI SDOF III, for which we received SEBI approval in April 2022, has an AUM of ■ 433 crore . The fund is currently in fundraising as well as an investing stage.
oUTI Real Estate Opportunities Fund I is currently fundraising and investing with commitments of ■ 127 crore.
oUTI Alternatives got a Co-Investment Portfolio Manager (CPM) license in August 2022.

 oWe have received SEBI approvals for two more funds – UTI Credit Opportunities Fund I and UTI Asset Reconstruction Opportunities Fund which will be launching at appropriate times .
We have launched a new and revamped website for our investors and distributors, and with this, we have completed the revamp of all our Digital Assets be it our Website, M obile App, & Contact Center for both investors and distributors. Accompanied by multiple new features and seamless journey, we have also introduced robo -advisory capabilities that shall cover goal planning and management, innovative calculators, risk analy zer, etc .
We have launched a 3-in-1 self-service Digital KYC process riding on Aadhaar, DigiLocker, and eSign , and also extended the same for biometric -based KYC through UTI M F offices. We now have a scalable and robust architectural design to cater to nearly 0.6 million transactions per day riding on micro - service s architecture. To ensure the enterprise assets are accessed securely through a trusted network and device, we have successfully rolled out the Virtual Desktop Infrastructure (VDI) .
I would now request the Managing Director and CEO for his concluding remarks.
Imtaiyazur Rahman: We will go for Q&A now.
Moderator: Sure, sir. Thank you very much, sir. We will now begin the question -and- answer session. The first question is from the line of Swarnabha Mukherjee from B&K Securities. Please go ahead.
Swarnabha Mukherjee: I have three questions from my side. The first one is on the standalone business. There is an expansion of yields that we see. I just wanted to understand the levers of the trend. Is it only because of a higher mix of equity, or is there anything else to lead to that? That would be the first thing, sir.

The second is on the SIP flows . The run rate has improved in the current quarter. How are you seeing that as we have moved into Q1 FY25? And I just wanted to understand from your side how the flow share would be across the

 distribution channels, the direct vis -à-vis the other intermediate channels, and what kind of engagement you might be having to drive this .

And thirdly, on the expenses part, sir, if you could highlight what led to the increase in the sequential increase in the employee benefits expense and also if there could be any additional expense from the Paris office side in the consolidated entity ? Other expenses have remained fairly steady over the years. Any comments on that ? How big could the impact be?

Vinay Lakhotia: I'll take the question on the yield as well as on the expenses side, and Sandeep will take on the SIPs and the marketplace. On the yield , there has been a yield improvement across all categories of the fund s, apart from equity and hybrid.

We are seeing this improvement in cash and arbitrage funds around 2 bps.

In the income fund also, around 1.5 bps of yield improvement is there . On the equity and hybrid funds , the yield improvement is close to around 5 bps, primarily because of two factors. First of all, normally we estimate the commissions , basis our understanding of the business mobilization. The actual payout could be more or less. As you are aware, any scheme expenses cannot be charged to AMC, so if there is any underestimation or overestimation of commission, the differential is adjusted in the management fee. There has been some increase in the management fee on account of overestimation of commission.

Secondly, as you are aware, the B30 accrual commission was stopped by SEBI in February 2023. Whatever business we mobilized until February '23, the commission was required to be paid for a one-year additional trail commission. Since the accrual has stopped for those businesses, that impacted our yield in the first three quarters for equity and hybrid funds . And in fourth quarter , since we are not required to pay any commission as the one-year period has already ended, that has also improved our AMC yield under the equity and hybrid categor y of the fund.

Coming to the expenses, there has been an increase in the employee cost by close to ~10%, both on a sequential as well as on a year -on-year basis. It is

 primarily because of two factors. One is the one -time expense on account of gratuity . Because of actuarial valuation, it increase d was by around ■ 5.5 crore . Also , the insurance cost also has marginally gone up by ■ 2.5 crore during this quarter.

Apart from that, there has been an increase in employee expenses of UTI International. As Mr. Rahman rightly pointed out, we are expanding our business in the international fund, both in the European market as well as in the North American market. Because of that, we have seen increased employee expenses . For UTI International, there has been a slight increase in employee expenses of close to ■ 3 crore on QoQ basis . The other expenses are almost flat, and we believe that this run rate should continue going forward as well.

Swarnabha Mukherjee: Sir, a quick follow -up on the yield part. I wanted to just ask that, as you mentioned, this quarter we are seeing some overestimation of commission, possibly in the previous quarter, right? This is my understanding, correct?

Vinay Lakhotia: Yes.

Swarnabha Mukherjee: So, from Q1 FY25 , how should we look at it? Will it go back to the earlier range?

Vinay Lakhotia: We are continuing with the same rate. So, almost 76 bps will be there for equity and hybrid funds . So, we start the year with the same rate.

Swarnabha Mukherjee: Okay. And for the other categories, the increases that you highlighted, should we take that into account going forward ?

Vinay Lakhotia: Yes.

Swarnabha Mukherjee: Understood.

Sandeep Samsi: Swarnabha , on the SIP inflows, as we mentioned, we have seen improved inflows and we are further taking a number of steps to further improve our inflows in this category. One is the kind of effort that we are taking with our

 distribution partners across the country . Even more so in the smaller cities, where we are seeing significant traction for our funds. What we are trying to do is try to pitch new products . We have different product categories that we launched, like the Balanced Advantage Fund, which we launched last year. We are also targeting the new generation of investors who look at more of these

index funds.
That has also helped us to improve our SIPs. These are the steps that we are taking and we will continue further to take these steps . On the direct versus the distribution mix, it is similar to what it was in the previous quarter, Equity and hybrid, which is the right parameter to look at it because the distribution plays an important role in the distribution of equity and hybrid funds ; that ratio remains similar. 30% is direct, while 60% to 70% comes from the MFD.
Imtaiyazur Rahman: We are extremely focused on enhancing our engagement with our distributors. We have a very deep relationship with the banks as a channel for distribution . We are further enhancing our relationship with the top thousand distributors across the length and breadth of the country. As far as the Paris office is concerned, we are not expecting any further expenses to be incurred.
Swarnabha Mukherjee: Just one clarification, sir, on the distribution mix that you mentioned. That is for the flow. Would that be a correct assumption ?
Sandeep Samsi : That is for the AUM, but for the flows as well , it is very similar.
Moderator: Thank you. We'll move on to the next question, which is from the line of Lalit Deo from Equirus Securities. Please go ahead.
Lalit Deo: Sir, the first question is, as you mentioned on the yields, can you repeat the numbers on the cash and arbitrage, and as you mentioned on the debt stream, what were the yields and how much expense for the group ?
Vinay Lakhotia: So, cash and arbitrage, yields have improved from 9 to 11 bps, and on the fixed income from 21 to 22 bps.

Page 12 of 19 Lalit Deo: On the flow side, while we are taking steps to increase our flows across channels, but then on the net sales side, and on the equity side, we are still seeing some pressure on redemption . Right? Could you highlight what the gross sales were during the quarter in the equity and hybrid category ?
Vinay Lakhotia: So, gross sales for Q4 FY24 were ■ 2,981 crore in equity and hybrid category.
Lalit Deo: Lastly, any new product pipeline or any new product you are looking to launch in FY25 ?
Sandeep Samsi: Yes. We are planning to launch a Multi Cap Fund during the year , and we are also looking to further innovate in the passively managed space as well as thematic funds. We have , of course , continuous efforts to launch new products , and as and when the market cycle and timing is right, we will launch new products.
Moderator: Thank you. We will take the next question from the line of Prayesh Jain from Motilal Oswal. Please go ahead.
Prayesh Jain: Just firstly on the yield front, the improvement in the equity and hybrid categor y you said it was 5 bps. Am I correct in saying that maybe on a sequential basis?
Vinay Lakhotia: Yes.
Prayesh Jain: So, out of that, how much of that would have come from the B30 because that would have been only for one month, right?
Vinay Lakhotia: No. That particular payout impacted our margins for three quarters. it is not possible to give a break up of how much is because of the commission saving and how much is on account of B30.
Prayesh Jain: Because until February, you would have paid the commission, and it is from March that the commission would not have paid. That is the reason I was coming from that point that whether the rates that you have mentioned are the exit rates, so the 5 bps are on an end-to-end basis or on an average basis?

Page 13 of 19 Vinay Lakhotia: It is on an end -to-end basis.
Prayesh Jain: End-to-end. So, this can sustain basically whatever you are mentioning.
Vinay Lakhotia: Yes.
Prayesh Jain: And secondly , sir, there is an improvement in the yields on the international side as well, right? Again, for the sustainability of the same, could you just help us understand the same?
Vinay Lakhotia: Yes. In international business, we are investing heavily and are in the process of launching a few funds as well so w e believe that on international front the yield should actually improve. This is an area we are investing heavily in, so we are promoting two new products over there, India Innovation Fund as well as Private Credit Real Estate Fund . Both of these funds have a slightly better margin, so we do believe that overall revenue as well as the margin number should improve for UTI International as well going forward.
Prayesh Jain: Sir, we have seen very high volatility in this yield internationally ; for example , in Q4 FY23 , it was 0.57%. It has now continuously declined until Q3 FY24, and now we have seen some improvement. What was the reason for this

continuous decline and now a recovery? Is the mix changing , or what is driving this improvement in yields after four quarters of consistent decline?

Vinay Lakhotia: There was a slight asset mix change s as well . During September quarter , we have witnessed some of the redemption in our flagship fund which are the IDEF category and significant inflows have come into our fixed income fund. That brought volatility into the yield number. But we are focusing very heavily on the equity category of the fund and going forward, we believe that overall margin number should improve.

Prayesh Jain: And sir, from an expenses standpoint, how should we look at employee expenses for next year?

Vinay Lakhotia: Very similar to whatever the growth rate has been there for the current year, maybe on a standalone basis, the increase could be around 2 %-3%. On a

 consolidated basis, the increase could be slightly higher because we are investing in all three lines of business. For UTI International, I have already mentioned . UTI Alternative is also we are strengthening our team since we are launching two or three new funds over there. And for UTI RSL also, we are expanding our team to grow our private pension business as well as POP business. So, on a consolidated basis, the number could be 100 and 150 bps higher than the standalone number.

Prayesh Jain: And last question on the tax rate. Could you guide for FY25? What would be the tax rate?

Vinay Lakhotia: I think i t should be in the range of 22 %-23%.

Moderator: Thank you. The next question is from the line of Mohit Mangal from BOB Capital. Please go ahead.

Mohit Mangal: I have three questions. First, on the dividend, I think you have given a special dividend. Going forward, should we expect the same 55 %–60% dividend payout ratio?

Imtaiyazur Rahman: As far as dividend is concerned, w e have a policy that we always pay a minimum 50% dividend to our investors. Last year, we paid around 66%. This year, 66% or 67% we have maintained for the current financial year, and we have given an additional dividend and 100% of our profit we have distributed to our investors.

Mohit Mangal: Next, in terms of the flow, apart from the equity, we saw liquid also seeing net outflows this quarter. What are the major reasons for that?

Imtaiyazur Rahman: For liquid funds , most of the banks go for the exit and therefore there was an outflow. It comes back on the first or second day of the next financial year. So, it is a quarter on quarter problem, and which all AMCs face.

Mohit Mangal: In terms of the live folios, I think we grew from like 1.22 crore to 1.24 crore. I think any strategy over there, if we could increase the live folios, I mean, any

 particular strategy, that's basically been stable for the last two quarters. Any strategy where we can increase the live folios?

Sandeep Samsi : Yes. We are trying to increase our live folios, as we mentioned that we have invested in our digital assets. We have also invested in our partnership, as Mr. Rahman mentioned that we are deepening our relationship with the top thousand mutual fund distributors across the country. We are trying to increase our presence both digitally as well as physically on the ground. Through the SIP flows and partnerships, we are looking to increase the number of folios that we have. Currently, we have 1.24 crore of live folios, and we are confident that we will be able to add more S IP folios as well as normal folios to our accounts.

Moderator: Thank you. We'll take the next question from the line of Abhijeet Sakhare from Kotak Securities. Please go ahead.

Abhijeet Sakhare: The first question is a clarification on the balance sheet. What we noticed was that there was a movement between September and March from property, plants, and equipment to investment property. So, if you could just explain that, please ?

Vinay Lakhotia: We own UTI Tower. In UTI Tower, we have leased out three floors to NIIF Ltd., and as per the accounting standard , if any of the property is leased out , it needs to be reclassified from building to investment property. So, it is just a reclassification of an asset ; the overall property remains the same.

Abhijeet Sakhare: Sir, the second question going back to yields . If you could just help us, like sequentially, what has been the movement in overall equity and hybrid funds? Is this 5 basis point movement from quarter start to quarter end?

Vinay Lakhotia: Yes, 5 basis point is the movement on a sequential quarter basis.

Abhijeet Sakhare: And the last question is that on the flows, like the general slowdown on outflows, can you just give some color around , whether it is like 1 or 2 large funds that are driving it and whether the rest of the smaller funds are actually

 seeing some level of inflows, or whether this behaviour is more or l ess spread across all the top 5-6 funds ? Something on that will be helpful.

Sandeep Samsi : Yes, Abhijeet, if you see, we have good performance both in our hybrid funds as well as income funds. Also , in our passive funds, we have the lowest tracking error in the industry , and this has helped us to build traction. In our equity fund, some of our larger schemes had a quality growth bias, and we are confident about their ability to perform over a full market cycle. Our value -oriented strategies have shown good performance, and we are able to capitalize on the performance in terms of market share for these funds. We have also fine -tuned our go-to-market strategy for the overall equity fund s. As you would know, we have a strong position in B30 cities, and we remain focused on growing our share in these cities. As I already mentioned, we have also revamped our digital assets , and we are getting good traction on these digital assets. And again, we have plans to launch funds across multi -cap fund , passively managed space and thematic funds. So, these are all the efforts that we are taking to improve the performance and market share of equity funds.

Moderator: Thank you. The next question is from the line of Dipanjan Ghosh from Citi Group. Please go ahead.

Dipanjan Ghosh: Firstly , a data -keeping question, can you spell out the ESOP expense for the quarter and year for the stand -alone and consolidated entities? Secondly, on your equity outflows that you have seen during the quarter and year. If you can give some color on if there is a dominance of any particular channel or particular geography, be it B30 or any customer type, like HNI, where you are seeing relatively more outflows, some color on the quality of the outflows and also on the fresh gross sales , that are you seeing in the equity and hybrid categor y?

And lastly, if I look at your other expense number, given that you'll be launching a plethora of funds next year, be it multi -cap or on the passive side or also on the thematic side, how should one think of NFO related expenses in your other expense going into FY25 -26? Those are my questions .

 Vinay Lakhotia: For ESOP, I will provide you with the full year number. On the AMC, the ESOP cost was around ■ 13.14 crore. At a consolidated level, it's around ■ 16.8 crore. And for the next year, as of now, if you don't issue any further ESOP, the next -year cost will be ■ 4.5 crore on the AMC and roughly around ■ 5 crore at the consolidated level.

As far as NFO is concerned, in terms of thematic or an index fund, we don't foresee much of that expenses on the NFO side because those will be soft launches. The multi -cap fund, as and when we launch, there could be some amount of one -time advertisement expenses being charged. But we are cognizant of the cost and that number will not be that sizable.

Sandeep Samsi : On the e quity flows, we had seen some redemptions from the banks and the national distributors. But equally, there are other products that are doing well andw e have seen inflows coming from the same channel. So, net -net, it is similar.

Dipanjan Ghosh : Just if I can squeeze in one question on the yield part, if I understand correctly, there was some overestimation of commissions , and when the actual cash flows were compared with the estimations, you reported yield improvement. So, theoretically speaking, when you start from April 1 or if you look at Q1 FY25 , it should be on a normalized basis, on the correct estimation basis. So, should 35 bps , or whatever blended yield you have kind of booked in the standalone business for Q4 FY24, be the right benchmark to start with?

Vinay Lakhotia: Yes, the 34 bps is the right benchmark , and this yield estimation and comparison is being done on a quarterly basis itself. But we need to be cognizant of the fact that no scheme expenses can be charged to AMC. So, normally, it has to be on a conservative basis. If any upside is there, it gets adjusted in quarter four. But 34 bps is the right number to start at the beginning of the financial year.

Moderator: Thank you. The next question is from the line of Pratham Shah from PD Exports . Please go ahead.

 Pratham Shah : Yes. Good morning. I had a question regarding the stake sale of PNB, Bank of Baroda , and SBI. There were some reports that they wanted to sell their stake. So, is there any progress on that?

Imtaiyazur Rahman: No, we don't know anything about that , and we can't offer any comments on

this. This is their matter, the shareholders' matter. And we , as management, have no role to play in this.
Moderator: Thank you. The next question is from the line of Ajay Jain from Makarand Invest. Please go ahead.
Ajay Jain : Wonderful figures, sir. Congratulations on that. While going through your investor presentation, slide # 38, which is the consolida ted statement of P&L, can you please throw some light on net gain on fair value changes? Because in FY23 , it was ■ 99 crore, and in FY24 , it is ■ 500 crore . I presume it has something to do with the market valuations of shares or the investments that you have made. But can you please let us know? Because the figure is a huge difference. Going forward, what do you feel of the same?
My second question is on the sale of services. We have 5% growth right from FY23, ■ 1,131 crore to ■ 1,182 crore . Going forward, what do you feel of this ?
Vinay Lakhotia: So, I'll take the question of net gain on fair value changes. So, as you are aware in the investor presentation we have mentioned, we have a total consolidated investment of around ■ 3,833 crore . Out of that, almost around ■ 737 crore is invested in the hybrid category funds of UTI, ■ 709 crore is invested in the equity category , and almost ■ 557 crore is invested in the equity /hybrid schemes of UTI International. These are equity -oriented schemes , and as you are aware, the market during the last financial year has given a return in excess of ~29%, I am saying for the NIFTY.
So, because of that, there has been a mark -to-market appreciation, which has significantly increased the fair value change number. On the management fees, yes, the 5% growth is there , and we are hopeful that with the growth in the AUM, especially in the equity and hybrid categories , we should be

 witnessing a positive growth in the management fees as well during the next financial year.
Ajay Jain: Sir, do you feel it would be greater than the current 5% growth?
Imtaiyazur Rahman: Yes, we believe in that. Yes, we are quite confident.
Ajay Jain: And as I understand, the second, fair value change is basically the market improvement in the investments, equity investments, which you've done. Sir, just how do you feel about going forward with this particular assignment? This is the major income that we are earning , and it makes a lot of changes to the profit and loss account. So, what are your views on it going forward, sir ?
Imtaiyazur Rahman: See, we can't give any forward -looking views on the market appreciation. We will give you quarter -on-quarter details when it comes. Please wait for some more quarters.
Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to Mr. Imtaiyazur Rahman for closing comments. Over to you, sir.
Imtaiyazur Rahman: Thank you very much for joining this call. I wish all of you a great financial year and a nice weekend. Thank you so much. Thanks, Sandeep, Vinay, and Surojit , for joining me. Thank you.
Vinay Lakhotia: Thank you.
Sandeep Samsi: Thank you, everyone.
Moderator: Thank you, members of the management. Ladies and gentlemen, thank you for joining the call. In case of any queries, feel free to connect with the Adfactors Investor Relations team. Once again, thank you for joining us. You may now disconnect your lines. Thank you.

Call: Oct 2024

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National Stock Exchange of India Limited
Exchange Plaza Plot No. C/1
G Block Bandra – Kurla Complex
Bandra East Mumbai – 400 051.
Scrip Symbol: UTIAMC BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai – 400 001.
Scrip Code / Symbol: 543238 / UTIAMC
Sub: Transcript of the earnings conference call on financial performance of the Company
for the quarter and half year ended 30th September, 2024
Dear Sir / Madam,
Pursuant to Regulation 30 read with Schedule III Part A Para A of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 (the SEBI Listing Regulations) and as per the relevant SEBI Circulars, we are forwarding the transcript of the earnings conference call held on Saturday, the 26th October, 2024 at 1100 hrs IST on the financial performance of the Company for the quarter and half year ended 30th September, 2024.
The transcript of the aforesaid earnings conference call is also available on the Company's website at www.utimf.com in compliance with Regulation 46 of the SEBI Listin g Regulations.
T
hanking you,
For UTI Asset Management Company Limited
Arvind Patkar
Company Secretary and Compliance Officer
Membership No.: ACS 21577
Encl: As above

UTI Asset Management Company Limited
Q2 & H1 FY25 Earnings Conference Call
October 26, 2024

Moderator: Ladies and gentlemen, good day and welcome to the UTI Asset Management Company Limited Q2 & H1 FY25 Earnings Conference Call.
From the management, we have with us Mr. Imtaiyazur Rahman – Managing Director & Chief Executive Officer ; Mr. Vinay Lakhotia – Chief Financial Officer & Head of Corporate Strategy, Mr. Surojit Saha – Group Financial Advisor and Mr. Sandeep Samsi – Head - Investor Relation s, Marketing & Corporate Communication. We also have with us the Investor Relations team from Adfactor s PR.
As a reminder, all pa rticipant lines will be in the l isten -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing the *, then 0 on your touchtone phone. Please note that this conference is being recorded.
Before we begin, I would like to mention that some of the statements made in today's discussion may be forward -looking in nature and may involve risk and uncertainties. Please note the disclaimer mentioning these risks and uncertainties are on the disclaim er slide of the investor presentation that has been shared earlier.
I will now hand the conference over to Mr. Imtaiyazur Rahman for their opening remarks.
Imtaiyazur Rahman: Thank you so much. Good morning to all of you for joining us today as we review our operational and financial highlights for the half year ended 30th September 2024 as well as quarter ended as on date. We have uploaded our investor presentation on our website as well as on the stock exchanges website. I am quite confident this information must have been read by all of you. We are all here to clarify any doubts that you may have about our operations. I have with me , my distinguished collea gues, Mr. Vinay Lakhotia, CF O of the Company and H ead of Strategy ; Mr. Su rojit Saha, Group Financial Advisor of the Company and Mr. Sandeep Sam si, Head - Investor Relations , Marketing as well as Corporate Communications. We will be appraising all of you on the operational details of our company.
I am pleased to mention that India's economy continues its growth driven by robust domestic demand, rising private capital expenditure and vibrant service activities. Manufacturing sector outperformed in early 2024 aided by lower input cost with growth stabilizing at 6. 7% in quarter two. The IM F and World Bank both projected 7% growth for

our economy for the financial year
2025, supported by a rebound in agriculture and strong private consumption. The Reserve Bank of India maintain s 7.2% growth forecast of our e conomy. We are the fastest growing economy in the world.

Let me share the insights about the mutual fund industry . Mutual fund industry is extremely transparent and the required information is already available i n the mutual fund industry or AMFI website as well as the details which we have provided in our presentation.
The Indian mutual fund industry has witnessed remarkable growth in recent times, much of which can be attributed to the retail investo rs. The aggregate folio coun t as of September 2024 is 21.05 crore as against 15.71 crore a year ago , indicating an increase of 34% on year -on-year basis. The asset s under management of the mutual fund industry saw a significant increase. The average AUM of the industry as on 30th September 2024 was ■ 67.09 lakh crore, a growth of 44% over September 2023 and the figure was ■ 46.58 lakh crore as on September 2023. The increase in investment under SIP has helped the industry to grow. The A UM under SIP touched a new milestone of ■ 13.82 lakh crore in September of 2024. The monthly inflows under SIP are seeing a steady rise with 66.39 lakh new SIP accounts being added in September itself , taking the total count to more than 9.87 crore SIP folio holde rs. The growth can be credited to various factors including investor confidence, financial literacy initiatives and enhance d awareness especially in the cities beyond top 30, a nd a noticeable shift from traditional s avings to new investment avenues. It is pertinent here to mention that mutual fund industry is playing a very significant role in India's economic growth.
Let me share with you about UTI AMC. Our total asset s under management of the group stood at 20.16 lakh crore as of 30th September 2024 compared to 16.89 lakh crore in the same period in the previous year. The UTI mutual fund quarterly average AUM accounted for ■ 3.43 lakh crore reflecting a growth of 28% from ■ 2.67 lakh crore a year ago and ■ 3.11 lakh crore as of 30th June 2024. This significant increase can be largely attributed to our focused go -to-market strategy that aggressively promoted all categor ies of funds .
Friends, in addition to our strategic focus on product categories, we have expanded our investment research universe, which has been instrumental in consistently improving the performance and competitive ranking of our various schemes. Notably, the fixed income category has witnessed a marked revival in recent months, which has further helped in growth of our AUM . The strategic approach has enabled UT I AMC to sustain its upward trajectory, delivering value to all our stakeholde rs. Regarding launch of funds, we are also focused on launching new products as needed by our investo rs.
During the quarter, we successfully launched the UTI Nifty 200 Quality 30 Index F und and the UTI Nifty Private Bank Index F und, both performing well in their respective index fund categories . We now offer 15 products under the Index Fund category with closing AUM of ■ 36,505 crore as of September 30, 202 4. Geographically, our s tronghold is in beyond 30 cities and we are extremely strong there. Our AUM flow is close to 21% monthly average AUM which is higher than the industry average of 19%. To further capit alize on the emerging opportunities, there is a lot of focus on expanding and strengthening our distribution network. UTI has been constantly planning interventions like dedicated training and workshops to equip them with necessary knowledge and skills to navigate the evolving financial landscape. UTI AMC has been

at the forefront of investor education drive to create awareness about the mutual fund category with our flagship program, UTI Swata ntra. In the first half of Septem

ber 2024, the
company has held 3 83 Investor Awareness Program reaching out to 31,000 investo rs. Out of these , 115 s essions were specifically for women investors, engaging more than 5,000 participants. A targeted educational campaign was also conducted for teachers focusing on retirement planning.
Regarding digital assets, we are pleased to inform you that we are constantly augmenting our digital assets and processes to provide best in class technology with top -notch safety standards across our network . UTI is known for its culture and employees’ welfare. Many initiatives and processes have been put in place to create a conducive environment for our team within the country and in our overseas offices.
Technology upgrades are being implemented to streamline operations, enhance performance monitoring, and improve client servic ing.
Let me now share with you about our subsidiaries.
First of them, UTI International :
UTI International has opened a new office in New York. U.S. presents significant opportunities, offering large pool of institutional capital. Our existence in this market provides us with a

unique opportunity. We have undertaken significant steps for the growth of this business. This has led to high employee and administrative costs. But these are critical steps for market expansion , operation upgrades and product development from a medium -to-long -term growth perspective. I am confident that our investment would be extremely fruitful in our future growth. A dedicated push for brand building along with the product distribution is planned for long -term sustainability and AUM growth. These relationshi ps will serve as catalysts for potential future inflows as our track record of India focused investment differentiate us from other global pee rs.
We are actively hiring professionals in key geographies to accelerate business development. The Middle East is driven by sovereign wealth funds and institutional investors seeking global diversification, offering another important growth avenue s. And therefore, we are upgrading our regulatory license in DIFC to give us greater flexibility to offer i nvestment advisory services.
UTI Pension Funds Limited :
UTI Retirement Solutions Limited was renamed as UTI Pension Fund L imited at the beginning of this financial year. After obtaining a POP license from PFRDA and NOC from SEBI, we opened 16 branch offices across Bharat. We are in the process of building a strong sales & distribution team for NPS in order to grow our market share in the private sector. I am extremely delighted to share that UTI PF L fund performance during financial 2024 has been commendable. We have

been ranked number one for the central government scheme and as well as for the state government scheme.
Our other subsidiary, U TI Alternatives :
We intend to dive deeper into existing business territory along with expanding into new ones simultaneously . Between financial year 2021 and half year September 2024, we saw high employee cost. This is due to the increase in hiring of good business executives.
During the same period, management fees income has also increased. Therefore, we can say with all confidence that the employee cost has increased commensurately with the growth of the business, and it provides us a great business opportunity in future. Sales function in this organization will continue to operate on lean models, and we will leverage on our distribution network largely. For sales support, we may also explore some tie ups. SDOF -I and SDOF -II expected to be fully closed. Existing funds which are currently in fund -raising mode will be entering their financial close soon.
Friends , at the group level, we are delighted to share that our subsidi aries are well capitalized.
I would like to highlight that in UTI Group, our focus continues to be on :
• One, launching appropriate new products in all busin

ess lines.
• Two, increasing our geographical expansion.
• Three, investing in hiring and upskilling our human capital for the entire group.
• Four, investing in digital resources for the entire group.
• Five, enhancing the governance practices globally of the gold standard.
• Six, having robust risk management processes globally.
• Last but not the least, building a strong mechanism for strict compliance and regu lation.
For further insight into UTI AMC's performance and other operations, update for Q2 and H1 of financial year 2025 , I now invite Mr . Sandeep Samsi , Head of Investor Relation s, Marketing & Corporate Communications to provide the details of our operations. Over to you , Sandeep and thank you.
Sandeep Samsi: Thank you , sir. I will first take you through UTI AMC performance during the 2nd Quarter and half year ended 30th September 2024. UTI had a market share of 6.2% of the total gross sales of the industry during this quarter and market share of 6.6% of the total gross sales for the H1 FY25. Our equity quarterly average AUM for the quarter ended September ‘24 stood at ■ 98,638 crore, rising by approximately 26% as compared to the quarter ended September ‘23. Quarterly average AUM for index and ET F stood at ■ 145,135 crore, up by 47% year -on-year in the 2nd Quarter . ETFs and index funds net inflows stood at ■ 6,022 crore in quarter two of FY25.

UTI Mutual Fund has added 4 lakh 7 thousand folios during the quarter, taking up the number of live folios to 1.29 crore as on 30th September, 2024. Our SIP AUM witnessed a growth of 50.26% over the corresponding quarter of last year, reaching 39,882 crore as of September ‘24. The SIP inflows for the 2nd Quarter stood at ■ 2,058 crore . The SIP gross inflows for the 2nd quarter for UTI Mutual Fund witnessed a year -on-year growth of approximately 25%, with the average SIP ticket size being ■ 3,297 on September ‘24. For the half year, SIP inflows were ■

3,907 crore, higher by 18.42% as compared to ■ 3,300 crore in the H1 of FY24.
On UTI financials on consolidated basi s.
During this 2nd Quarter , the company posted a consolidated net profit of ■239 crore higher by 31% year -on-year and down by 6% quarter -on-quarter, while the consolidated core revenue from operations stood at ■373 crore higher by 28% year -on-year and by 11% quarter -on-quarter .
The core profit after tax for the 2nd Quarter was ■ 132 crore , higher by 50% year -on-year and 14% quarter -on-quarter. For the half year, the consolidated net profit was ■ 493 crore , higher by 18% year -on-year and consolidated core revenue from operations was ■ 710 crore , up by 24% year -on-year.
On a standalone basis, PAT of UTI AMC limited for Q2 of FY25 is ■ 201 crore reflecting a growth of 50% on a year -on-year basis and 8% on quarter -on-quarter basis. PAT for H1 FY25 is ■ 387 crore , higher by 29% Yo Y. The core profit after tax for the 2nd Quarter was ■ 116 crore higher by 65% Y oY and 17% QoQ . The core profit after tax for H1 FY25 is ■ 214 crore higher by 54% YoY.
On HR initiative, as part of its commitment for continuous learning, we successfully rolled out a new learning management system called UTI Pragati . This platform provides employees at all levels with opportunit ies for ongoing development and training.
On tax -related matters, we would like to highlight an important aspect on the additional deferred tax liability created in Q2 FY25 for ■ 12.10 crore . As per the Indian accounting standards, we mark -to-market our treasury investment every quarter and create deferred tax liability on the notional gains. Till June '24, we had created deferred tax liability at a prevailing tax rate then, including indexation benefits. However, the capital gains tax rate has been changed in the union budget of 2024, including th e change of tax rate for equity -oriented mutual funds to 12.5% and the indexation ben

efits have also been removed. Accordingly, we
have recomputed the deferred tax liability on all the past M2M gains at the new rate. As a result, the deferred tax liability recorded on fair value gains on the investment as of June '24 has increased by ■ 12.10 crore , thereby resulting in an additional one -time charge in the net profit of the company as on September 30, 2024.
Coming to the Group Company :

UTI Pension Fund Limited
Our 100% subsidiary, UTI Pension Fund Limited has recorded a growth of 24.64% year -on-year in its A UM reaching approximately ■ 3.36 lakh crore as of 30th September '24 and currently it manages 25.12% of the NPS Industries A UM. The PAT of U TI Pension Fund Limited for the first half of the year is ■ 29 crore , an increase of 16% year -on-year.
On UTI International :
UTI international represents our international business interest and has an A UM of ■ 29,814 crore as on 30th September 24, up by 23.16% year -on-year. Our international clients are across more than 40 countries. These are primarily institutions, pensions, insurances, banks and asset manage rs. One of our flagship fund s by India Dynamic Equity Fund, domiciled in Ireland, has an AUM of USD 1,136 million. UK International J. Safra Sarasin Responsible India Fund , an E SG compliant India Fund has an AUM of USD 76 million.
UTI Innovation Fund launched last year has an AUM of US D 56 million.
UTI Alternatives Private Limited:
UTI Alternatives Private Limited has an AUM of ■ 2,856 crore . It has a well -defined E SG policy and strategy. It is committed to responsible investing . UTI SDOF -II & III have a well -defined ESG policy and strategy. It currently manages the following active debt funds :
• UTI SDOF -I received SEBI approval in August 2017 and has final close in May 2019. It has a net commitment of ■ 71 crore and is in the exit stage.
• UTI SDOF -II received SEBI approval in February '21 and had the final close in May '22. It had net commitments of ■ 467 crore and is currently in exit stage .
• UTI SDOF -III received SEBI approval in April '22 and has a net commitment of ■ 540 crore . It is currently in fund raising and investing stage.
• UTI Multi Opportunities Fund -I, which ha d SEBI approval in February '22, has net commitment of ■ 1,598 crore . It is currently in the investing stage.
• UTI Real Estate Opportunity 1 is currently fundraising and investing with commitment of ■ 130 crore .
• UTI Alternative got Co-investment Portfolio Managers (CPM) license in August 2022.
• We have launched two more funds in Credit Opportunity Fund -I and UTI Asset Reconstruction Opportunities Fund.
We have three more funds registered in GIFT city which will be launched soon.
Just an update, UTI Venture F und has been renamed as UTI Hart Financial and Investment

Services Limited.
I would now request the Managing Director & CEO for his concluding remarks .

Imtaiyazur Rahman: Thank you , Sandeep for sharing operational and financial updates of the company for 2nd Quarter and the first half of Financial Year 2024 -25. With this , we would like to open the forum for questions -and-answers session.
On behalf of UTI AMC, we wish you, your family a very happy Diwali and prosperous New Year. We would also like to wish our partners, investors and other stakeholders and to all Indians wherever they reside a happy Diwali. Thank you very much for joining this call. Over to you.
Moderator: Thank you very much sir. We will now begin the question -and-answer session. The first question is from the line of Dipanjan Ghosh from Citibank. Please go ahead.
Dipanjan Ghosh: Just two - three questions from my side. First, a data -keeping question. If you can quantify the ESOP expense for the first half for the standalone and consolidated business . Second, you know, we have heard in the conference call of some of your peers that they hav

e either
tweaked the renewal payout structures on the back book in some schemes or incremental flows that come in, they are going for a differentiated renewal payout structure for the flows that incrementally are coming in. So, just wanted to check, have you undertaken any such change either on the back book or on fresh flows? And also, as a philosophy, do you kind of concur with this view? And my third question is mor e from the perspective of U TI Pension. So, just wanted to understand how the yield trajectory or the realizations in this segment are really structured and how do you foresee it going ahead.
Vinay Lakhotia : So, Dipanjan , on the ESOP expenses, we have expenses close to around ■ 3.5 crore for half year and for the whole of the financial year, the number should be in the range of around ■ 5 crore only.
Dipanjan Ghosh: Just wanted to s ay if this one is standalone or consolidated basis ?
Vinay Lakhotia : It is the same only. On the stock AUM , as far as the commission is concerned, no, we haven't carried out any rationalization of commission expenses on the stock AUM . On the fresh inflows, anyway, we are calling marginal expense ratios a policy where only on the sharing ratios on the incremental inflows is shared between us and the AM C. So, on an incremental inflow, that has been our policy over the last four to five yea rs. But on the stock AUM , no rationalization has taken place. And the third question with respect to pension fund, the gross f ees is close to around 3 basis points. And as you are aware, 50% of the fees is required to be paid back to PFRDA for development of pension fund. So, on a net basis, the incremental fees is close to around 1.5 basis points.
Dipanjan Ghosh: I just wanted to follow up on the second question on the marginal sharing fund. So, let's say a distributor sells a large cap fund or some other fund of yours, let's say the gross expense ratio on the fresh inflow for the year is, whatever, let's say around 1.75%. And on that, on the first year, you will have a certain payout and then you will have a certain distributor renew al payout also. But as the A UM goes, obviously, your gross expense ratio keeps coming down. I

understand you're trying to say is that it's like a proportion of sharing. So, if the gross expense ratio comes down then on the year two, year three, year four onwards, also the percentage sharing between you and the distributor remains same and the sliding structure is followed. Is that a correct understanding on the fresh flow?
Vinay Lakhotia : Yeah, that's correct. But normally it happen s that the second and the third year commission in many of the cases are on a lower side as compared to the first year commission. So, even though the arrangements are also there, as of now, we haven't reduced the commission on the stock AUM . That exercise we have not done.
Moderator: Thank you. The next question is from the line of Lalit Deo from Equirus Securities. Please go ahead.
Lalit Deo: First question is can you give us your s egment wise yields , revenue yields for quarter -on-quarter basis across equity , debt & ETF ? Second question was more from the flow perspective. So, again in this quarter we have seen some outflows in our core equity scheme. So, if you could give us some color on the gross flows as well as some color on the outflow redemption side also ? And the third question was on the expenses side. So, how should we see our employee s expenses for this year as well as the next year?
Vinay Lakhotia : So, on the yield part, I can say for equity and hybrid fund, it's close to around 75 basis points. ETF and index fund is roughly around 6 -7 basis points. Cash and arbitrage is around 10 basis points and income fund at around 20 to 21 basis points. With respect to your, I think second question, Sandeep will reply. And the third question was with respect to the cost part

. So, the employee cost, I think what we indicated in our earlier call also, employee cost for standalone basis , you can see a rise of just around 2%-3% on the FY24 number. And on the other admin expenses , the range, the increase would be around 8 %to 10 %.

Sandeep Samsi: Our equity funds have shown steady improvement in the performance and peer ranking over the last 6 months. And if you look at our performance on a one -year basis, 11 out of our 18 equity funds are now in the quartile 1 and 2. And if you look at my March numbers, they were about 6. So, from 6, we have moved up to 11. As mentioned earlier, many of our equity funds had a focus on quality style of investing for the portfolios, whereas the value style was preceding over quality in the last three to four years, which somehow impacted our performance. The turnaround of our f und performance should help us to build the momentum for a sustainable growth both in terms of assets and market share. Given the current market condition and volatility, we have been following our hybrid funds as the go -to-market strategy with a lot of t hrust via sales campaign. This has led to some impetus to the performance. And if you look at our SIP A UM, this has grown by more than 50% to ■ 39,882 crore as on the Y oY basis . And our gross sales of the market share was 6.2% for the quarter 2 and 6.6% for the half year.

Vinay Lakhotia : So, and just to add Lalit, I think we are doing fairly well as far as the hybrid category is concerned. In fact, for the half of the financial year, we are mobilizing excess of close to around ■ 2,500 crore on the hybrid category. So, this is one category we are actually focusing on and receiving good amount of inflows. And as Sandeep rightly pointed out, I think for the next two quarter s, we should see some traction as far as the equity inflows are concerned.

Moderator: Thank you. The next question is from the line of Mohit from Centrum India. P lease go ahead.

Mohit: Sir, my first question is if I look at the last 3 to 4 quarters, the number of branches and employees have reduced. You know what could be the reason for this?

Vinay Lakhotia : The number of branches in fact has increased by close to around 24 branches b ecause last year we opened 29 branches ; however, there have been som e rationalizations of branches w here the AUM doesn't justify the branches, so we have closed 5 branches . But net addition as compared to last year has been 24. The headcount of em ployees has actually come down because of n atural retirement that is happening .

Mohit: But sir are we going to fill this and will this have an impact on the employee expense, the number of employees?

Vinay Lakhotia : Already for retirement , we have already explained earlier that we have recruited the management trainee s over the last 2 to 3 years and they are being groomed to take some of these leadership positions. So, no new additions are to the employees ' expense per se a s of now.

Mohit: Alright. In terms of the market share , I think again we saw a minor decline in this quarter as well. So, are there any immediate steps that you're taking in terms of changing in responsibilities of any fund managers o r something to gain more market share especially on the equity side?

Imtaiyazur Rahman : We are collectively working to increase our market share. Our fund performance is on the right side and right direction. We as a team, the investment, CEO office, as well as the distribution, we are working with our stakeholders to take our equity schemes to the market. And we are rightly placed to go to the market so far equity schemes are concerned. And that will help us to basically contain our decline in the market share and increase in market share. You have seen the other segment, we have increased our market share and I'm quite confident that on the backdrop of better performance and right product po

sitioning and with the go -to-the market strategy, we will be in a pos ition to gain our market share.

Moderator: Thank you. The next question is from the line of Abhijeet Sakh are from Kot ak Securities. Please go ahead.

Abhijeet Sakhare: Sir, I have three questions. The first one is on the yield. Just wanted to clarify, you mentioned 75 basis points on the active equity funds, including hybrid. Just wanted to know what would this number be in the first quarter a nd last year full year, please?

Vinay Lakhotia : It's a very similar number. Last quarter also , it was close to around 75-76 basis points and similar quarter last year was around 75 , so we have been able to maintain the yield number.

Abhijeet Sakhare: Understood. And secondly, on the cost front sir , again, just clarifying, you mentioned 2% to 3% for employees and the rest of it at 8% to 10%. But this is at the company level, right? Because I thought you mentioned for the standalone business. So, just wanted to clarify that.

Vinay Lakhotia : Yeah . Let me clarify, 2% to 3% at the standalone level, at the consolidated level, since you are building our business bas e in all the three subsidiaries, employee costs at a consolidated level coul d be in the range of around 4%.

Imtaiyazur Rahman : So, Abhijeet , there are two costs today. One is the cost to run the operation. Another is investment in future. So, we are hiring, as I mentioned in my opening remark, that we are hiring in all geographies. We have hired now two people in USA. We have started our office in USA. We have hired more people in France. We are in the process of hiring some more people in Singapore. We have already hired one person in Dubai, and it is a process of hiring more people in Dubai. And we are also relocating our CEO of UTI International from Singapore to Dubai. These are our investments in future, and therefore we need to be careful. And I don't want to quantify them as expenses. In accounting terms , it's expenses, but in business term , these are the investments in future. So, if our standalone is concerned and I think whatever we have promised 4 or 5 years back to the market, we are able to keep our commitment up. As against the 7% or 8%, 11% generally has been an increase in the employee cost and in the asset management space overall, the increase is only 2% to 3% . And it will further reduce in the next few quarters so as far as standalone is concerned. Be a bit careful to distinguish between investment in business and the cost to run an operation. Thank you.

Abhijeet Sakhare: That's it. Thanks for clarifying. And again, sir, last bit on the expense front. For non -employee cost, you mentioned 8 % to 10 %, right? That's the number to consider ?

Imtaiyazur Rahman : Yeah. And they are also just be careful about . We are investing in our digital strategy that goes directly to the P&L. We have tied up with the Salesforce. We ar e revisiting our digital assets and we are also hiring in the digital space so far as employees are concerned. And this is globally applicable. We have already put in place a very strong risk management processes and therefore we have had the services of the various consultants across the globe to put in place the right business processes. But if you see on a line item wise, the expenses will be in the range of 5% to 6%. There are extraordinary expenses which we are not in a position to tell the market these are extraordinary expenses. But I mentioned to you the extraordinary expenses which we are incurring and these are the one -time expenses. For example, we hired the services year and a half back of Alvarez & Marsal to look into our investment processes. There

is a cost to this one. And also we have Bloomberg in place . The Bloomberg is in dollar s. So, any change in the exchange rate also increase s our costs . So, far, the costs are not so much bec

ause
the currency was a bit stable.

Abhijeet Sakhare: Thank you so much, sir. The last one is on flows. I think this quarter we've done better compared to trends in the past. So, again, going forward into next 12 months, do you really foresee overall net enclose d into active equity funds to be in a positive zone and possibly a substanti al jump over the past run rate?

Vinay Lakhotia : That is the whole idea, Abhijeet , that the thought process since Sandeep rightly pointed out, the uptick in performance is there at least on the six month and now closer to one year. So, we are actively pushing our equity fund , Hybrid fund, as I explained earlier, we have been doing well in this particular segment, especially with the repositioning of our multi -asset fund. And this is the one fund where we are mobilizing a good amount of inflows . So, on the equity and the hybrid side, yes, the management focus is there, and we should expect good inflows in the next two quarte rs.

Moderator: Thank you. The next question is from the line of Madhukar Ladha from Nuvama Weal th Management. Please go ahead.

Madhukar Ladha : Most of my questions have been answered, but just on the employee expenses. So, finally we're seeing that expense line getting contained. And I wanted to know, are you completely done with all the hiring for the year and this current expense of about ■ 115 crore , can we take that to be your sort of normalized run rate? And then post that in 26, 27, what sort of h ike should be built in or how many more employees will retire over 26, 27. So, what sort of cost benefit can come through from there? That will be h elpful to know. And then on a consolidated basis, what would that mean? Second, I think earlier in this year in 2Q, y our direct T ERs across most equity schemes went up, and that would have meant about 5 basis points incremental yield. So, why has that not played out? Because you are saying quarter -to-quarter your equity yields have remained stable. So, is there some expense which has gone up below the direct TER level. Is that why this has not happened, or what could be the reason for that? T hose would be my two questions.

Vinay Lakhotia : Madhu kar, I think we will stick to our guidance number as far as this particular financial year is concerned. At least 2%-3% increase on the employee cost on a standalone basis, and close to around 4%-4.5% on the consolidated level. And the overall guidance that we have been given till 2028 -2029 , the employee cost should be on a declining trajectory. As and when we progress to the next financial year, we will provide an overall guidance. We don't want to comment on the individual number of employees, but at the beginning of the next financial year, we will provide a guidance for the full year. But as we have stated earlier, the employee cost will be on a declining trajectory even after factoring the inflation number. Secondly, on the yield part, yes, the direct plan window has gone up by around 3 to 4 basis point, but obviously we have got fresh inflows also. So, equity and hybrid fund, there have been fresh inflows of almost

around ■ 6,000 crore to ■ 7,000 crore during this half year. So, as you are aware , since the yields are lower on the fresh inflows and higher yield on the debt , we have been able to ensure that the overall yield at the stock level remain the same at around 75 basis points.

Moderator: Thank you. The next question is from the line of Prayesh Jain from Motilal Oswal. Please go ahead.

Prayesh Jain: Just a few questions. Firstly, on the rationalization of commission in the industry, in another couple of calls that have happened of your counterparts , have kind of mentioned about rationalization of commission structures linking them to the TER industry kind of moving towards that. So , do you think that even UTI would follow suit going ahead? That would be my first question.

The second one being, in terms of debt, how do you see the kind of flows coming into the longer duration funds going ahead with the interest cuts likely to come through probably towards the end of the quarter or end of the fiscal? And lastly, how do you see the mix between mutual fun ds and other businesses from a 2 year to 3 year standpoint in terms of revenue and profitability mix? Those would be my questions . Thanks.

Vinay Lakhotia : From the first point , as far as the rationalization of commission is concerned, yes, we are exploring that option , definitely not in this particular quarter, but maybe quarter four or beginning of the next financial year, we will take a call on that. As far as debt inflows is concern ed, over the last two quarters we have seen a significant amount of inflows coming only in short duration product. But if the interest rate cut cycle plays out, then definitely a longer duration product will be the flavor of the season and not only UTI Mutual Fund but the entire industry can witness a good amount of inflows as far as the long duration product is concerned. But as of now for the last two quarters the inflows are going into a shorter duration and a money market kind of product.

Vinay Lakhotia : On the mix side , as Mr. Rahman and Sandeep already pointed out, we are building our base in all the three subsidiaries. Alternative s, the yields are quite good and we are building our team and expanding our capabilities and in the process of launching three to four funds. So, definitely the business volume and the yield from that particular business segment should improve. On UTI I nternational , the yield depends on inflows coming in and from which category . If it is coming under the equity category, and if the Indian market continues to attract NRIs and the foreign investor s, we should see some yield improving on the international business as well.

Imtaiyazur Rahman: So, far as pension fund is concerned, as you know that the G overnment of India has already announced that Unified Pension Scheme and 10% more will be the al location at the Central Government and as well as the State Government employees , that will help us tremendously in increasing our AUM and the profitability so far as the pension fund is concerned.

Prayesh Jain: In terms of scale in alternate business and do you think that you are at that level where incremental flows or incremental revenues will kind of flow down to bottom line and

resultantly the profitability of the entire company, the core profitability can actually see significant boost up from something like an alternate asset s.

Vinay Lakhotia : So, from the alternate we are quite hopeful that at least from the beginning of the next financial year this company will turn into core PAT positive. So, definitely from next financial year this company is going to add to the core PAT number of UTI AMC on a standalone basis.

Imtaiyazur Rahman: This company UTI Alternative has built a very strong track record in mobilizing the money and paying back to the investo rs. We have not seen any defaults so far and we have given extra ordinary return. So, this company has become the role model so far as credit funds are concerned in our country. And we are expecting a good traction in all our subsidiaries .

Moderator: Thank you. The next question is from the line of Jignesh Shial from InCred Capital. Please go ahead.

Jignesh Shial : I just have a couple of questions. First of all, sorry if I missed out. Your other expenses had on consol basis 19% kind of a Y oY and 16% kind of a sequential growth. So, anything specific to read into or any one -offs in that?

Vinay Lakhotia : Not sure which numbers are you looking at.

Jignesh Shial: ■ 74 crore which I was saying on other expenses.

Vinay Lakhotia : On a consolidated level you are saying?

Jignesh Shial: Yeah, on consol idated .

Vinay Lakhotia : So, the c

onsolidated level as we pointed out , since we are expanding our reach as far as the international business are concerned , so we are building our team and Mr. Rahman rightly pointed out, we have opened an office in Paris as well as in the United States. So, initial establishment cost , as well as the rental cost of these two offices have come into. So, on a consolidated level, these expenses have gone up. And also we have opened 15 points of presence offices for our pension fund compan y. So, because of that, the expenses at the consolidated level has gone up.
Jignesh Shial: So, on a Y oY basis ?
Vinay Lakhotia : 10% - 12%
Jignesh Shial: 10% to 12%, right?
Vinay Lakhotia : Yes.

Jignesh Shial: Secondly, what I am seeing on your SIP flow, SIP flow has seen a significant improvement. But specifically if I see your monthly gross SIP numbers inflows, there has been a massive improvement in July, August and September this year. So, anything specific that you want to highlight that the steps that you have take n or what is the resultant? What are the reasons for such a significant improvement and how we are seeing it up SIP flow specifically in the coming months ? Anything specific that you want to highlight from here?
Sandeep Samsi: So, Jignesh , I pointed out earlier also that we have been taking efforts to improve our market share with the fintech partners, as well as with all the distributors who are there with us. So, banks, national distributors, FinTechs are important partners who help us in our SIP count. So, with the fund performance being there, improvement in the equity fund performance, as well as the fixed income and the hybrid fun d, there are significant inflows coming in the SIP format. And as you know that SIP has now become a popular trend in the country where young people who are coming into the industry are also looking at SIP as the first way of investing into mutual funds. So, that's the reason. UTI has also benefited from the SIP flows.
Imtaiyazur Rahman: But we have a very clear plan and we are executing it well. Each and every sales team member has got a target for our SIP and that is working well for us. The investment team and the distribution team are working cohesively and they are going to the market together. So, we are in a position to give a lot of confidence to the market and I am quite confident going forward this number will have further improvement.
Jignesh Shial: Why I was asking you because obviously the trend has been improving the last couple of months in itself. The last three months, I've seen a significant improvement. So, I was wondering whether is it coming up from hybrid because where your market share has gained and that is the reason why there is a significant improvement on month -on-month basis or something else to read into. But that's okay . That is fine.
Vinay Lakhotia : Hybrid is one category that we are focusing on. So, a major part of that incremental inflow here is coming into hybrid.
Imtaiyazur Rahman: Our focus is on all products , for example equity, we have some very goo d performing schemes. We have repositioned our funds in the market. We hav e a very focused way of selling them . We were waiting for turn -around of our flagship fund s. And we ar e extremely thankful to our fund management team that they have been able to give a turn - around . And these all this will help us in going forward. Our Board is extremely particular. They review our performance, they advise us, they counsel us appropriately. So, it's an entire team work which is helping us to grow our presence in all fields.
Jignesh Shial: And lastly, just one more thing is that our index and E TFs have seen a massive improvement on the market share segment side and all. But typically what my understanding is that these are low-yield funds overall. But obviously our growth seems to be doing pretty, I mean, rela

tively
it looks to be far higher. So, will that have any impact because obviously ETFs are anyhow

getting very popular across the industry also. So, will that have any impact on our revenues or you don't see that happening much on because of this, no much impact at all? Any comments on revenues because your share and your market share and the growth in index and ETFs are far high ? That's it from my side.
Imtaiyazur Rahman: Yield is a very difficult indicator. Overall yield will be different, but I strongly believe in the absolute profit, not the yield. And this is a volume business, passive is a volume business. Your yield may be the same, and overall yield may come down if you put on a per unit basis , but the overall profit will go up. So, I am considering as an overall profit. My profit number should go up. That is the focus.
Vinay Lakhotia : I think, Jignesh as earlier highlighted also in the call, I think PAT margin number is one parameter. I think most of you guys should look into it because the kind of industry we are in, yield margin numbers are bound to come down because of asset mix and the difference

between the yield and the stock AUM and the fresh inflow s. So, yield margins will be on a declining trajectory, but the PAT margin number is one, where due to operating leverage and because of volume growth, that number should keep on improving.

Moderator: Thank you . The last question is from the line of Gaurav Jani from Prabhudas Lilladher. Please go ahead.

Gaurav Jani: Just one question pertaining to the net flows, right? Could you just clarify that the equity and hybrid net flows includes the arbitrage number, right?

Vinay Lakhotia : No, it doesn't include arbitrage. Arbitrage we are including in cash and liquid.

Moderator: Thank you . That was the last question for the today’s conference call. I would now like to hand the conference to the management for their closing comments.

Imtaiyazur Rahman: Thank you very much once again . Again I would like to wish all of you and your family a very Happy Diwali and thank you for joining this call. May God bless all of you. Thank you.

Moderator: Thank you. Ladies and gentlemen, thank you for joining the call. In case of any queries, feel free to connect with Adfactors Investor Relation s team. You may now disconnect your lines. Thank you.

Call: May 2025

Information Classification: UTI AMC - Public Ref. No.: UTI/AMC/CS/SE/202 5-26/0539 Date : 6th May, 202 5
National Stock Exchange of India Limited
Exchange Plaza Plot No. C/1
G Block Bandra – Kurla Complex
Bandra East Mumbai – 400 051.
Scrip Symbol: UTIAMC BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai – 400 001.
Scrip Code / Symbol: 543238 / UTIAMC
Sub: Transcript of the earnings conference call on financial performance of the Company
for the quarter and financia l year ended 3 1st March , 202 5
Dear Sir / Madam,
Pursuant to Regulation 30 read with Schedule III Part A Para A of the Securities and Exchange
Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 (the SEBI
Listing Regulations) and as per the relevant SEBI Circulars we are forwarding the transcript of
the earnings conference call held on Wednes day, the 30th April , 202 5 at 1600 hrs IST on the
financial performance of the Company for the quarter and financial year ended 3 1st March , 202 5.
The transcript of the aforesaid earnings conference call is also available on the Company's website
at www.utimf.com in compliance with Regulation 46 of the SEBI Listing Regulations.
Thanking you,
For UTI Asset Management Company Limited
Arvind Patkar
Company Secretary and Compliance Officer
Membership No.: ACS 21577
Encl: As above

Information Classification: UTI AMC - Confidential
UTI Asset Management Company Limited
Q4 FY'25 Earnings Conference Call
April 30, 202 5

Moderator: Ladies and gentlemen, good day, and welcome to the UTI Asset Management Company Limited Q4 and
FY '25 Earnings Conference Call.
From the management, we have with us today Mr. Imtaiyazur Rahman – Managing Director and Chief
Executive Officer; Mr. Vinay Lakhotia – Chief Financial Officer and Head Corporate Strateg y; Mr. Surojit
Saha – Group Financial Adviser; Mr. Vetri Subramaniam – Chief Investment Officer; and Mr. Sandeep
Samsi – Head of Investor Relations, Marketing and Corporate Communications. We also have Investor
Relations team from Adfactors PR.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for
you to ask questions after the presentation concludes. Should you need assistance during the conference
call, please signal an operator by pressing "* " and then "0" on your touchtone phone. Please note that
this conference is being recorded.
Before we begin, I would like to mention that some of the statements made in today's conference call
may be forward -looking in nature and may involve risks and uncertainties. Please note the disclaimer
mentioning these risks and uncertainties are on the di sclaimer slide of the investor presentation that has
been shared earlier.
I will now hand the conference over to Mr. Imtaiyazur Rahman – MD and CEO for opening remarks. Over
to you, sir.
Imtaiyazur Rahman: Thank you. A very good evening to all of you. It is my great honor and privilege to represent UTI AMC as
its Chief Executive Officer, and I would like to welcome you as well. I would like to inform you that during
this call, we will apprise you about our f inancial and operational performance for 4th Quarter and year -
ended March 31, 2025. I hope you have gone through the press release and investor presentation, which
are available on UTI AMC's website.
I have with me my distinguished colleagues, and they are Mr. Vetri Subramaniam, Chief Investment
Officer and the Chairman of the Management Committee of UTI AMC; Mr. Vinay Lakhotia, CFO of the
company and Head of Strategy; Mr. Surojit Saha and Mr. Sandeep Samsi.
I now hand over to Mr. Vetri Subramaniam to talk about the macroeconomic view and industry -related
update. Vetri, over to you.

 Vetri Subramaniam: Thank you, Imtaiyaz. I will kick off with covering a little bit on macroeconomics and then dive into the
mutual fund industry and a brief update on UTI AMC.
India's economic narrative continues to be a compelling one marked by a growth trajectory that has so
far outpaced the majority of our emerging market peers. Despite geopolitical realignment, policy resets

and economic shifts, India has remained quite resi lient. The focus on macro prudential stability across fiscal and monetary policy domains means that India is well positioned to favorably navigate the stress in the global economy. The union budget for '25 -'26 took a balanced approach by focusing on fiscal consolidation, moderate government borrowing and tax incentives.

A lower fiscal deficit of around 4.4% of GDP and controlled borrowing reflect prudent financial management, while tax relief measures aim to boost disposable income in the hand s of households. The MPC has reduced the repo rate by 50 basis points and accompanied by RBI's monetary policy interventions in the market, liquidity has improved significantly. The shift to an accommodative stance during the MPC meeting in April 2025 point s to a determined effort to support economic growth in India. India's direct ex posure to current global trade tensions is relatively limited, but the interconnected nature of the world economy means that we must remain vigilant to broader shifts in global demand and potential indirect impacts.

The longer -term implications of this reset of geopolitics and trade flow are still evolving. The large opportunity for India is to seize this moment to deregulate, cut red tape , attract FDI and unleash animal spirits. Cost competitiveness and market size will remain key factors that drive investment decisions by businesses, both in India and elsewhere in the world. India is blessed with attractive demographics, abundant labor supply and the status of being the world's fifth largest economy.

I will now move on to cover the developments in the mutual fund industry during the year and the quarter. With this macroeconomic context and amidst volatility in Indian stock markets, mutual funds continue to grow, fueled by expanding retail participation. Ther e has been robust growth of 32% in aggregate folio accounts, reaching an impressive ■ 23.5 crores where equity funds dominated with ■ 16.5 crores and ■ 1.6 crores in hybrid funds as compared to ■ 17.7 crores folios in March 2024. This underscores the broadening investor appetite for diverse asset allocation strategies. For the month of March 2025, monthly SIP contributions grew by 34.5% year -on-year to ■ 25,926 crores.

For the full financial year, SIP assets have grown by 24.5% on a yearly basis, reaching nearly ■ 13.35 lakh crores by the end of March 2025. Total assets under management witnessed a substantial leap of 23%, translating into total AUM of ■ 65.7 lakh crores. This growth was propelled by fresh inflows and favorable mark -to-market gains, highlighting the inherent dynamism of our business. However, the latter half of the fiscal year presented a nuanced picture marked by a market correction that has led to a dis cernible moderation in the flow of funds into mutual funds. While overall equity inflows hit 11 -month low in March 2025 as per AMFI, the industry marked its 49th consecutive month of positive inflows in open - ended equity schemes, underscoring the enduring confidence of retail investors.

 According to data from AMFI, these equity flows contracted 14.4% on a month -on-month basis in March, settling at approximately ■ 25,082 crores, and this does suggest some impact of market volatility on investor behavior. This month followed a significant 26.2% month -on-month decline that was registered in February 2025, indicating, as I said earlier, growing investor caution amidst heightened market volatility. We anticipate that

th e regulatory push for retail investors by simplifying rules and introducing ■ 250 monthly SIP will further deepen equity market participation among a wide class of investors and also across a wide range of towns and smaller habitations.

I'll next move on to discuss some of the factors relating to UTI Asset Management Company. At UTI AMC, we recognize the powerful interplay of India's demographic shifts, rising digital adoption and evolving investment behavior. Our strategy is sharply focused on cap italizing on this transformation by expanding our presence across Tier-1 to Tier-4 cities, strengthening digital access through investor and partner platforms, backed by a robust investment framework like ScoreAlpha and GIMS, we remain committed to nurturing a culture of disciplined investing even as the economy progresses towards a $5 trillion milestone in terms of GDP. The UTI Group's total assets under management stood at ■ 21.05 lakh crore as of March 31, 2025, reflecting a growth of 14% compared to ■ 18.48 lakh crores at the end of the previous year.

Mutual fund quarterly average AUM was ■ 3.4 lakh crores as against ■ 2.91 lakh crore last year. We have added 9.52 lakh folios during the year to take the total count to 1.33 crore folios. During the year, UTI AMC strategically expanded its reach across India, targeting both the promising B30 and the established T30 cities . We further extended our physical presence into newer territories with a particular focus on Tier-2 and Tier-3 towns. Our established strength in beyond 30 cities remains a cornerstone, c ontributing nearly 22% to our monthly average AUM. This success stemmed from our sustained efforts in these regions to acquire new investors and cultivate enduring relationships.

Demonstrating this commitment, we inaugurated 68 new branches in Tier-2 and Tier-3 cities in financial year 2025 a nd this physical expansion has been carried out with net zero cost addition to UTI AMC by rationalizing space, reallocating people and modifying branch organization al structure. Technology played a vital role in our growth strategy, enabling both the expansion of our investor base and the enhancement of investor awareness. We are the first mutual fund house in India to implement Salesforce marke ting automat ion tool for investors and MFDs and this will enable us to send personalized communication and engage in direct conversation. At the same time, our digital platform, UTI HART, has gained momentum, offering seamless accessibility and enhanced functionality for both investors and

distribu tors.
Moving on, financial literacy and awareness campaigns were among the topmost priorities for UTI. We conducted investor education campaigns across various platforms to reach as many investors as possible. On-ground campaigns were conducted in association wi th leading publications in remote corners of Madhya Pradesh, Chhattisgarh, Rajasthan and Gujarat. More than 1,600 college students were engaged in a campaign called project F LY - Financial Literacy for Youth - through interactive classroom sessions to foster financial awareness. With over 890 investor awareness programs, we reached out to more than

Page 4 of 15 72,000 prospective investors, includ ing 291 programs for 12,000+ women investors with our various interventions.
Moving on , FY 2025 has seen a turnaround in our equity performance. 5 7% of our equity AUM is in the top two quartile s over a one-year period, and performance is even stronger over the three -month and six-month period ended March 2025. So obviously, these are still very short -term periods as regards to equity investments. Product innovation remains central to our AUM growth strategy. Amongst the NFOs we launched in FY 2025, UTI Quant Fund, which opened in February '25, saw good traction from our investors and partners alike. We also launched three smart beta, two thematic and one market cap -based index fund, fu

rther augmenting our offerings in passively managed space. Complementing our geographical and prod uct expansion, we continue to strengthen our distribution network through dedicated training and workshops. Our fund management and product teams have been actively engaging with distributors nationwide, fostering stronger collaborations.
I will move on to talk about our global operations, which are conducted through UTI International. UTI International has established presence in key markets, including a new office that we have opened in New York , and is well placed to tap into the opportunities for international capital looking to be invested in India. We also progressed in upgrading our regulatory license in DIFC in Dubai to enhance our investment advisory capabilities in the Middle East. We are very proud of our subsidiary, UTI Pension Fund. This company crossed the milestone of ■ 3.6 lakh cr ore AUM at this point of time. W e would like to announce that the Competent Authorities of PFRDA have transferred all schemes of Max Life Pension Fund Management to UTI Pension Fund due to our strong fund performance. Our efforts in private sector NPS have been very encouraging with a growth of 61% in AUM over the previous year.
I will now talk about UTI Alternatives. Our first Structured Debt Opportunities Fund exited all investments profitably. Our investment operations in both GIFT City and Real Estate Opportunities Fund (ROF), and we are gradually attaining momentum in co -investment portfolio management services.
A broader word on all our subsidiaries. We would like to highlight that all our subsidiaries are well capitalized. They are aligned with our long -term vision.
We will continue to focus on launching adequate products to offer a complete suite of investment solutions, expand to areas with marginal access to mutual funds across the country, keep exploring and adopting best practices for a conducive work environment so that we can attract and retain the best talent. We wish to enhance our digital footprint and capabilities, and we will look to further strengthen our governance and risk management practices. Through these multifaceted efforts, UTI AMC is strategically positioned to sustain its growth trajectory and deliver value to all our stakeholders during the year.
Now I would like to hand over to Sandeep Samsi, Head of Marketing and Investor Relations, to share our performance in detail.

Page 5 of 15 Sandeep Samsi: Thank you, sir. I will begin with UTI AMC's performance in the 4th Quarter and for the Financial Year ‘2 4-
'25.
Starting with the mutual fund performance.
The quarterly average AUM as of March '25 was ■ 3.4 lakh crores, a 16.8% growth year -on-year. Our market share of industr y’s gross sales for the 4th Quarter was 6.9%, while for the full financial year, it was 6.8%. Our equity quarterly average AUM for March 2025 stood at ■ 90,863 crores, rising by 7.18% as compared to the quarter ended March '24. Our quarterly average AUM for the index and ETF funds stood at ■ 1,41,492 crores, up by 23% in the 4th Quarter . ETFs and Index fund net inflow stood at ■ 19,605 crores. We have added 9.52 lakh folios during the year, taking up the number of live folios to 1.33 crores as on 31st March 2025.
The net increase in folio numbers in the 4th Quarter was around 1.89 lakh. There has been a positive movement in equity and hybrid fund net sales for UTI during this year. We have moved from a negative of ■ 4,230 crores of net sales for the last financial year to a positive net sales of ■ 1,178 crores during this financial year. Our SIP AUM witnessed a growth of 22.26% over the corresponding quarter of last year, reaching to ■ 37,591 crores as of March 2025. The SIP inflows for the 4th Quarter stood at ■ 2,215 crores. The SIP gross inflows for UTI Mutual Fund witnessed a year -on-year growth of 24% with an average SIP ticket size being ■ 3,239 for March 2025.

For the full year, SIP inflows were ■ 8,325 crores, higher by 23% compared to ■ 6,767 crores in FY '24. The SIP folios in March '25 were 26.92 lakh, a 14% growth from

March '24.
Coming to the contribution from B30 cities, 22% of our monthly average AUM for March '25 came from the B30 cities. For industry , the average stood at around 18%.
UTI AMC Financials : On a consolidated basis, for the full Financial Year ‘2 4-'25, core revenue from operations was ■ 1,445 crores, up by 22% year -on-year. The core profit after tax for FY '24 -'25 was ■ 492 crores, up by 43% year -on-year and overall consolidated net profit was ■ 731 crores, down by 5% year -on-year. During the 4th Quarter , the consolidated core revenue from operations stood at ■ 360 crores, up by 13% year -on-year. The core profit after tax for the 4th Quarter was ■ 98 crores, higher by 2% year -on-year.
On a stand -alone basis, for the full year FY '24 -'25, the core revenue from operations was ■ 1,180 crores, up by 24% year -on-year. The core profit after tax for FY '24 -'25 was ■ 447 crores, up by 52% year -on-year. The overall net profit was ■ 653 crores, up by 9% year -on-year. During the 4th Quarter , the core revenue from operations stood at ■ 296 crores, up by 15% year -on-year. The core profit after tax for the 4th Quarter was ■ 108 crores, higher by 20% year -on-year.
On the digital assets, in the financial year 2025, as Vetri shared, we have partnered with Salesforce and gone live with their marketing automation tool to send customized communication to our investors. We are the first mutual fund in India to adopt Sales force.

Page 6 of 15 47.87% of our gross sales of equity and hybrid funds were mobilized through the digital platforms in quarter 4 of FY '25. After the complete revamp of our website and mobile app in FY '24, we benchmarked our digital assets with the industry and have made relevant upgradations to foster seamless experience to investors and partners.
Diversity, equity and inclusion initiatives are at the highest priority in UTI, and there is a continuous focus on building inclusive hiring practices and promoting gender diversity in leadership roles. A lot of impetus has been put on learning and develop ment for the employees as well as for the ir well-being. Many trainings intervention across behavioral, functional and leadership domains have been imparted over the years. Support is being extended to the leadership team by way of structured coaching for strategic impact.
On sales and distribution, to augment our distribution network, we conducted an empanelment drive, which helped us in extending our MFD network with around 8,500 new partners in FY '25. Our Know Your Fund House engagement activities were executed with Pan -India MFDs, while many webinars were also conducted to upskill our partners.
Coming to our group companies , in addition to the highlights shared by Vetri on UTI Pension Fund earlier, we would like to share that UTI PFL has recorded a growth of 19% year -on-year in its AUM, reaching approximately ■ 3.59 lakh crores as of March '25 and currently manages 24.86% of the NPS Industries ’ AUM. The profit after tax of UTI PFL for FY '25 is at ■ 57 crores, an increase of 5% year -on-year. UTI PFL is now fully operational from 21 locations across the country. The management of funds under the default pattern of Unified Pension Scheme (UPS), and the Unified Pension Scheme Pool Corpus has been entrusted to UTI Pension Fund Limited, along with 2 other pension fund managers by PFRDA.
On UTI International - UTI International, which represents our international business has an AUM of ■ 25,383 crores as of March '25. One of our flagship funds , India Dynamic Equity Fund (IDEF) domiciled in Ireland has an AUM of $805 million. The ESG -compliant J Safra Sarasin Responsible India fund has an AUM of $65.4 million. UTI India Innovation Fund, another Ireland -domiciled fund has an AU

M of USD 47
million.
On UTI Alternatives Limited - UTI Alternatives Private Limited has a total AUM of ■ 2,648 crores as of March '25, a 34% growth from March '24. It has a well -defined ESG policy and strategy and is committed to responsible investing. The UTI SDOF I has exited all investments profitably, while UTI SDOF II ha d a final close in May 2022 and has a net commitment of ■ 239 crores and is currently in exit mode. The UTI SDOF III has a net commitment of ■ 615 crores. Currently, it is in fundraising and investing stage. UTI Multi Opportunities Fund I is currently in investing stage and has net commitments of ■ 1,599 crores. The UTI Real Estate Opportunities Fund I is currently fundraising and investing with a commitment of ■ 145 crores. The UTI Credit Opportunities Fund I and UTI Asset Reconstruction Opportunities Fund are in investing stage. Three of the funds have received approval of IFSC under the UAPL branch office FME approval, and we have commenced operations with USD 200 million commitment.
I would now request the Managing Director, for his concluding remarks.

Page 7 of 15 Imtaiyazur Rahman: Thank you, Sandeep, for sharing the operational and financial updates of the company for the 4th
Quarter and financial year 2025. I am also extremely pleased to inform you that UTI AMC has declared a dividend of ■ 48 per share, including ■ 22 as a special dividend for the Financial Year ‘2 4-'25. This is almost 94% of the stand -alone profit of the company, which is at ■ 653 crores.
We would like to open the forum for question and answer s. Thank you very much.
.Moderator: Thank you . We will now begin the question -and-answer session. Anyone who wishes to ask a question may press “*” and “1” on the touchtone telephone. If you wish to withdraw yourself from the question queue, you may press “*” and “2” . Participants are requested to please use handsets only while asking a

question. Ladies and gentlemen , we will now wait for a moment whil e the question queue assembles.
We have our first question from the line of Mohit Mangal from Centrum Broking . Please go ahead.

Mohit Mangal: My first question is in terms of net flows. I think we had a very good quarter with around 15 -odd billion of net flows. But having said that, I think majority of them came from the Quant Fund that we launched in the quarter. So can you explain your strategy if you would launch new NFOs in Financial Year ‘2 6?

Vinay Lakhotia : So Mohit, we have recently got a regulatory approval to launch a multi -cap fund, and that fund is already open for subscription from 29th of April till 13th of May. Apart from multi -cap fund, we don't see any pipeline as far as the diversified equity is concerned. There will be some launches on the ETF and the index fund , depending on the appetite. But apart from that, on the diversified equity fund, we don't foresee any NFO launches.

Mohit Mangal: All right. My next question is towards the tax rate. So we saw a very high tax rate in Q4. What was the reason for that?

Vinay Lakhotia : Q4, I think overall tax rate, if you compare, it is because of a change in the deferred tax liability on account of th e budgetary regulation change where the indexation benefit was withdrawn. Because of that, the taxation rate has increased by almost around 2.3%.

Mohit Mangal: Okay. But going forward, from '26 onwards, it will be normal tax rate, right?

Vinay Lakhotia : Yes, on a book rate, we see in the range of around 23% to 24%.

Mohit Mangal: 23% to 24%. Okay. Lastly, in terms of yields, how should we see that going forward? And if you could spell the yield for equity , debt and liquid for the quarter?

Vinay Lakhotia : So as far as the book yield is concerned, equity and hybrid fund, our book yield is close to around 75 basis points. Equity and Index fund is around 5 to 6 basis points. Cash around 9 to 10, and income fund for around 22 to 23 basis points. So the we

ighted average yield is around 34 basis points. Going forward, we expect maybe a dilution of max to max 1 or 2 basis points in yield, mainly because of the higher proportion of ETF AUM that we have. And we continue to receive very high inflows on the ETF and the index fund. Because of that, there might be an equity dilution of around 1 to 2 basis points.

Moderator: Thank you. We have our next question from the line of Parth Agarwal from Bastion Research. Please go ahead.

Parth Agarwal: I have a question regarding the Op ex cost, which has increased significantly this quarter. Is it attributed to only NFOs? Or is there any other reason?

Vinay Lakhotia : It's not actually NFO. Just to highlight that over the last 15 months, we have opened more than 91 branches. Some of those branches were opened in the previous quarter. Some of those renovation expenses to open these offices have come into this quarter. On an aggregate basis, if you see, in spite of opening of 91 branches over the full financial year, on a year -on-year basis, the overall other expenses have increased by just around 6%. We have been able to rationalize the cost on many other aspects. And in spite of the number of branches increasing from 164 to 255 as on 31st March, the operating expenses are well under control.

Parth Agarwal: So can I expect this ■ 90 crores of run rate to continue in the FY '26 as well in subsequent quarters? Or is there a possibility of it getting normalized?

Vinay Lakhotia: No, I think, 7% to 8% inflation increase on these numbers, you can assume.

Parth Agarwal: These number means FY '25 numbers or quarter 4 FY '25 numbers?

Vinay Lakhotia : No, the overall FY '25 number.

Moderator: Thank you. We have our next question from the line of Lalit Deo from Equirus Securities. Please go ahead.

Lalit Deo: Sir, just 2 questions. Firstly, on the international side. So we have seen some decline in the AUM side of it. So is it majorly on account of the M -to-M losses? And how should we look ahead for FY '26 and FY '27 in the international business?

Vinay Lakhotia: So the major decline, yes, both on a quarter -on-quarter basis as well as on a year -on-year basis has been a mark -to-market impact in 2 of our main fund - UTI Innovation Fund and UTI Dynamic Equity Fund. With respect to the outlook, I think Vetri, you may take up.

Vetri Subramaniam: Yes, I think we are continuing to see good engagement from institutional investors showing interest in India. So hard to give any guidance on exactly what the numbers will be, but I think we are quite encouraged by the trend of conversation we are having w ith global investors who are looking for investment products, which can allow them to participate in Indian equity markets.

Lalit Deo: Sure, sir. And sir, on the employee side, so we have seen some additions in the employees in this particular quarter. And also on the employee expenses, like on the stand -alone side, we have seen some decline for this whole FY '25 on an annual basis. So how should one read into it for FY '26 in te rms of cost as well as new headcount additions?

Vinay Lakhotia: The guidance that we have given in an earlier call as well, at least for the stand -alone entity, for FY '25, '26, we don't foresee our employee cost rising more than 300 basis points over FY '25 number in spite of annual wage hike of 7% to 8% in this partic ular year. On a consolidated basis, this number could be around 150 to 200 basis points more , primarily because we are investing heavily in all the 3 subsidiaries. UTI International, as Sandeep rightly pointed out, we have expanded our pr esence in Europe as well as

U.S.A. So there might be some additional headcount recruitment over there.
UTI Pension Fund, we are expanding our POP business. There also, the headcount of employees in the FY 24-25 has increased by almost around 40, and we expect a similar run r

ate to continue. So on a consol idated level, the employee cost on FY '24 - '25 number could increase by around 400 to 500 basis points. But on a stand -alone, we believe that it should be in the range of around 250 to 300 basis points. And this projection number does not include any additional ESOP s, which may be granted by NRC in this particular financial year.
Moderator: Thank you. We have our next question from the line of Prayesh Jain from Motilal Oswal. Please go ahead.
Prayesh Jain : Just a couple of questions. Firstly, our fund performance seems to have improved in the last few months. When do you think we should start seeing some improvement in market share on the equity side? We still -- on a quarterly basis, we still have seen a decline in market share, right? Or this was just about steady market share, so when do we see an improvemen t in market share on equity plus hybrid?
Vetri Subramaniam : This is Vetri here. So good question. As I said earlier, for the full year, almost 5 7% of the equity hybrid AUM is in quartile 1, quartile 2. And when you look at it sequentially, it sort of keeps improving as you get closer to the end of the year. In our experience, normally, you need at least a 12 -month strong number to start turning the corner, which I think we saw in the last two quarters, we started to see that inflection point. And the strongest numbers typically show up 18 months, 24 months into the cycle because remember, for many people, including gatekeepers who approve products, typically, the 3 -year number of performance is what actually plays a very critical role in their filtering.
Not each and every individual, but many of the platforms, many of the gatekeepers and distributors typically tend to look at 3 years. So we would expect that during the course of this year, we'll certainly be well into the 18 -month, 24 -month period, there should be a significant improvement in those numbers. And anecdotally, we already know that some of the products have received new approvals at different national and banking partners. So all of that will contribute, we hope, to a gain in market share during the course of this year.
Prayesh Jain: Any indications on your existing schemes apart from NFOs, what has been the flow trajectory, whether it's been positive and what will be a flow market share ex cept NFO?
Sandeep Samsi : Sandeep here. We have seen good traction on our hybrid funds also, and that is reflected in the net sales that we have seen in our hybrid funds. That is one positive, which is there beyond the sales which are coming in our equity NFOs. Also, our large and mid -cap has seen good traction in the last financial year. So these are some of the funds which have done well for us in the last year.

 Vetri Subramaniam: And just to add to what Sandeep said , Vetri here again. For a while now, our focus has been largely on trying to get investors to look at the hybrid solutions for a variety of reasons, our view on valuation, our view on the best way to navigate volatility and also sort of make the investor journey smoother. That's been a big focus. And I would say a significant part of the traction we have seen in turning around flows during the course of this year has actually come from the hybrid fun ds.
Prayesh Jain: Generally, with fund performance, you need to have your sales force on the ground really gaining traction and initiatives by the company should be. So any new initiatives on the sales front that you guys will be taking to capitalize on this improvement in fund performance?
Imtaiyazur Rahman : No. See, so far as the sales is concerned, as Vinay mentioned, we have opened large number of offices.
Our interactions with all channels of distributions like Bank as a distributor or national distributors or MFD, very intense conversation we are having. And we have seen the inflow in the previous year, the last financial year,

in almost in all our equity schemes. So backed by the very good performance, our track record, consistency in the team and very able , now sales team on the ground with our great relationship, we are quite confident that going forward, our sales number will be quite better.
Prayesh Jain: Just a clarification on the employee cost front, what you mentioned was the stand -alone employee cost would go up by 3% Y -o-Y. And on a consol idated basis, it would go up by 5%. Is that the right way to understand?
Vinay Lakhotia: Correct.
Moderator: Thank you. We have our next question from the line of Dipanjan Ghosh from Citigroup. Please go ahead.
Dipanjan Ghosh: Just a few questions from my side. First, on the SIP flow number, just for you guys, can you just kind of split it between different channels or a ballpark qualitative understanding of that? And second, on these lines, when the market has seen some margina l dip in the SIP number, be it in terms of gross flows or new registrations, how has been the trend for you across channel partnerships or customer cohorts? If you can give some color on that? And the second question, when I look at -- and this is not for the quarter, but annually, when I look at your RTA payouts, they're significantly higher than what I look at it for peers. I just wanted to understand, is there some other additional work that the RTAs are doing for you? And can there be so me headroom on that part over the next 2 to 3 years?
Vinay Lakhotia : RTA payout, you are seeing on the AMC financials ?
Dipanjan Ghosh: Yes. On the AMC financials.

Dipanjan Ghosh: On the scheme financials, basically, when I do the bottom -up from the scheme accounts?
Vinay Lakhotia : So scheme financials, I think all these rates are pretty much standardized across industry players. So whatever dissection you do across categories, I think we are pretty much in line with the industry player s.
Dipanjan Ghosh: Okay. Maybe I will take that offline.

Page 11 of 15 Sandeep Samsi : On the SIP flows, we have seen marginal, but continuous increase in our monthly SIP inflows throughout
the Financial Year ‘2 5. Our SIP gross sales and folio account on a year -on-year basis have also grown by around 23% and 14%, respectively. So we still have some comfort level there. Our focus right now is on the on -ground activation for education around the long -term investment in SIPs. If you look at the share by the channel, the highest share in SIP flows was from the MFD chan nel, which is about 51%, followed by direct and RIA channels, which are in the range of 15% to 20%. If you look at the 4 quarters, the contribution of the direct channel to SIP flows remained at around 17% to 18%. And in absolute number, there has been a c ontinuous increase quarter -on-quarter basis. We have similar trends in other channels. So for UTI, there hasn't been really a slowdown in the SIP numbers.
Moderator: Thank you. We have our next question from the line of Abhijeet Sakhare from Kotak Securities. Please go ahead.
Abhijeet Sakhare : I have a couple of data questions. So when I look at the UTI International financials, there is a sharp drop in investment and other income line from ■ 112 crores to ■ 31 crores. I wanted to understand if all of this is due to the mark -to-market impact only. And this is in context of the breakup of your own investments, right? When I look at that number, it's close to about ■ 600 crores. So in that context, that decline in investment and other income seems to be a pretty sharp drop. So some clarification th ere, please.
Vinay Lakhotia: Yes. So out of that ■ 600 crores, only ■ 450 crores is actually invested into equity fund s, majorly into UTI Innovation Fund and Dynamic Equity fund. And ■ 108 crores is actually a sovereign ETF fund and Balance Fund . You don't have any mark -to-market issue as far as the ETF is concerned. But both on Innovation Fund and Dynamic Equity f

und, you need to appreciate that apart from the market impact, there is also a currency impact. Currency has fallen sharply over the last year & so and especially in the last quarter. It's actually a dual impact of market depreciation as well as the currency impact. So the entire impact in the investment income is primarily because of mark -to-market impact in UTI Innovation Fund, Dynamic Fund and UTI Balance Fund, which the company has i nvested as a seed capital investment into these funds.
Abhijeet Sakhare: And second, again, on the international business, is it possible to share what is the staff count just for this entity?
Vinay Lakhotia: Standalone or quarterly basis?
Abhijeet Sakhare: The number of people in the international business. Number of employees.
Vinay Lakhotia: 30. It's close to around 30.
Abhijeet Sakhare: Okay. Got it. And sir, just last one on the yields. You mentioned it's about 75 basis points. But now given that we are expecting flows to recover, going ahead, do you expect any drop in realizations in the equity side?
Vinay Lakhotia: Yes, some dilution could happen. We have also rationalized some of the distributor commissions, older AUM, which had been impacting our margin over the last 4 to 5 years and market has corrected. So that

Page 12 of 15 rationalization we have already carried out. We believe that rationalization will cushion some of the decline in the yield that may happen because of fresh inflows under equity and hybrid fund.
Abhijeet Sakhare: Got that. And again, on this point, sir, is it possible to quantify what would be the amount of savings because of the commission cuts? And are they already fully reflected in the numbers?
Vinay Lakhotia: No, these are not reflected. This is implemented from this particular quarter. This will be visible in the next quarter in earnings. Difficult to quantify, but the only guidance that we want to provide is that this will provide some cushion in equity yield dilution going forward.
Moderator: Thank you. We have our next question from the line of Krunal Shah from Enam Investments. Please go ahead.
Krunal Shah: So my first question is regarding the UTI Retirement and UTI International business. So if I see the operating expense of these 2 businesses, it has gone from ■ 135 crores in FY '22 to around ■ 221 crores in FY '25. So that's a sharp jump. Simultaneously, the revenue has not increased too much. So just one point I want to understand is where will this cost stabilize? And what is the kind of return that we're expecting from these costs that we're incurring?
Vinay Lakhotia: So I will take these 2 questions separately. On UTI International, some of these operating expenses have increased because of our branch expansion in Europe and U.S.A., where there have been a onetime establishment cost as well, including the very high compliance c ost. Those expenses are already being factored into. We believe that for FY '25 '26, this should grow at a similar run rate only.
In terms of monetizing when these expenses will actually result in revenue, I think, we are already in discussion with a few of the partners. And once the fresh inflows come, this investment will actually justify.
With respect to UTI Pension, I think, you need to understand that out of 3 basis points that we are earning from PFRDA, 1.5 basis point is paid back to PFRDA as marketing activity. So this 1.5 basis points that we

are paying back to PFRDA is actually coming as an other expenses, and these expenses keep on increasing in line wi th the AUM movement. So since UTI Pension has seen almost 18% to 20% increase in the AUM, that has resulted into increase in other expenses. Also, we are expanding our geographical pre sence for UTI Pension Fund. We have already opened 41 branches, which are part of UTI branches only. Because of that, at a UTI Pension level, some of

these Op ex costs are on a slightly higher side. But this particular business generates revenue. As you can see, almost around ■ 55 crores to ■ 56 crores of profit is being contributed by this particular entity at a consolidated level. I hope I answered the question.
Krunal Shah: Yes. To some extent, yes. So just one point on UTI Retirement. So our share of the business in terms of the AUM has gone down from like 25.8% to 25%. But my understanding was that you are supposed to get a fixed amount every time from PFRDA in terms of AUM flow. So why our share has declined in that case?

 Imtaiyazur Rahman : No, there are 2 type of allocation. One is for the public sector employees, another which we grow and market from the private sector. From the public sector, this generally is defined in the beginning of the year for the full year. But so far as the market is concerned, it depends upon our marketing and the sales capability.
Krunal Shah: Okay. So this is, sir, in relation to the private sector, wherein we have not had the same share as in the government business. Is my understanding correct, sir?
Imtaiyazur Rahman: Yes, You're right.
Krunal Shah: Okay. Okay. And one last question. So we incurred a Capex of around ■ 50 crores in FY '26. Could you just help me understand on what expenses this Capex was incurred?
Vinay Lakhotia: As highlighted earlier, we opened 91 branches over the last 15 months. Major part of these Capex relat es to those offices. Plus , in FY24 we have upgraded our IT infrastructure. There are some Capex costs relating to IT infrastructure as well.
Krunal Shah: Okay. So from next year onwards, will this cost go down significantly now, the Capex amount?
Vinay Lakhotia: Yes, the Capex amount should go down. I don't think we will be opening such high number of offices in FY '26. But on the Pension Fund, since we are expanding POP business, there might be some Capex cost on the pension fund business.
Moderator: Thank you. We have our next question from the line of Vineet Nandwani from NJ India Investments. Please go ahead.
Vineet Nandwani : I just had 2 questions. So first one is that can you elaborate on the net gain on fair value changes. So like weren't there M -to-M gains on the debt investments in this quarter?
Vinay Lakhotia: So this quarter, the major impact in M -to-M investment is actually coming from UTI International, where we have a mark -to-market impact of close to around ■ 65 crores . As I highlighted earlier, mainly in 2 of our funds, UTI Innovation Fund and UTI Dynamic Fund. On the AMC balance sheet, I think the impact is just around ■ 2 crores. But at a consol idated level, the major impact is actually coming from UTI International.
Vineet Nandwani : Okay, sir. And sir, just for Q4 FY '25, can you help me understand how is the core PAT being calculated from the PAT attributable to the owners of the company?
Vinay Lakhotia: Yes, core PAT is your management fees minus the total expenses excluding minority interest . It does not include your investment income.
Moderator: Thank you. We have our next question from the line of Gaurav Jani from Prabhudas Lilladher. Please go ahead.

 Gaurav Jani: The first question, on performance . I just want to understand as to how do we plan to sort of sustain the strong performance over a longer period of time, given the fact that historically, we have seen some larger AMCs with episodes of strong performance followed by some deterioration.
Vetri Subramaniam : Sure. So Vetri here, I will reply to that. So one of the things that we've been conscious about for a while now, I would say, is that while we run with one investment process on the equity side, we run schemes, which are actually quite different from each other in terms of their pos itioning. And when I say positioning, not just the SEBI grid, but literally from a style perspective in te

rms of their positioning. And one of the reasons why we do that is to be able to always at any point of time, irrespective of what the market season o r market cycle is, you have differentiated strategies, which for investors who are looking at what's doing well in terms of the tables, wherever their choice of looking at fund ratings are, there is always some UTI product, which is appearing over there.
Our thought process over there is to always segment the market in terms of saying whatever be the cycle of the market, these are the strategies, which could be aligned with what is doing well in the market, which could be products you would wish to look at. But from a communication aspect, what we also do is based on our fund management view, have a clearly articulated go -to-market strategy, which positions the funds which are backed by performance at that point of time, and simultaneously talk about the funds where we think the cycle might turn favorable in the future.

Because what we have seen over a period of time is that as the market gets more evolved, we are seeing distribution partners, advisory partners approach the business very differently. One, they want funds, which will run strictly as per the mandate. So once they understand the positioning, they understand the cyclicality. But they also want guidance from us in terms of where we think funds with current weak performance could turn around. So this is part of our template now of saying how do we sort of de -risk the business model, de -risk it by having diverse strategies and talk the language of performance and opportunity in the marketplace at all points of time.

Gaurav Jani: Understood. That helps. The second question is to Vinay sir, just a clarification. You mentioned equity yields could sort of contract by about 1 to 2 basis points in the next year, right?

Vinay Lakhotia : No, I said overall yield of 34 basis points, that might contract because of the growth in the ETF and the index business.

Gaurav Jani: Okay. So you mentioned the overall yields and not specifically equity?

Vinay Lakhotia: Yes.

Moderator: Thank you. We have our last question from the line of Apoorv from Whitestone Advisors . Please go ahead.

Apoorv : Sir, my only question is regarding the -- is there any specific reason for Q4 to be weak as compared to Q3 other than the M -to-M thing, right?

Vinay Lakhotia: No, I don't think that. Even the operating income has actually held up. Apart from mark -to-market depreciation, there have been no impact as such.

Moderator: This was the last question for today, and I now hand the conference over to Mr. Rahman for closing comments. Over to you, sir.

Imtaiyazur Rahman : Thank you very much, and thanks -- I would like to thank all of you for your participation. Thank you.

Vetri Subramaniam : Thank you.

Moderator: Ladies and gentlemen, thank you for joining the call. In case of any queries, feel free to connect with Adfactors Investor Relations team. You may now disconnect your lines.

Call: Oct 2025

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National Stock Exchange of India Limited
Exchange Plaza Plot No. C/1
G Block Bandra – Kurla Complex
Bandra East Mumbai – 400 051.
Scrip Symbol: UTIAMC BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai – 400 001.
Scrip Code / Symbol: 543238 / UTIAMC
Sub: Transcript of the earnings conference call on financial performance of the Company for the quarter and half year ended 3 0th September , 202 5
Dear Sir / Madam,
Pursuant to Regulation 30 read with Schedule III Part A Para A of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 (the SEBI Listing Regulations) and as per the relevant SEBI Circulars we are forwarding the transcript of the earnings conference call held on Saturday , the 18th October , 202 5 at 1800 hrs IST on the financial performance of the Company for the quarter and half year ended 3 0th September , 202 5.
The transcript of the aforesaid earnings conference call is also available on the Company's website at www.utimf.com in compliance with Regulation 46 of the SEBI Listing Regulations.
Thanking you,
For UTI Asset Management Company Limited
Arvind Patkar
Company Secretary and Compliance Officer
Membership No.: ACS 21577
Encl: As above

UTI Asset Management Company Limited
Q2 and H1 FY26 Earnings Conference Call
October 18, 2025

Moderator: Ladies and gentlemen, good day and welcome to the UTI Asset Management Company Limited Q2 and H1 FY26 Earnings Conference Call.
From the managemen t, we have with us Mr. Imt aiyazur Rahman - Managing Director and CEO ; Mr. Vetri Subramaniam - Managing Director and CEO Designat e; Mr. Vinay Lakhotia - Chief Financial Officer and Head Corporate Strategy ; Mr. Surojit Saha - Group Financial Advisor and Mr. Sandeep Sams i - Head Investor Relations, Marketing and Corporate Communications. We also have with us the Investor Relations team from Ad factors PR.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' and then '0' on your touchtone phone. Please note that this conference is being recorded.
Before we begin, I would like to mention that some of the statements made in today's presentation may be forward -looking in nature and may involve risks and uncertainties. Please note, the disclaimer mentioning these risks and uncertainties are on the disc laimer slide of the Investor Relations presentation that has been shared earlier.
I would now hand the conference over to Mr. Imta iyazur Rahman for opening remarks.
Imta iyazur Rahman : Thank you. Good evening , everyone. We are delighted to have you with us for the review of our financial and operational performance for the second quarter and half year ended 30th September 2025. Our financial statements, press releases and investor presentations have been uploaded on the website of stock exchanges and we trust you have had the opportunity to review them.
I have with me my distinguished colleagues, Mr. Vetri Subramaniam - MD and CEO Designate of UTI AMC ; Mr. Vinay Lakhotia - CFO and Head of Strategy ; Mr. Suro jit Saha - Chief Financial Advisor of the company and Mr. Sandeep Samsi - Head of Investor Relations, Marketing and Corporate Communications. Before I request Vetri to share with all of us about the macroeconomic view and industry update, I would like to share with you a few important developments in UTI AMC.

 As many of you are aware, I have had the privilege of leading UTI AMC since 2018, guiding the company through its evolution into a listed entity and driving significant growth. Under our collective efforts, UTI AMC's market capitalization has grown three -fold since our 2020 listing . Surpassing Rs. 18,000 crore, with Asset Under Management soaring from Rs. 3.99 lakh crore in

2019 to Rs. 22.42 lakh crore in September of 2025.

As a continuation of our succession plan and with full confidence in our next generation of leadership, the Board has unanimously decided to appoint Mr. Vetri Subramaniam as an incoming MD and CEO of UTI AMC with effects from 1st February 2026. 1st February marks UTI AMC's Foundation Day and I believe it is a fitting moment for me to pass the baton to Vetri. Vetri has been an integral part of our success story since joining UTI AMC in 2017 and his leadership, vision and deep industry expertise makes him the ideal choice to guide UTI in its next chapter. To ensure a seamless transition, I will serve as Strategic Advisor to the MD CEO from 1st February 2026 to 12th June 2026, supporting Vetri and his team. I am confident that under Vetri's leadership, UTI AMC will continue to deliver excep tional value to our customers, shareholders and stakeholders while advancing our mission to help millions of Indians achieve their financial aspirations and also globally.

Now , I request Vetri to share with you the financial and other updates and the macroeconomic data of the industry as well as of UTI AMC. Vetri, over to you.

Vetri Subramaniam : Thank you, Imtaiyaz . As Imtaiyaz suggested, I will go into the macroeconomic background of what has been happening. The last few months have brought volatility to the Indian markets, among rising geopolitical tension and also trade challenges. India's growth story remains resilient. This is underpinned by robust domestic demand, healthy private investment and a vibrant services sector. Global conflicts and trade headwinds like the US tariffs may momentarily slow manufacturing and exports, but India's structural strength is well intact. With steady infrastru cture spending and firm consumer momentum, including the benefit of the recent GST rationalization, the economy is poised to maintain its lead among emerging markets in terms of growth.

Indian equities and mutual funds . I will turn the spotlight to that.

In H1 of FY26, we witnessed strong investor participation, particularly from retail investors. The industry folio count grew to Rs. 25.19 crore s as of September 2025. The retail mutual fund folios stood at Rs. 19.77 crore s for September 2025, with retail AUM at Rs. 44.61 lakh crore s for these categories. This is equity, hybrid and solution -oriented schemes. Total industry AUM grew to Rs. 75.61 lakh crore as of September 2025, up from Rs. 75.19 lakh crore, reflecting a 0.56% increase month -on-month. Q2 also reflected some degree of investor caution. Equity MF inflows fell 9% to Rs. 30,422 crore s in September from Rs. 33,430 crore in the previous month.

In September, the SIPs stoppage ratio rose to 76.27% up from 74.51% in August. Overall sentiment of retail investors remains strong. SIPs have reached a new milestone with record

 monthly contribution of Rs. 29,361 crore s and Rs. 9.25 crore s active accounts as against Rs. 8.98 crore s posted in August. The SIP AUM is at Rs. 15.52 lakh crore s for September 2025. This amounts to 20.53% of total mutual fund industry assets.

Moving on to the performance of UTI, i n line with the industry, UTI Group's total AUM stood at Rs. 22.42 lakh crore as of 30th September. This is a growth of 11% from Rs. 20.16 lakh crore s a year ago. Our mutual fund AUM reached Rs. 3.78 lakh crore s compared to Rs. 3.43 lakh crore s last year. At the end of Q2, as of 30th September, our folio stand at 1.36 crore s. Considering the market volatility, our go

-to-market strategy remains focused on the hybrid category of funds.

I am happy to share with you some of UTI AMC's achievements for the first half of FY26. Our strategic vision continues to guide us as we expand across the vibrant B30 cities and the established top 30 markets. Beyond 30 cities remains a cornerstone of our success, contributing approximately 80% of our AUM and these markets are growing strongly. Technology is central to this journey. Our investor and distributor -facing apps have seen strong adoption, providing co nvenience and enhanced functionality to investors and distributors. The association with Salesforce and ONDC in their respective capacities has enhanced our potential significantly, whether it is our ability to keep engaged with our investors or with our p artners and also to facilitate ease of transaction for all investors. Financial literacy remains a key priority and through our initiatives such as UTI Swatantra and FLY, we continue to empower individuals with the knowledge to make informed investment decisions.

As regards new fund laun ches, we launched the UTI Multi C ap Fund in May. This has been designed as an all -round investment solution and showcases the depth of our research capability. It completes our product suite and is the distinctive proposition within our diversified equity offering. As of 30th September, the fund had asse ts of Rs. 1,576 crore s, around 67% more than what we collected during the NFO.

Our distribution network continues to gain strength. Through targeted training and workshops, we have enhanced the collaboration between distributors, fund managers, and product teams. On the global front, the expansion of our New York office and progress on regulatory approvals in the DIFC have reinforced our cross -border advisory presence. Through these strategic endeavors, expanding reach, driving digital adoption, launching innovativ e products,

empowering investors, and fortifying distribution, UTI Asset Management Company is firmly positioned to sustain growth and deliver long -term value to stakeholders in FY26 and the years beyond. Thank you for y our continued trust and support.
I will now hand over to our Head of Investor Relations, Marketing, and Corporate Communications, Sandeep Sa msi, who will brief you on more details regarding our performance. Over to you, Sandeep.
Sandeep Samsi : Thank you, sir. I will take you through UTI Mutual Fund's performance during the second quarter and half -year ended 30th September 2025.

 Talking about UTI Mutual Fund's performance, UTI was able to capture a market share of 6.2% of the gross sales of the industry during this quarter and market share of 6.4% of the gross sales for the first half of the financial year 2026.
Our active equity plus hybrid quarterly average AUM for the quarter ended September 2025 stood at Rs. 1,33,202 crores. Quarterly average AUM for index and ETF stood at Rs. 1,62,443 crores , up by 4.75% in the second quarter commensurate with growth in the overall passive investment. ETF and index fund net inflow stood at Rs. 4,848 crores. UTI added 2.4 lakh folios taking up the number of live folios to 1.36 crore as on 30th September 2025. Our SIP AUM witnessed a growth of 5.98% over the corresponding quarte r of last year, reaching to Rs. 42,267 crores as of September 2025.
The SIP inflows for the second quarter stood at Rs. 2,338 crores. The SIP gross inflows for UTI Mutual Fund witnessed a year -on-year growth of 12.04% with the average SIP ticket size being Rs. 3,273 for September 2025. For the first half of the year FY26, SIP inflows were Rs. 4,599 crores , higher by 17.70% as compared to Rs. 3,907 crores in the first half of FY25.
An important update, pursuant to the meeting held on 23rd September 2025, the Board of Directors of U TI AMC approved the implementation of the Voluntary Retirement Scheme (VRS) for select categories of employees

effective from 1st October 2025. As per the scheme, eligible
employees can submit their VRS applications till 31st October 2025. The financial impact of the scheme will be determined bas is the actual number of applications received and will be communicated to the stock exchanges in due course in line with the regulatory requirements.
As part of the VRS package, family pension benefits have also been revised. The one -time financial aspect of this revision as well as the actua rial valuation is Rs. 25 crores which has been fully accounted in the financial results for this quarter. This initiative is designed to offer a structured and dignified exit framework for eligible employees while strateg ically realigning the workforce to support the organi zation's future business priorities.
Coming to U TI AMC financials on a consolidated basis . During the second quarter, the core income of the company stood at Rs. 390 crores up by 5% year -on-year and 3% quarter -on-quarter. The consolidated core PAT for the second quarter is Rs. 107 crores which includes the impact of revision in the family pension. Adjusted for the same, the normali zed consolidated core PAT for the quarter is Rs. 127 crores down by 5% year -on-year and up by 4% quarter -on-quarter. For the half year, the consolidated core PAT was Rs. 228 crores down by 8% Y-o-Y and normali zed consolidated core PAT, excluding the impact of family pension is Rs. 248 crores up by 1% Y-o-Y.
On a standalone basis, during the second quarter, core income of the company on a standalone basis stood at Rs. 319 crores up by 5% Y-o-Y and 3% quarter -on-quarter. The standalone core PAT for the second quarter is Rs. 104 crores which includes the impact of family pension revision. Adjusted for this, the normali zed standalone core PAT for the quarter is Rs. 124 crores up by 7% Y-o-Y and 5% quarter -on-quarter. For the half year, the standalone core PAT was Rs.

 221 crores up by 3% Y-o-Y and the normali zed core PAT excluding the impact of family pension for the half year is Rs. 2 41 crores up by 13% Y -o-Y.
On the investment highlight, in fixed income, we have witnessed consistent growth in liquid as well as non -liquid categories. On the equity side, our value -oriented schemes continue to do well over the 3 -year and 5 -year period. Some of our growth -oriented schemes have witnessed a pick -up in performance over the last one year. By substantially increasing the fund manager's engagem ent with distributors in both the top 30 and beyond 30 cities, we have strengthened our partnerships and enhanced strategic clarit y around our fund offerings.
On Investor education , reimposing our commitment to investor education, we conducted 700 -plus programs, including 250 sessions, especially designed for women investors. In the f irst half of the Financial Year 2026, more than 6,700 students participated in our Financial Literacy for Youth (FLY) program under which we conducted financial awareness sessions in colleges. Close to 70% of these students registered for SEBI Investor Certification course and out of these, 81% have already cleared the exam.
On our IT and digital assets, we continue to invest strategically in technology infrastructure and adopting artificial intelligence, machine learning, and generative AI. We have amplified our security operations with a focus on cybersecurity.

Last year, we partnered with Salesforce for a marketing automation tool to send customized communication to our investors. A case study on this has been published now by Salesforce. We are also associated with ONDC, the Open Network for Digital Commerce, and are available on their network for onboarding and financial transactions. 41% of our total gross sales for equity and hy brid funds are being mobilized through the digital platform in the quarter two of FY26. We have gone live with UTI auto -pay implement ation for SIP via the UTI auto -p

ay and at
valid UPI handle as per the mandate given by AMFI .
On UTI Pension Fund Limited, our 100% owned subsidiary UTI Pension Fund Limited has recorded a growth of 15.82% year -on-year in its A UM, reaching Rs. 3.89 lakh crore s as on Q2 of FY26 and currently it manages 24.62% of the NPS Industr y's AUM.
The PAT for the half -year is Rs. 28 crore s, a decline of 3.4% Y-o-Y. The point -of-presence business that commenced recently has been performing well. We currently operate through 31 branches across India and plan to take the total number of branches to 40 in FY26. In the first half of FY26, we added 119 clients. We are delighted to share that UTI PFL won the CNBC - TV18 India Risk Management Award for the year 2024 -25. We have filed 4 new schemes under the Multi -Scheme Framework (MSF) based on the circular is sued by PFRDA on 16th September 2025.
On UTI International, UTI International has rebranded the logo as UTI Investments, reflecting a more contemporary identity to resonate strongly with international investors. The A UM at UTI International is USD 2.66 billion or Rs. 23,647 crore s as on 30th September 2025. One of our popular funds, UTI India Dynamic Equity Fund, domiciled in Ireland, has an A UM of US D 874

 million. We successfully secured allocation into UTI IDEF from Europe despite a challenging market environment and have continued to sustain our assets. We have also strengthened coverage and business development through senior leadership hires across regions, bringing deep institutional expertise.
On UTI Alternatives P rivate Limited , UTI Alternatives Private Limited has a total A UM of Rs. 2,669 crore s as on 30th September 2025. This excludes the co -investment portfolio management services of Rs. 162 crore s. We have now successfully exited SDO F I in FY25. SDO F II and SDO F III have active commitments of Rs. 755 crore s and the fund is currently in investing stage. We have launched the fourth fund of our SDO F series in quarter 2 and this fund has been planned as a Rs. 1,500 crore fund.
UTI Multi Opportunities Fund I has an AU M of Rs. 1,598 crore s. Currently, the fund is in investing stage.
UTI Real Estate Opportunities Fund I is currently in fundraising and is investing with commitments of Rs. 164 crore s. We have initiated the process for upgrading the Gift City SME licen ce from non -retail to retail to allow launch of mutual fund schemes.
I would now request the Managing Director and CEO for his concluding remarks.
Imtaiyazur Rahman : Thank you, Sandeep, for sharing operational and financial updates of the company. Before we begin the question and answer, on behalf of the entire UTI family, I would like to wish you and your family Happy Dhanteras and P rosperous Diwali. We may now open the forum for Q&A.
Thank you.
Moderator : Thank you very much. We will now begin with the question -and-answer session. Our first question comes from the line of Mohit Mangal from Centrum. Please go ahead.
Mohit Mangal: Thanks for the opportunity. My first question is towards the flows. If I look at hybrid category, which is our main target category, last year we had around 19 billion of net inflows and even H2 was better. But in H1, that actually declined to around 4 billion. How can we capture more flows in this category? What are our major strategies towards that?
Vetri Subramaniam: Hi Mohit , Vetri here . So that remains actually our focus in terms of the hybrid strategies and that is just a function of where we think the market is both in terms of valuations of both equity and fixed income, which is why we think this is a sort of more appropriate part. There has been perhaps some churning of portfolios, but we are just doubling down on the push in terms of hybrid products. Our products, particularly the multi -asset fund and the aggressive hybrid fund are already appr oved on several platforms. So we are pushing both f

or sales through lump sum
mode as well as through the SIP mode. The balance advantage fund is a much younger fund for us, just about 2 years of track record, but it has done well over that period. So even there, we are sort of increasingly pushing the market in terms of starting to get that incorporated. As you know, many sort of rating systems in the market typically look at least 3-year data before they start to recommend a product. So once we cross that hurdle sometime middle of this year,

 hopefully that product as well will make it onto some of the sales platforms. So there may be some movement that you have seen over the last quarter, but I think we are happy with the trend that we see in terms of gross sales.

Mohit Mangal: And H2 should be better than H1, I woul d assume ?
Vetri Subramaniam: Yes, that is where our focus remains and we have been doing a lot of distributor engagement over the last few months. There is a series of programs we are doing across the country, zone by zone. So I think you will see some benefits.
Mohit Mangal: Understood. My second question is towards the UTI international business. So I think there has been around 8% decline, if I compare H1 FY26 versus FY25. So any activity over there?
Vinay Lakhotia : So the AUM decline that has happened over there is primarily because of two funds. One is UTI Phoenix Fund, which is similar to a FMP kind of a category, which has matured and some redemption and mark -to-market impact on our UTI India Dynamic Equity Fund and UTI Innovation Fund, where we lost close to around Rs. 2,000 crores, primarily because of mark -to-market impact only. So hopefully with the growth category style actually delivering better values over the last 2 or 3 quarters, we should see some meaningful inflo ws in UTI Dynamic Equity Fund going forward.
Mohit Mangal: Understood.
Vetri Subramaniam: I wish to add some color to what Vinay said. Just keep in mind that you have to also see the change in AUM of that strategy in the background of the fact that in general, FPI appetite towards India is currently fairly cooled in that sense, right? There has been a net outflow. So India as a category is actually not attracting too much flows at this point of time. But within that, I think the team has been reasonably successful in terms of getting some inward client rotation. And that is coming from what Vinay said, which is that when we look particularly at the last year, year and a ha lf, the quality growth which underpins the IDEF strategy that we run has done quite well in terms of its alpha generation. So that has enabled the sales team to get more clients in. But we need a point in time where overall appetite for India starts to increase for that number to grow.
Mohit Mangal: Understood. That is helpful. My last question is towards, in your opening remarks, you said that the impact of VRS is expected to be around Rs. 25 crores. So just wanted to know the math behind that as to how did you come with that number, if you could just explain ?
Vinay Lakhotia : No. What we stated is that as part of a VRS package, the family pension amount was being revised. That because of the revision in the family pension amount, the actu arial impact of that has been accounted for in quarter two. The actual impact of VRS will depend on how many number of people actually opt for. And that we will be communicating sometime maybe in the later part of the month of November. So information will be sent out to the stock exchange of what the actual impact will be there in Q3 financials.

 Imtaiyazur Rahman: Mohit, it is a onetime expenditure. And as per the accounting policy, based on the actu arial valuations, we need to account for in the quarter of the incident. And therefore, since the scheme was launched on 23rd of September, therefore, as per the accounting standard requirement, we had to account for in

this quarter. It is a onetime expenditure. And let me explain you why this particular thing is a part of the package. We have a pension scheme and the family pension scheme was not revis ed since 1994 and the only thing people were getting the Rs. 5,300 family pension across the group of the employe es, whether it is the class 3, class 4 or even the senior management people. Therefore, we have just revised the family pension schemes and that we did in order to make sure that our VRS scheme is successful and we are seeing the good outcome , Mohit .
Mohit Mangal: Understood, sir. That is very helpful. Thanks and wish you all the best.
Imtaiyazur Rahman: Thank you.
Moderator: Thank you. Our next question comes from the line of Prayesh Jain from Motilal Oswal. Please go ahead.
Prayesh Jain: Yes, hi. So just extending that question on the VRS thing. So while you do not quantify the cost, but you would have an estimate of the 100% of the employees eligible for it. If they accept the VRS, what could be the c ost that can be seen? And I would also like to understand what happens if the 100% of the employees take VRS post that, what kind of employee cost run rate will we see?
Vinay Lakhotia: So overall, the number of employees that are eligible for VRS is 479 out of roughly around 1450 employees that we have. So only one third of the employees are actually eligible for VRS. And these are primarily the employees who are more than 50 years of age and joined prior to 2003. The actual impact will again depend on the number of people that actually opt for a VRS. But I can give you a ballpark number. The average VRS payout per employee, wou ld be in the range of around 60 -65 lakhs. So depending on the number of employees that actually opt for, then I can communicate the actual impact. And what was the second question, Prayesh? I didn't get that?
Prayesh Jain: If 100% employees opt for the VRS, how much?
Imtaiyazur Rahman : So we have analyzed it and we are not required to replace all employees. Our data suggests that in case all 500 employees take the VRS, over a period of time, we will be requiring 70 -75 people to supplement those requirements.

Vinay Lakhotia: So Prayesh, at the actual run rate, once we relieve the employees, then depending on the business requirement, in how many cases actually we may require a replacement or the entire organization restructuring will happen. So we will communicate the actual r un rate maybe while we announce the Quarter 3 results.

 Prayesh Jain: Got it. That is very helpful. Second question is on the SIP market share. If I look at the SIP market share, which was there in September 2 024, which was about 2.9% and now it is about 2.7%. What are we doing to kind of change this and make further improvements here? Because I think that the cornerstone for this industry has been SIPs and that is where it seems that we are losing some market share ?

Sandeep Samsi : I think if you look at our market share, it might have just gone down marginally. But otherwise, we have seen a month -on-month growth in our SIP numbers. So if you look at the SIP count of ours, it has also increased 11% on a year -on-year basis. So there are about 6 lakh new SIPs which have been registered in this first half of the year, out of which 75% have come through the digital channel. And most of our market shares across channels remain steady and we are not seeing too much of a chang e there. The highest share of SIP flows that we are getting is still coming from the MFDs, which is about 50% of our SIP flow and this is followed by RIAs, which is close to about 19%. And the rest is coming through direct , Fin-tech and BND. The two channels where we have seen significant increase is the RIA channel and the Fin-techs on a year -on-year basis, which is around 40% -45% increase from the last year. And we can owe much of this growth to the thrus t that we

are putting into augmenting our network in the last many quarters and we will keep on making our efforts in this direction to improve our market share in the SIPs. Another factor which is important is in respect of the smaller cities where we have been able to sustain o ur growth by deepening our presence through a combination of digital engagement, distribution partnership, and initiatives. So this has also helped us to get a number of SIPs from the smaller centers.

Imtaiyazur Rahman: As a core strategy, we are overly focused on our SIP. We are on all the platforms, HDFC, Axis Bank, and everywhere. And we as a team, this is our core strategy to implement.

Prayesh Jain: Got that, sir. Just on the other expense front that also seen on a standalone basis, I have seen a very sharp jump both on a Y-o-Y as well as a sequential basis. What is driving that?

Vinay Lakhotia: The other expenses or the employee cost?

Prayesh Jain: Other expenses.

Vinay Lakhotia: Other expenses. The Rs. 6 crore was on account of CSR expenses. And as you are aware, CSR expenses is actually booked on a cash basis and not on an accrual basis. So maybe this quarter, the other expenses have increased. The next quarter, there might be a slight dip in the overall expenses. So for the full year, we maintain a guidance of close to around 7 %-8% for the other expenses. Some volatility because the CSR expenses is actually accounted on a cash basis.

Prayesh Jain: Got that. This is helpful. Thank you so much and wish you all a very Happy Diwali.

Imtaiyazur Rahman: Thank you, you too.

Moderator: Thank you. Our next question comes from the line of Madhukar La dha from Nu vama Wealth. Please go ahead.

 Madhukar Ladha: Hi, good evening, everyone. Thank you for taking my question and Happy Diwali to everyone.

So just again on the VRS, so of the 460 -470 employees that the VRS is applicable to, how many have actually accepted it until now? Can you give some number of that? And in your internal estimates, what is the kind of acceptance rate broadly that you would be building in? That will also be helpful. And my second question is more for Vetri. S ir, if you could highlight, you will be taking over as CEO. Congratulations for that and all the best on the new role. But what will be your key focus areas? And over the next couple of years, let us say, what would be your sort of targets in your mind both in terms of fundraise, performance, and expenses? So what can sort of shareholders look forward to if you could outline how you are thinking about strategy for UTI?

Imtaiyazur Rahman : Madhukar, so far as the VRS scheme is still on, this scheme will close on 31st of October 2025. And therefore, we are unable to give you any number at this particular point of time. And since it is a VRS scheme, we cannot predict how many people will take with a certain number. However, what we are witnessing, we are witnessing a very positive response from our people. Vetri, over to you.

Vetri Subramaniam: Yes, Madhukar, thanks for the good wishes. Just if you look at the asset management space, and obviously the mutual fund being a big component of that . In a sense, it is a very simple business. It is just all about the products and the way the funds perform and equally, it is a people -driven business because it is the people who really make the difference across all aspects of the business. So if you look at it in terms of, I think, what the strategic priorities are, Imtaiyaz talked about the growth that we have seen and the leadership transition that is currently underway. I think one benefit I have compared to when Imta iyaz took charge in 2018

is that we have a strong set of leadership across the en tire company and in fact, for that matter, across the entire group. So I believe our senior level teams are very well placed today as com pared to where we were earlier.
Having said

that, workforce rejuvenation is a very key component of what we need to carry out. If we go back a few years in history and look at our sales team, the ratio of supervisory sales team leads to the actual hunters was adverse. And that is something that we have been correcting over the last 3 years. And I think with this VRS, it will see a further change in terms of the number of managers who make up the sales system, who are supervising the sales team and the number of actual sales people who are going out there in the market. So that workforce rejuvenation in terms of a younger cohort, making sure that the ratio of supervisory to hunters is more appropriately placed, making sure that this younger team is now properly skilled and trained to be abl e to engage with the marketplace. To my mind, that is really one critical part of the engagement part of our business with all our partners and distributors. The second part is the brand visibility and the brand connect. The brand has a very strong recolle ct. It has legacy. But at the same time, we are aware that there is a younger cohort of customers to whom the brand does not resonate as strongly. So we would certainly in the years ahead, once again utilize some of the flexibility that would show up for us by investing in the brand to make sure that we are increasing the visibility and the connection to the younger cohorts who may not

 fully be aware of the legacy of the brand. So the brand would really be the second part of what is important.
Third thing, if you look at all the industry data, we are certainly going through a disruption in the sense not visible in the AUM, but visible in the number of customer accounts which are now digitally originated. Again, for us, that is partly allied with the previous point, which is to say that we need to have best -in-class digital assets. We need to have best -in-class digital systems which allow us to talk to the customers, engage with the customers, cross sell, upsell, and also sort of give them a sense of being digitally native because the new competitors who are entering this business are increasingly digitally native. So digital and brand at some portion of these are aligned , at some portion it is a separate platform that we will anyway have to build.
As far as fund management is concerned, I think we have got the processes well in place. We have got very strong talented teams. There will always be some cyclicality in terms of fund performance. What we have tried to do over there is make sure that we have a go -to-market strategy, which makes sure that we are always carrying a portfolio of products to the market, which are positioned both on performance and on opportunity. This requires a little bit of training of the sales team to be able to carry this m essage of products that carry performance and simultaneously showcase the products where the opportunity lies for the future. So I think with a more agile workforce with the appropriate ups killing and training, we will be able to get them to carry this message out there in the market. So I would say all of these are things that we would need to do. I think very key metric for us, given that we are a scale player, we are present across the country, there is a discrepancy between our market share in SIP and t he market share that we have on stock AUM. So to my mind, one of the critical things that we will be focusing on is continuously raising the SIP market share. But because to my mind, the only way to get back to where we are on stock AUM is to keep increasing the share of SIP flows.
Now, I know there was a question on this earlier, and I will put in a slightly tactical point that maybe we will have to look through the data. Remember that the hottest selling category in mutual funds, particularly on the equity side in the last 2 years, or maybe in 3 years, has actually been sectoral thematic. This h

as been an area in which we have been both conservative and cautious. This may have cost us both in terms of gross sales as well as impacted our share of the SIP book. But we are very focused that in the core categories, we want to keep increasing our share of the SIP book and I think it is in the core diversified products that there will be a long -term opportunity to make sure that we get a sustainable share of the SIP pipeline.
I think on the cost side, post -November, we will get a better opportunity to articulate where our cost structure will settle down. But certainly, we will look to reinvest some of that in brand visibility. And once we are able to raise our equity SIP book, it should automatically start to show up in the yields as well. So it is a pretty simple business. If you are able to keep your costs under control and raise the yield, the jaws sort of start to open up. So that is what we will have to target. But it is a journey. It is not something that we can do overnight. But I think all of these are levers that we will have to use. And simultaneously, leveraging the onsite fund management talent we have into the offshore business gives us the ability to tap into a new

 set of investors and UTI alternatives, which is still a very small unit for us. There is scope to grow that and that will be a much higher yielding unit eventually, though the size of AUM may be much smaller. But that is another way to diversify the asset management company and the listed compan y's businesses. So that in a nutshell, many things , but these are all the touch points that we will have to go. And ove rtime, we will come back to you with a dashboard. So you have an understanding of each of the ele ments that I described and the progress that we hope to make.

Madhukar Ladha: Thank you, sir. Thank you for the response and look forward to your innings and all the best, sir.

Vetri Subramaniam: Thank you.

Moderator: Thank you. Our next question comes from the line of Swarnabh Mukherjee from B &K Securities. Please go ahead.

Swarnabh Mukherjee: Hi, sir. Thank you for the opportunity. Vetri sir, c ongrats on your new role and a Happy Diwali to everyone. I had 3 questions. So first of all, I think about this quarter, I think in the employee cost also, if we adjust for the Rs. 25 crore one -off that has come through, there is still, I think, Rs. 10 odd crore increase in the standalone P&L in employee costs and around Rs. 4-5 crores in the consolidated P&L. So if you could explain what is that due to? That is the first question. Second is, s ir, you were talking about the 3-year performance and actually gradually scale up there. I just wanted to know , what in your mind or how have you seen in the past in the industry that has the performance goes into the higher quartiles? What is the lead time before flows start to come in? How should we think about it on that? Thirdly, sir, I think over the last 2-3 years, we had kind of articulated to investors to maintain our cost base. I think we did a great job at that. The cost base was not going up at only, I think, low single digits. Now, given our plans about investments in the brand and in the distribution channel as you have articulated, should we expect any of that on the cost heads to increase going forward if you could keep some color of the same? These are my 3 questions. And one bookkeeping question, if you could give us the yields by asset classes for the quarter ?

Vinay Lakhotia: Yes. I will answer on the cost and the yield part. On the employee cost, apart from the family pension liability of Rs. 25 crore s, roughly around Rs. 6.5 crore s is the actuarial impact on account of salary revision that has happened in this particular quarter. Again, this is just one quarter event and this will normalize over the balance period. On the yield part, the equity and hybrid yield is close to arou

nd 75 basis points. ETF and index fund has seen a marginal improvement to around 8 basis points from the earlier 6 basis points that were there in the previous half year. Cash and liquid fund i s close to around 9 basis points and fixed income is around 19 -20 basis points. Some marginal reduction on the fixed income yield because I think most of the products that are being selling in the fixed income side is on the shorter duration and some marginal reduction in the yield on the fixed income side.

 Swarnabh Mukherjee: Yes, just a follow up. The employee cost side, if I may just clarify. Sir, you said Rs. 6 crore s because of actuarial valuation. So if I remove the Rs. 25 crore s number, I think Rs. 100 crores for last quarter in the standalone P&L went to around Rs. 110 odd crores except the Rs. 25 crore s number. So, Rs. 6 crore s out of that ?

Vinay Lakhotia: No. Rs. 25 crore s is on account of family pension and Rs. 6.5 crore is on account of actuarial valuation of other retirement benefit which includes your gratuity, live encashment and things like that.

Imtaiyaz ur Rahman: Every year post the salary increase, we need to calculate the various superannuation benefits. And based on that, the Rs. 6 crore is the liability, one time liability has come to Rs. 6 crores. If we normalize 25 plus 6, then the cost is in line with 2.5 %-3% that , as per the guidance , which we have given. Now, you have asked about the question of maintenance of the cost post what Vetri suggested to you that once he takes over, he will invest some dollar in the brand regeneration, etc., I don't feel we are in the position at this particular point of time to suggest any or give any guidance on this number. However, if you see the last 5 years, our CFO team and the entire management team, they have been extraordinarily careful on the cost. So we cut a lot of cost, we save a lot of cost, we improve efficiency and whatever the money we save out of that, we use for the other line of the business. This has been the case . For example, we have opened 75 branches , but we have not increased the cost be cause we reduce a lot of branches, we cut a lot of cost, we optimize a lot of cost and we have brought a lot of efficiency using our technology. That has helped. So Vetri has suggested that he will go for the brand and many other things , but at the very same time, he is extraordinarily careful and he is working on that to save a lot of cost in other areas. So at this particular point of time, I don't feel Vetri will be in a position to give any guidance or I am in a position to give any g uidance. However, when we meet again or when they meet you again in the 3rd quarter or 4th quarter en d, we will be in a better position to give you the guidance on the next plan. And so, for the yield is concerned, Vinay, you have already replied about the yield. Yes, Mr. Mukherjee, hope it answers the question.

Swarnabh Mukherjee: Sir, I had also asked regarding the flows that in your experience, once we scale up on the 3-year performance as it highlighted, it might play out differently but normally, what have you

seen as the lead time for the catch -up on flows to happen?
Vetri Subramaniam: So if you see in the past and even if you refer to our data of 2021 -22, you will see that typically, it is somewhere in the second year after you start to get good performance in some of your scheme s is where the flow numbers start to pick up quite significantly. So you will see that very much in our flow data in 2020 -21 and 2021 -22, which were strong years for us both in terms of our share of gross as well as our share of net flows of equity flows for the industry. So I would say 2 -3 is the sweet spot. And we see this even at a scheme level. If I look at current year to date, for the first time, one of our other schemes has started to outsell in terms of gross sales, our largest single active equ

ity scheme and that is a function of the fact that its 3-year performance is now extremely strong. So those are the cycles that you see at a product level. But the main point that I would like to make is that we as a firm recognize this cyclicality of 2 -

 year and 3-year and that is why I said we need to take the product appropriately to the market, position some on the back of performance and position others on the back of opportunity.
Swarnabh Mukherjee: Right. That is very helpful. If I may squeeze in a couple of more questions. Sir, first of all, on the VRS scheme, once you get clarity in terms of how much your cost would be, just wanted to know how it would be provisioned. Will it be provisioned over one quarter or over multiple periods? Just some clarity on that. And secondly, sir, this new product, SIF, that I think some of your peers are launching. So just wanted to know your thoughts or any strategy around that ?
Imtaiyaz ur Rahman: Vinay on accounting and Vetri on SIF.
Vinay Lakhotia: The entire VRS cost will be booked in the P&L in the 3rd quarter itself as per the accounting standard. There is some impact as far as the taxation is concerned, that these expenses need to be amortized over a period of 5 years as per the Income Tax act. So you might see a deferred tax asset being created. But as far as the accounting of this cost is concerned, the entire cost will be charged in Q3 financial.
Vetri Subramaniam: Sure. On the SIF itself, see, it is an interesting product category, because it opens up space to do something which is slightly different from the traditional M F product. And at the same time, it has the benefits of the same set of regulations that asset management companies would anyway use across their products. The regulator also has great comfort with this. There are two sort of challenges we need to be cognizant of. One is that for this product to be distributed, both my own sales team as well as the distribution partners need to get certified at a new level as compared to the certification required to sell a normal M F product. So when we look at the data at this point of time, it is very clear to us that at this point of time, the distribution system's ability to distribute this product is limited by the fact that there are not enough people who have the certification. Having said that, we are getting other people trained so that we have enough people in -house. We are going region by region. We will ha ve enough in -house people who are then certified appropriately to position this. We have also finalized our brand because by law, we require a separate brand for this product. That is also in final stages of being rolled out. The actual product launch, again, we are looking at what is the appetite that the market might have because the long sho rt product is a product which still at this point of time is not very well understood in the marketplace. Therefore, we need to see which of these products might actu ally be most suitable. But all the building blocks that need to be done, we are doing one by one, which is the brand, which is the platform, and finally, the training of our own sales team. But honestly, it makes sense to launch it when the distribution architecture is prepared and the number of people in the distribution architecture who can sell the scheme is currently limited.
Swarnabh Mukherjee: Understood, sir. That is very helpful. I appreciate your detailed responses. Thank you so much and all the best.
Moderator: Thank you. Our next question comes from the line of Meghna Luthra from Incred Equities. Please go ahead.

 Meghna Luthra: Yes. Hi, sir. Thank you for giving me an opportunity. I had two questions. One is, sorry to harp again on the employee cost. After we are done with the VRS, what could be a normalized number of employee costs that we can expect every quarter? And the se

cond question is a little qualitative, is that we are seeing fast -pacing growth in the digital onboarding from SIPs and even lump sums. How do we compete in this space and how does any AMC compete? There is no payout to the digital onboarding of customers. So is ther e a dynamic where we can compete and come ahead? These are my two questions ?
Vinay Lakhotia: So as I said, the run rate will be able to communicate post the VRS settlement is over depending on our business requirement that if we need to recruit people to fill up some of the vacancies that may arise. And again, Vetri rightly pointed out that we are r ealigning our ratios of managerial to the hunter on the top. So the entire reorganization will be carried out sometime in the Q3 and maybe when we announce the Q3 financial result, the run rate for the employee

cost will be communicated.

Sandeep Samsi : So Meghna, we are progressing digital transformation with the focus on expanding our investor access and providing them platform efficiencies. If you look at as of September 2025, 89% of our total gross sales in the quarter came from the digital platform. And in the last 4 quarters, an average of around 92% of the gross sales are coming through the digital channel. So you can see that digital channels are taking shape through the existing distributors as well as from the Fin-tech platform. So our recent collaboration with Salesforce, which focuses on customized communication has helped us to create a top of mind recall with many of our investors. Similarly, we have been focusing on things like instant SIP activation, digital KYC and distributo rs onboarding through mobile and a web application and the team has done a great job to ensure that all the application as well as the website is top of line. So another area where we are putting a lot of focus is the Fin -tech partnership. And we are looki ng at API integration to support their digital push also by streamlining the processes and improving the customer experience. So all of these initiatives show that as Vetri also pointed out that digital architecture as well as the framework will help the g rowth of mutual fund industry and UTI.

Vetri Subramaniam: And Meghna, just to add to what Sandeep said, just keep in mind that they are also trying to rejig their own business models because no doubt they have made a significant impact in terms of the number of clients that they bring, the new SIP signups that they bring. But I think they are also now trying to figure out where in this entire mix they will be able to get profitability from the clients that they are onboarding. So what we are seeing at this point of time is significant number of these digital platforms starting to rethink what their approach to business should be in terms of how they want to pos ition themselves, whether it will be purely direct or whether they also wish to have clients to whom they will offer incidental advice. So I think it is still evolving. We are very clear as Sandeep said that we need to have best -in-class digital assets and digital visibility because otherwise you will not be part of the consideration.

Moderator: Thank you. Our next questi on comes from the line of Abhijeet Sakhare from Kot ak Securities. Please go ahead.

 Abhijeet Sakhare: Hi, good evening everyone. So a question again on the VRS related point. I just wanted to know what would be the contribution of these 470 odd employees in our current staff cost on a full year basis? That would be the first question.

Imtaiyaz ur Rahman: Can you repeat your question please, Abhij eet?

Abhijeet Sakhare: Yes, Sir, like you mentioned, there are these about 470 odd employees who are eligible for this VRS scheme. Now, what I wanted to know is that on a full year basis of whatever your staff cost is, I am just checking the number , last full year, it was about Rs. 460 odd crores. What would be attributable

to these 470 odd employees?

Vinay Lokhatia : I can give the average payout of these 470 employees would be in the range of around 28 to 30 lakhs.

Abhijeet Sakhare: Got it, sir. And sir, secondly, just again reconfirming this point, when you make the provision in the 3rd quarter, this will be routed through the P&L itself, right?

Vinay Lakhotia: Yes.

Abhijeet Sakhare: And in that context, how do we think about the dividend payout for the full year?

Imtaiyaz ur Rahman: That is too early to comment. Let us see now how the year goes and how much people are applying for it and are accepting the VRS . Based on that we will give you the guidance in the 3rd quarter, at the end of the 3rd quarter.

Abhijeet Sakhare: Got it. That is all, sir. Thank you so much and Happy Diwali to everyone.

Imtaiyaz ur Rahman: As you know, we have got a very strong balance sheet, but the accounting requirement is it has to be charged in the same financial year. But we have very strong balance sheet.

Abhijeet Sakhare: Got it, sir. And sorry, I just forgot the question for Vinay, sir. How do we think about the full year tax rate for this year?

Vinay Lakhotia: The full year tax rate actually will be slightly higher in the range of around 26 -27. Because, as I stated earlier, this VRS cost will be amortized over a period of 5 years. The Indian Income Tax Act doesn't allow to be charged in the full year. So while there will be an expenditure, the tax rate will be slightly on a higher side. We will communicate the exact number when we announce our quarter 3 financial results.

Abhijeet Sakhare: Got it. Thank you so much.

Moderator: Thank you. Our next question comes from the line of D ivij Punjabi from Banyan Tree Advisors. Please go ahead.

Divij Punjabi: Yes, thanks for the opportunity. I had two questions. One was on the pension management business. You mentioned that there are four schemes being launched. And there are also a

 bunch of regulatory changes being done by PFRDA. So can you just talk about what these schemes would look like? What would be the realization and the size of the opportunity? And the second question is on the VRS. Out of these 479, if you can just maybe touch upon the function -wise split of the employees. So across sales and the other functions, how is it going to be spread out?

Sandeep Samsi: So the four schemes that we are planning to launch is, the first scheme is NPS Trust Account UTI-PF Wealth Builder NPS Equity Scheme. This will be based on equity. There are two schemes in this. There is a Tier 1 scheme and there is a Tier 2 scheme. The other scheme, which is on the dynamic hybrid side is the UT I-PF Dynamic Asset Allocator NPS Scheme Tier 1. Similarly, there is a Tier 2 scheme. As per the opportunity for this fund, I think it is still in the planning stage and by the time we launch it and the market conditions will determine the kind of inflows that we will see in this fund.

Vetri Subramaniam : So just to add to what San deep said, see the bigger opportunity is that we need to grow the market for the private NPS product. All that has happened with this set of regulations is that we have been given a lot more fl exibility in product design. So you are no longer carrying a very tightly regimented product to the customer. You have a plate which has got some more attractive opportunities or at least perceived benefits that people can see in those products. But I think the bigger chall enge still remains to grow the market in terms of getting people to sign up for the private sector pension.

Imtaiyaz ur Rahman: On the segmentation or classification of employees, we have two categories of employees, managerial staff and non -managerial staff. Out of 476, 351 are associated with the sales or sales -related functions. I hope it answers both of your questions.

Divij Punjabi: Yes, thank you so much.

Moderator: Thank you. Ladies

and gentlemen, we will take that as the last question for today. I now hand the conference over to Mr. Imt aiyazur Rahman for closing comments.

Imtaiyazur Rahman: Thank you very much to all of you for your active participation. Once again, on my personal behalf and behalf of my team here and the entire U TI, we wish all of you a very Happy and Prosperous Diwali and the New Year. Thank you and have a nice weekend.

Moderator: Thank you. Ladies and gentlemen, thank you for joining the call. In case of any queries, feel free to connect with the Ad factors investor relations team. You may now disconnect your lines.

Call: Apr 2026

Information Classification: UTI AMC - Public Ref. No.: UTI/AMC/CS/SE/ 2026 -27/0658 Date : 28th April , 202 6
National Stock Exchange of India Limited
Exchange Plaza Plot No. C/1
G Block Bandra – Kurla Complex
Bandra East Mumbai – 400 051.
Scrip Symbol: UTIAMC BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai – 400 001.
Scrip Code / Symbol: 543238 / UTIAMC
Sub: Transcript of the earnings conference call on financial performance of the Company
for the quarter and financial year ended 31st March, 2026
Dear Sir / Madam,
Pursuant to Regulation 30 read with Schedule III Part A Para A of the Securities and Exchange
Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 (the SEBI
Listing Regulations) and as per the relevant SEBI Circulars, we are forwarding the transcript of
the earnings conference call held on Thurs day, the 23rd April , 2026 at 1800 hrs IST on the financial
performance of the Company for the quarter and financial year ended 3 1st March , 2026.
The transcript of the aforesaid earnings conference call is also available on the Company's website
at www.utimf.com in compliance with Regulation 46 of the SEBI Listing Regulations.
Thanking you,
For UTI Asset Management Company Limited
Arvind Patkar
Company Secretary and Compliance Officer
Membership No.: ACS 21577
Encl: As above

Information Classification: UTI AMC - Private UTI Asset Management Company Limited
Q4 & FY '26 Earnings Conference Call
April 23 , 202 6

Moderator: Ladies and gentlemen, good day and welcome to the UTI Asset Management Company Limited
Q4 and FY '26 Earnings Conference Call.
From the managemen t, we have with us , Mr. Vetri Subramaniam - Managing Director and C hief
Executive Officer ; Mr. Vinay Lakhotia - Chief Financial Officer and Head (Corporate Strategy)
and Mr. Sandeep Sams i - Head (Investor Relations, Marketing and Corporate Communications).
We also have with us the Investor Relations team from AdFactors PR.
As a reminder, all participant lines will be in the listen -only mode and there will be an
opportunity for you to ask questions after the presentation concludes. Should you need
assistance during the conference call, please signal an operator by pressing '*' and then '0' on
your touchtone phone. Please note that this conference is being recorded.
Before we begin, I would like to mention that some of the statements made in today's
discussion may be forward -looking in nature and may involve risks and uncertainties. Please
note, the disclaimer mentioning these risks and uncertainties are on the disclaimer slide of the
Investor Relations presentation that has been shared earlier.
I would now hand the conference over to Mr. Vetri Subramaniam for opening remarks. Thank
you and over to you sir.
Vetri Subramaniam: Good evening, everyone. Thank you for joining us today on this call. Our financial results ,
presentation and press releases have been shared on the stock exchanges as well as on our
website and we trust you have had the opportunity to review them.
Today, I am joined by my colleagues, Vinay Lakhotia , CFO and Head of Strategy, and Mr.
Sandeep Samsi , Head of Investor Relations, Marketing and Corporate Communications.
Before I take this opportunity to provide you with a brief perspective on the market scenario,
our performance and our way forward, I would like to take a moment to thank UTI
Shareholders, Board and Trustees for the confidence and trust they have reposed in me in
continuing to build on UTI's legacy. Having been closely associated with this organi sation for
nearly a decade, I believe we have built a strong foundation across our investment capabilities,
distribution and technology.
Our focus now is to accelerate growth from this base to improve our growth and continue
delivering long -term value to all the stakeholders.

 Let me begin with a brief overview

of the macroeconomic environment and industry trends :
The year FY25 -26 has been a year of resilience in investor behavior, even as markets have witnessed volatility.
The key differentiator has not been the short -term movement in flows, but the enduring structural stability in investor behavio ur towards financial assets and of course, particularly mutual funds. Despite global uncertainties, whether in geopolitical developments, trade shifts or capital flows, India's fundamental growth drivers have remained intact. Domestic demand continues to be strong and the financialization of savings is clearly sustaining momentum. We have been seeing this clearly in the growth in Systematic Investment Plan investments.
Talking now about equities and mutual funds in particular :
On the industry trends :
FY25 -26 continued to witness strong retail investor participation, total mutual fund folios at approximately 27.39 crores as of March 2026. Retail mutual fund folios, equity plus hybrid and solution -oriented schemes increased to around 20.82 crores. The in dustry's average assets under management reached Rs. 79.46 lakh crores as of March 2026, demonstrating steady expansion driven by both market performance and sustained inflows. Retail AUM stood at Rs 42.89 lakh crores, and this underlines the growing contr ibution of individual investors to the overall mutual fund industry. SIPs continue to be a key driver of flows and investor discipline.
The monthly SIP contribution stood at Rs 32,087 crores in March 2026 while SIP AUM reached nearly Rs 15 lakh crores accounting for 19.94% of overall MF industry AUM. While there has been some moderation in inflows across certain categories in recent months, investor participation remains broad -based. Industry equity mutual fund inflows stood at Rs 40,4 50 crores in March 2026. This is remarkable and indicates continued interest in equities as an asset class inspite of intermittent market volatility .
Let me now move on to talk a little bit about our company’s performance and I will take you through performance highlights:
The Financial Year 2 025-2026 has been a year of strong execution across our core strategic priorities from strengthening retail flows, deepening distribution relationships, scaling our product franchise and investing in technology -led operating leverage. We have also undertak en several structural initiatives to strengthen the operating platform and expanded our geographic presence in a calibrated manner while maintaining net zero incremental costs by managing branch operations efficiently.
We have significantly improved our supervisor -to-feet-on-street ratio from approximately 1 :1 to 1 :5 over these recent years with one manager now overseeing around 5 relationship

 managers. Our total employee strength, which stood at 1,402 employees as of March 2024, is now at 1,248 as of March 2026.
Talking about the group :
UTI Group's total AUM stood at Rs 23.42 lakh crores as of March 31, 2026. Our mutual fund AUM reached Rs 3.88 lakh crores compared to Rs 3.39 lakh crores last year. In FY26, we added 7.16 lakh new investors as identified by their PANs, taking our total folio base to 1.38 crores .
During the year, our gross new SIP registrations crossed 14.5 lakh of which 76% were through digital channels.
On the product side, we successfully launched the UTI Multicap Fund which mobilized about Rs 1,000 crores with strong participation across banks, national distributors and MFDs. In addition, our UTI Arbitrage Fund crossed the Rs 10,000 crores AUM milestone during the year.
Our passive business continues to scale well with ETF AUM at Rs 18,963 crores and Index Fund AUM at Rs 5,934 crores , aggregating to Rs 24,897 crores during the year and we continue to maintain leadership position in the Smart Beta categor y.
We expect our momentum in this passive business will continue to be supported by a robust

pipeline of new launches during the coming year.
On the institutional side of our business, which falls under our PMS division, both the EPFO and CMPFO concluded the process of appointing new portfolio managers through an open bidding system. For the third consecutive term, UTI AMC was selected as one of the portfolio managers for EPFO.
In the case of CMPFO , we were chosen as one of the two portfolio managers for the second consecutive term. Both mandates have been awarded for a tenure of 5 years.
Switching to our pension fund business, our pension business grew during the year with total AUM at Rs 4.02 lakh crores , representing a 11.8 % increase year on year, while the private sector pension AUM grew by 46% year on year. This continues to remain an important strategic growth area for us. An important area of focus for us through the year has been digital transformation and productivity enhancement. Our digital business initiatives have delivered strong outcomes, including a 234% increase in revenue, 33% increase in transactions, and a 31% reduction in cost per transaction.
We recently launched one of the industry's first AI -powered contact centre solutions , VAANI , which has already automated 59% of our inbound calls. This has materially improved customer

response time and service efficiency. We also launched an in -app WhatsApp payment facility via C AMS Pay and are the first AMC in India to offer this service to investors to transact and engage in live chat via WhatsApp and make payments.

 To bridge the gap between complex financial insights and reach a diverse investor base, we also launched an industry -first AI -translated vernacular initiative with the launch of our monthly fact sheets in Hindi. We are also translating our fund manager com munications into eight regional languages – Hindi, Gujarati, Marathi, Bengali, Tamil, Telugu, Kannada and Malayalam – to provide our views in regional languages for our pan -India audience. As mutual funds go deeper and deeper into the heartland of India, w e think being able to provide communication in different languages will hold us in good stead.

From an investment performance standpoint, we continue to remain focused on process consistency and disciplined execution. In fixed income, 50% of our AUM ranked in the top two quartiles over the one -year period and 60% over the three -year period. Similarl y, our hybrid strategies and value -oriented strategies have continued to show strong long -term performance in the equity space.

Our passive strategies have a consistent track record of low tracking difference, which is very important in terms of the investor outcomes. Our equity research coverage has further expanded in line with the growth in the market. This strengthens our abili ty to identify opportunities across market segments.

Overall, FY25 -26 has been a year when we have strengthened our business across distribution, product capability, digital infrastructure, and institutional trust and I would add also a very significant people refresh.

Going ahead, our foremost strategic priority is to grow our mutual fund AUM while building a more resilient, diversified, and scalable franchise, all to be done while maintaining strong cost discipline.

With that, I will now request Sandeep to take you through the operational and financial performance of the company in detail.

Sandeep Samsi: Thank you sir. I will speak about UTI AMC's performance during the 4th Quarter and for the Full Year ended 31st March 2026.

Speaking about UTI Mutual Fund's performance:

UTI was able to capture a market share of 5.5% of the gross sales of the industry during this quarter and market share of 6.1% of the gross sales for the financial year FY26.

Our equity quarterly average AUM for March 2026 stood at Rs. 95,824 crores, rising by 5.46% as compared to the quarter ended March ‘25. Our quarterly average AUM for the inde

x and

ETF funds stood at Rs. 1,76,673 crores, up by 24.86% in the 4th Quarter . ETF and index funds' annual net inflow stood at Rs. 24,897 crores. In FY25 -26, we added 7.16 lakh new investor PAN s, taking our total folio base to 1.38 crores.

 Our SIP AUM witnessed a growth of 5.91% over the corresponding quarter of last year, reaching to Rs. 39,813 crores as of March ‘26. The SIP inflows for the 4th Quarter stood at Rs. 2,457 crores. The SIP gross inflows for UTI mutual funds witnessed a year -on-year growth of 13.42%, with an average SIP ticket size being Rs. 3,381 for March 2026.

For the full year, SIP inflows were Rs. 9,442 crores, higher by 13.42% as compared to Rs. 8,325 crores in FY25. The active SIP folios as on 31st March 2026 stood at 29.53 lakhs, a 9.71% growth as compared to March ‘25.

Speaking about UTI AMC's financials:

On a standalone basis, the core income i.e. sale of services for FY26 amounted to Rs. 1,255 crores as compared to Rs. 1,180 crores for FY25. The normalized core PAT for FY26 is Rs. 460 crores as compared to Rs. 447 crores in FY25. The normalized PAT for FY26 is Rs. 643 crores as against Rs. 653 crores in FY25. The employee cost of Rs. 437 crores includes the one -time item on account of revision of family pension benefit of Rs. 25 crores incurred in Q2 FY26. Excluding this one -off item, the normalized employ ee cost is Rs. 412 crores.

On a consolidated basis, the core income sale of services for FY26 amounted to Rs. 1,539 crores as compared to Rs. 1,445 crores for FY25. The normalized core PAT for FY26 is Rs. 452 crores as compared to Rs. 492 crores in FY25. The normalized PAT for FY26 is Rs. 511 crores as against Rs. 731 crores in FY25. The employee cost of Rs. 553 crores include the one -time item on account of revision of family pension benefit of Rs. 25 crores incurred in Q2 FY26. Excluding this one -off item, the normalized employee c ost is Rs. 528 crores.

On UTI Pension Fund Limited, our 100% owned subsidiary UTI Pension Fund Limited has recorded a growth of 12% year -on-year in its AUM , reaching Rs. 4 lakh crores as on Q4 FY26 and currently it manages 24.36% of the NPS industry's AUM .

UTI International, which represents our international business interest, has an AUM of USD 1.74 billion i.e. Rs. 16,144 crores as of 31st March 2026. Our international clients are in more than 30 countries and they are primarily institutions, pensions, insurance companies, banks

and asset managers.
One of our flagship fund, the India Dynamic Equity Fund, domiciled in Ireland, has an AUM of USD 540 million i.e. Rs. 5,012 crores as of 31st March 2026.
On UTI Alternatives, it has an AUM of Rs. 5,280 crores. It currently manages five active funds across performing credit and multi -strategy themes. Structured Debt Opportunity Fund -II has exited all the investments and made the final distribution in Q3 FY26 at an above benchmark performance with an IRR of 13.4%. UTI SDOF -III has an AUM of Rs. 609 crores and the fund is currently in the investing stage.

 During the 2nd Quarter , UTI Alternatives launched the fourth fund of the SDOF series. This fund has been planned as a Rs. 1,500 crores fund plus with a Rs. 500 crores greenshoe option with a current AUM of Rs. 674 crores. UTI Multi -Opportunity Fund -I has an AUM of Rs. 1,598 crores. Currently, the fund is in the investing stage.
UTI Real Estate Opportunity Fund with its commitment of Rs. 187 crores is currently in fundraising and investing stage.
I would now request the Managing Director and CEO for his concluding remarks.
Vetri Subramaniam: Thank you, Sandeep, for sharing the operational and financial updates of the company. I am also pleased to inform you that at the board meeting today, UTI AMC has declared a dividend of Rs. 40 per share for the Financial Year '25 -26. The same is subject to the approval of shareholders at the ensuing Annual Ge

neral Meeting. We would like to open the forum for questions and answers.
Thank you very much.
Moderator: Thank you very much. We will now begin the question -and-answer session. We will take our first question from the line of Gaurav Jain from ICICI Prudential Mutual Fund.
Gaurav Jain: Thank you for the opportunity. My question is on the expenses side. There is some one-off you called out in Q4 FY26, but I could not understand the thing completely. But then, on reported numbers, what we are seeing is year -on-year there is a sharp increase. So, if you can help us understand what is the one -off and for FY27, how should we build or think about the employee expense and also the other expenses bit because if you look at FY26, I don't think there is much one-off in the other expens es bit. That for the full year has also grown 15%, which is on the higher side. So, if you can help us understand, how should we think on both from FY27 perspective?
Vinay Lakhotia: Yes. Hi, Gaurav. Vinay here. So, on the employee cost, there is a one -off on account of VR S and family pension. The total quantum of that is close to around Rs. 130 crores that we provision in the Q3 of this particular financial year. Plus, on account of Labo ur Code , there has been an impact of close to around Rs. 4 crores as well, because we have to provide for an additional liability of Rs. 4 crores . So, total employee cost that you see is close to around Rs. 412 crores at a standalone and Rs. 528 crores at a consol level (excluding Rs. 25 crore of one -of expenses for revision of family pension, incurred in Q2FY26) . In terms of guidance for the next financial year, because obviously there will be a benefit on account of VR S, the run rate on a quarterly basis should be around Rs. 90 crores to Rs. 95 crores for the standalone entity and Rs. 125 crores to Rs. 130 crores on the consolidated firm. Obviously, because we are building capacity expansion into all the three lines of business. With respect to the other expenses, yes, it has increased at 15%. And I would say some of these items are not actually a cost, but as an investment that we are doing in our business, both on the digital front as well as on the physical front. On the digital front, we have upgraded our IT infrastructure, especially with respect to the cloud infra. And

 because of that, there is an additional expense line -item of close to around Rs 8 crores . And on the physical part, since we have expanded close to around 90 UFCs in the last one and a half years, that has obviously increased our costs . The guidance for the other administrative expenses, it should increase close to around 7 % to 8% for the standalone entity and maybe 100 or 200 basis points more for the consol entity. Since for UTI Pension Fund , we are expanding into newer geography. So, for the consolidated one, it could be in the range of around 10%. And for the standalone, it's around 8% for the other expenses. Gaurav, does that answer your question?
Gaurav Jain: Yes, sir. Just one follow -up on the employee expenses. So, basically Q4, when I am looking at the consolidated employee expense, it is Rs. 132 crores . That is the normalized run rate, what you are saying, post VRS, and there is no one -off in this.
Vinay Lakhotia: Yes, for Q4, there is no one -off in this .
Gaurav Jain: In that case, sir, on a year -on-year basis, at the consol level, even after VRS, we are at a 14% increase, right? I mean, Q4 to Q4, Q4 FY25, our employee expense was Rs. 116 crores . Q4 FY26, we are at Rs. 132 crores . So, that has still grown at 14% even after VRS.
Vinay Lakhotia: Yes, the sum is on account of additional provision on variable pay and quarterly incentive. And as I told you, at the consol level, since we are expanding into all the three lines of business, there have been additional recruitment in all three. That is why it is increasing.

Gaurav

Jain: Okay. Sir, my next question is to Vetri Sir, that post taking over as CEO, if he can help us understand what are the three - four areas or aspects that he plans to work on for the coming year, and what is his roadmap that he wants to guide us for, how he wants to run the company from here. That will be helpful, Sir.
Vinay Lakhotia: So, Gaurav, before that, let me clarify the run rate. For standalone, it's close to around Rs. 90 crores to 95 crores per quarter. And for the consol, it's around Rs. 125 crores . Over to you Vetri.
Vetri Subramaniam: So, as I said in my opening statement, Gaurav, I think, from our point of view, the company has carried out very significant refresh of its platforms, of its technology , of its infrastructure , of our reach in terms of the branch expansions that we have done. So, if you ask me what is the single -line agenda, the single line agenda is growth. You know, we are operating with roughly 270 branches. I gave you the employee count, which is now in the 1200 number . And if I look at all of these n umbers put together, I would say we are operating below our capacity. So, the simple target over the next few years is to grow, is to grow faster than certainly our peers in the Top 10 of the industry, such that we can start to get the benefit of the operating leverage that is now already built in because we have absorbed a lot of those costs. From a people point of view, I mentioned in my opening comment, there has been a significant refresh in terms of the people and also I would say over the last few yea rs, there has been a dramatic transformation. If I just look at the age group of what we call our frontline cadre, the average age of the team has dropped from 41 years in FY21 to 36 years in FY26. And Gen Z now makes

 up 38% of the workforce. And if I go back five years, it used to make up 5% of the workforce. So, there's a very dramatic people refresh, which has taken place. My sort of callout to the internal team is to make sure they are well equipped, they are trained, they have best -in-class support, be it from our data platform, be it in terms of technologies available to them, to be able to raise their productivity and their efficiency, so that we can raise our share of gross sales, net sales, and achieve a much higher level of AUM wit hout in any way having to add further costs on the people front, particularly within the context of the MF business. So, the single line agenda is growth. If I were to drill down into the second line agenda, it would be to sort of grow our share of SIPs di sproportionately, because I think that is the key to growth, particularly on the active equity side of the business. And we know that is a much higher yielding part of our business mix. And clearly on top of these two, all the technology refreshes that we have done are allowing us to engage effectively with the young cohort and in the digital space. You know, if you look at the new SIP signups, which are happening, I would say given on which data point you look at, more than 50% of the SIPs are now originat ing digitally. So, all the investment that we have made in digital is something that we hope to use once again to be able to increase our growth rate. But single line agenda, grow the business. Second, manage the cost, increase the efficiency and use all the other tools that I mentioned.
Gaurav Jain: Very helpful, sir. Thank you, and all the best. Thank you.
Moderator: Thank you. Next question is from the line of Naman Maheshwari from Shanghvi Family Office . Please go ahead.
Naman Maheshwari: Okay. So, very well captured on the single focus of growth as an engine. Since last three, four years, we had not witnessed a sharp correction led by so many headwinds into the market. But this could have been a good time to acquire customers, right? March to some extent was pretty risky for the overall equity m

arket. So, how did we see the customer acquisition going during this time? And what were the major schemes that are engaging interest of SIP buyers? Also, do you collect the data of first time SIP buyers with you? Or how do you track that if you could give some light on that? So, those are some questions.
Sandeep Samsi: Yes, so, Naman, you are right, there was a lot of volatility, which came into the market. And we are very happy to see that investors have been consistent in their SIP. While generally, March sees a higher number of SIP closures, because you know, people achieve the target, peop le have started their SIP in the month of April and close it in the month of March. But overall, there was not a very high amount of redemption pressure that the mutual fund industry saw. You had asked a very interesting question on how do we track the fir st time SIP investors. And we track them on the basis of the PAN numbers that we have. And as both Vetri and Vinay mentioned that we have invested a lot in the digital infrastructure. So, we have now created a complete data lake. And we get to know each and every investor whenever, he or she comes in and start their folios, we get their entire database. So, we know that whenever there is a new customer who's coming, all the data that they have. The major scheme that the first -time investors generally look at are the index funds. And we have seen good traction, especially

 from the fintech platform for the Gen Z investors. And they generally take their first investment at around Rs. 1000 - Rs. 1500 SIP.
Vetri Subramaniam: This is Vetri here, just to add to what Sandeep said, one of the numbers that we are now

tracking closely, and we are also putting that into our sales m etrics so that we know what those numbers are, and we know what strategies we can use to drive it is the new customer acquisition, which to us basically means, are we getting a customer with a PAN number, which we earlier did not have in our MF folio base. So, the idea is to target that number. I mentioned that last year, we added 7 lakh P ANs. So, this year, we are targeting to grow that number significantly. So, a lot of the activities that we are doing in the digital space, as well as on ground including B30 cities, etc ., as an example, women investors as an example, is to widen that pool, because that has been our historic legacy. But also, we think that is a great way to create the customers, who as they grow, you will grow with them. What we also have now with our salesforce marketing automation is the ability to communicate with these clients using our salesforce marketing automa tion and being able to cross sell and upsell opportunities to them. We implemented the salesforce marketing automation sometime in the middle of last year, early days at this point of time, but we are starting to see that driving engagement with those customers helps you make them think through their investments better and also gives you that opportunity to upsell and cross sell. So, new customer acquisition is certainly a key part of that. And now with digital, there is an ability to target and communicate appropriately with them to raise your share of AUM with them .

Naman Maheshwari: And actually, I didn't mean to ask you from this SIP stoppage, actually, I wanted to understand that did you witness any sharp inflow from first time SIP doers in the market was in March, when there was extreme volatility? So, did that help you fast track some customer acquisition by educating them rightly, because we have a very strong feet on street, right? So, that is what I wanted to understand. That did it accelerate during this volatility window, right?

Sandeep Samsi: Not so much, because sometimes, sharp market correction also pause people's thought processes. Plus, March, as I mentioned, is a period when people look at SIPs and renewing their SIPs. So,

however, one good factor that we saw that when in the month of February, the number of new SIPs which we opened were quite good. So, even in the industry level, but industry level, the numbers were slightly lower, we did better than the industry in that sense. So, volatility has been helping in terms of ge tting new investors because now they look at the market being at a lower level and starting their SIP, but not so much in the month of March itself. So, maybe because of the sharp volatility which we saw in the market.

Vetri Subramaniam: So, again, Vetri here , I don't think there's a specific call out on March per se. But you know, we track our SIPs, which are sort of, let's say, cancelled or seized vis-à-vis the total SIP book, and the new SIPs that we are adding. And we also compare how are our performances relative to the industry, because the same number you also get from AMFI . I would say in general, we have seen our numbers have been slightly better in recent months. But I would not call out something which is parti cularly distinct in terms of a trend.

 Naman Maheshwari: Okay, sir. Fairly understood. Congratulations and all the best for the upcoming quarters.

Moderator: Thank you. Next question is from the line of Meghna Luthra from Incred Equities . Please go ahead.

Meghna Luthra: Thank you, sir, for giving me an opportunity. Sorry I joined you a little late. I am not sure if these questions have been asked. What would, I mean, can you please explain the impact of the revised SEBIs new norms from 1st April?

Vinay Lakhotia: So, the TER on account of exit load has been cut by five basis points. And obviously, there have been some rationalization in the base TER as well. But as a fund house , we are of the view that whatever impact is there, that will be passing on to the intermediaries. So, we don't foresee any challenges as far as this rate cut is concerned on our AMC yield.

Meghna Luthra: Okay. Got it. And sir, secondly, what do you see as the yield impact going forward for the year?

Vinay Lakhotia: So, it's a combination of actually what are the assets mix is as well. So, maybe a basi s point or two dilution could be there because ETF and index fund is going at a slightly higher yield. And on the fixed income side as well, there is a stronger appetite for a low -duration product, which has a slightly lower yield as compared to a high -dura tion or a credit -yield fund. So, maybe a basis point or two dilution in the overall yield number per se for Financial Year 26-27.

Vetri Subramaniam: Sorry, just to add on th at, Vetri here. You know, from my point of view, the most critical line to grow is the revenue line. Of course, I would like my higher -yielding products to grow faster. But eventually, from our point of view, there is a cost base that we have. And anything that helps us grow the top line faster, we are happy to take it. There is a separate challenge of can we raise our share of higher -yielding products relative to what we have in passive. We know our share of passive as a percentage of our total AUM is much larger than some of our peer groups. But managing yield for the sake of managing yield is not a thing that I am in favo ur of. I would rather manage revenue. But yes, ce rtainly we would like to raise our share of net sales coming in from active equity schemes.

Meghna Luthra: Got it. And sir, on the employee front, are we seeing this as a normalized run rate or how do we see employee costs from here on?

Vinay Lakhotia: So, given some guidance on the employee run rate going forward, at least for the standalone

entity, it's close to around Rs. 95 crores per quarter. And at a consol , it will be closer to around Rs. 125 crores per quarter. Higher on the consol side because we are building capabilities in all our subsidiary lines of business.
Meghna Luthra: Got it, sir. And lastly, sir, on the pipeline o

f the products, what is there for the coming quarter,
sir what can we expect?

 Sandeep Samsi: Yes. So, we are going to file multiple passive funds with the regulator. And n ow we have received the board approval. So, some of the funds that we are going to file with SEBI are UTI NIFTY 500 Index Funds , both on the index side and the ETF side, UTI B SE Index Sector Leaders , again, both on index and ETF, UTI NIFTY India New Age Consumption , and UTI NIFTY India Internet Fund . So, these are the four funds with both index and ETF side.
Vetri Subramaniam: I can just add to what Sandeep was saying. Our focus has been only on the core diversified categories, which is why you see even in the last, I would say, three, four, five years, we stayed away from launching a flurry of sector and thematic funds. We are continuing to be guided by that principle. We will launch in the passive the full bouquet because we think of those as access products, where from our point of view, we are providing access to themes and sectors which investors are welcome to take and purs ue. But in the diversified space, we have covered the core categories and there's no interest in doing anything beyond that. We do plan to, however, launch at least one fund in the SI F category during this current year. It's a process in terms of getting all the board approvals and regulatory approval and I think if you see the industry data, it is clear that there has been some action in SIF, but it's not that the growth over there has been particularly dramatic. But we think we have one or two good produc t ideas and certainly we would like to launch one of them during the current year. So, I think that would be the target over there. Separately, we have also received permission from the IFSC, which is GIFT City. We already had our subsidiary, which is UTI Alternatives had their license in the GIFT City, but that was for wholesale, what they call a Non-Retail FME license. We have now just last week received the approval for Retail FME. So, we will intend during the course of this year to also use GIFT as a two -way solution, both for partnering products which domestic investors might want to invest overseas, as well as providing vehicles in GIFT City for global investors who might want to invest through that ro ute into our domestic funds.
Meghna Luthra: Okay, got it. And so lastly, on the float front , what would be the share of the banking channel in total equity and hybrid?
Sandeep Samsi: Just give me a second, Meghana. The share would be about 1.5% .
Moderator: Thank you. We'll take our next question from the line of Mohit Mangal from Centrum Broking. Please go ahead.
Mohit Mangal: So, actually, I was looking at your PPT and I was actually a little surprised that your equity net flows both on quarterly and yearly has been kind of negative. Though from 2025 to 2026, we see some kind of moderation. So, what are our strategies to improve the net sales within the equity space? Our hybrid is doing well, that is fine. But within the pure equity space, what can we do to increase our market share as well as bring it in the positive territory ?
Vetri Subramaniam: Yes, so let me answer that , Vetri here. There are two key things you need to do. One is, of course, as I mentioned earlier, we need to raise the SIP book, right? So, that is the key metric for our sales team now to raise the SIP book. And that is where I believe you will be able to build the most sustainable level of both flows as well as over time, it builds into a lot more

 stable AUM . So, that is point number one. Secondly, when you look at that net flow number, you are absolutely right. Year b efore last was usually negative. Last year, the negative number came down. This year, it was I would say almost close to zero. Now, this reflects the fact that some of our strategies have seen large outfl

ows over the last few years. See, this is really a
question of repositioning the sales team in terms of saying, how do we take multiple products to the market? And how do we make sure t hat we are able to simultaneously sell and bring in net sales from different schemes? So, one of the things we are happy is that this year, we were able to, if you look at our sort of core, what we would call 19 funds, eight of them actually saw positive net sales. And we have now reached a situation, where unlike in the past, where maybe one or two flagship schemes dominated the entire inflow, we are trying to diversify the inflow across the entire basket of funds that we have. Very simply, I would say everything from value to GARP in the middle and quality growth. So, from my point of view, th e only way to avoid the cyclicality which is otherwise inherent in this business is the fact that your flows are pro -cyclical to performance. So, I would like to dial that down by making sure that we have competent silos for each of these different sort of strategies. So, then all market strategies, the salespeople are able to take some performing products. And equally what I am increasingly seeing in this marketplace, is that a fair number of distribution, as well as other investors are also open to seeing where is the opportunity for me to participate in a fund which maybe currently is

suffering because market conditions are not favo urable, but where perhaps something might change to my advantage in the future. So, what we are trying to double down on is training the sales team and empowering them, making sure that they are able to carry multiple products to the market, rather than the firm be reliant only on a narrow set of funds. So, that's the way we try to diversify. And that is what along with the SIPs, I think will hopefully let us turn the corner and increasingly build it into a sustainable number.

Mohit Mangal: I understood. This is helpful. I was actually looking at, I mean taking this forward, and I was looking at your employee number, your employee number has reduced, but your sales team has kind of increased. So, that is something basically within your strategy to increase your net sales. I mean, should we refer to it that way?

Vetri Subramaniam: Sorry, will you repeat that question?

Mohit Mangal: Yes. So, basically, I was looking at your number of employees, your number of employees were around 1400 in Q3, that got reduced to 1250 -odd, but your sales was around 775. But that's around 799. So, I mean, just wanted to understand that you are increasing your core sales team members, but at the same time reducing your overall employee strength as well. So, that's the right way to look at ?

Vetri Subramaniam: That's the right way to look at it. Because I think historically, if we look at our workforce, I won't just say Q3, but if I go back a little bit in time, the ratio of people who are actually responsible for bringing in business relative to those who are in, let's say, corporate related functions wh o are not really people who are bringing in the money, that ratio was not a very favo urable ratio for us. So, what we are trying to do through all of the people refresh that I mentioned is

 essentially correct this . Of course, there will always be a large investment team, there will be a large assurance related team , obviously, the CFO and those kinds of control functions as well. But it needs to be more balanced than where we used to be. Having said that, I don't see the RM count going up too much further from here. I think we have reached a stage where with 260 odd UFCs as we call it, I think we are pretty much fully staffed to the extent we require.

Mohit Mangal: Lastly on the international piece , basically it was not a good year and also the last quarter was not a good. We had strategies earlier as well to grow this piece as well , going forward

in to FY27

should we look at this subsidiary?

Vetri Subramaniam: To put it very simply, this is a little bit of a schizophrenic view on India, domestic investors hugely positive, hugely committed to investing for the long term and then you see a completely opposite viewpoint with global investors where they are pulling money out of India, right, left and center and rotating it to every other developing market and, of course, to develop ed markets. So, this is a freight train that we can't do much about because appetite for India is a function of many, many things. So, when you see, I think if you look at Calendar ‘25, and just the 1st Quarter of the Calendar ‘26, effectively foreigners have pulled out $40 billion out of India. So, our international business honestly is just feeling the pain of that outflow front and center. We are looking at sort of trying to diversify that AUM. We did launch a government bond ETF saying why do we only have equity products, we should also have bond products. But it doesn't help when your currency drops 9% over the year, and then your bond investors also end up with a hugely negative return. So, it's just been a very, very difficult market to position India right now with global investors. But I have seen this time and again, it's a cyclical business. There are points in time where nobody is interested in the country, and there are other points where they want to bring the money back in a flood. So, right now, I would say it's just to hold our ground. And where possible, we are looking to bring in some of our institutional clients into our alternative products. So, we actually started this last yea r itself. But you know, it takes a while to get global investors completely to understand the domestic alternative product. Thankfully, UTI Alternatives having return ed money on two of its strategies during this year has a solid track record. So, I am hoping whatever traction we see in the alternative space will help the international business sort of overcome some of the headwinds in their P&L account. But the larger challenge of India being seen negatively is a headwind that we have no way of overcoming r ight now.

Mohit Mangal: And this should make sense. Lastly, on SIF, basically I mean, if you can just elaborate on how do you see this piece and will the yields be similar to that of mutual fund? A little bit on that would be helpful.

Vetri Subramaniam: I think too early to call that out. I think if you can do something which is genuinely differentiated in terms of risk and reward to the investor, my intention would be then to price that at a superior yield to the mutual fund. But if you are offering some thing which is more in the nature of a plain vanilla structure, which is only slightly differentiated from the traditional MF product, then your yields may not be different. So, I think it's still evolving. There's a whole series of long

 short opportunities which are available in that SIF space. Some of them over time, once we have the ability to execute them in a way that it makes a material difference to the investor, right? I mean, I can charge higher fees if the investor ends up with a risk -reward ratio or with a

return which in his mind is superior to what he's getting from the MF product, then of course, I would like to earn a higher yield. But I think it's still very early days over there to give you a guidance on that. But if I can offer a product with superior risk return, long sho rt, etc., of course, I would certainly like to retain a higher yield for myself.
Mohit Mangal: Understood . So, are we kind of exploring that area, is there anything in the pipeline?
Vetri Subramaniam: I think the first product will be just a little bit more than a plain vanilla product, and so, I would not expect it on the first product. But we are trying to launch some in that long short space over time, an

d it is still in the testing phase which could use quant. If we launch that successfully and we are able to build a track record, then certainly we would like to position that as a differentiated product and we would like the bene fit of that to reflect in our yields. But if you just look at the market, I am sure, you will be able to see the data yourself, I think it is in the very early days, this space is still evolving in terms of what does the product offer and does it really meet the need of the investor which the traditional mutual fund product is not able to offer. I don't think we have solved this both ways. I think the whole industry is trying to figure this out .
Mohit Mangal: Right. No, I think that's helpful and very clear. Wish you all the best, sir.
Moderator: Thank you. Next question is from Vijaya Rao from BOB Capital Markets. Please go ahead.
Vijaya Rao: Yes. Thank you, sir. Please provide us the yields breakup of the segment, equity, debt, liquid and ETF. And secondly, your funds are a little underperforming. What are you doing in this respect so that your overall A UM grows a little smartly? These are two questions from my side.
Vinay Lakhotia: So, Vijaya, I will provide the yield breakup. Equity and hybrid is 75 basis points. ETF and index fund put together is around 8. Cash and arbitrage around 10 basis points. And income fund is around 18 to 19 basis points. So, combined put together, depending on our asset mix, is weighted average yield is around 32.
Vijaya Rao: Yes. And the second question, sir, can you give color on how your funds are performing? If not, then what are you doing to have more funds in the first quartile?
Vetri Subramaniam: Well, I would love to do anything if you have ideas about how I could get all the funds into first quartile simultaneously. But I am not sure, having been a fund manager for many years, that there is any easy way to do that. But I look at it now from a business angle. And from a business angle, I am saying that I have got to make sure that I have got funds which are ring -fenced for different market seasons. Because what will be the market season which will cause a fund of a particular market cap, a fund of a particular style to do well, what season it will be is not in my control. But what I can d o is make sure that my strategies, either by number or by AUM, though

I can really control number, not AUM, are distinctly positioned from each other. So, that is something that I think we have established quite well in terms of saying what is in our value - oriented strategies, what is in our blended strategies, what is in our quality growth strategies. I would only say our biggest problem has been more in th e quality growth, which to my mind is more a function of the season of the market. Of course, there are things that we could have done better in terms of stock picking. That's a continuous process. But essentially, the season did not match what those funds were trying to do. In the GARP side, which is the blended side, you could say there is some scope to improve execution. Those are tinkering that we continue to do. But I feel very positive that maintaining this diversified set of funds which are operating across the spectrum may not result in all my funds being in top quartile at the same point of time. But at the same time, it gives me a platform which is a lot more susta inable through market cycles. So, I think that's a conscious choice that we have made, that we would like the platform to be diversified. We will tolerate the cycles that come. We will back our fund managers through the cycle. We engage with the marketplace to explain how these funds are differently positioned. We engage with the market to try and explain to them how they can exploit the positioning that we have developed for each of these funds to be able for them to meet their investment goals and their a spir

ations. So, to my mind, that's the way to do it rather than saying that I would like all the funds to be in top quartile. What I have seen as a fund manager, if you aim for the first quartile, you will get there at some point of time. But when the market season reverses, it directly causes you to swing to the back foot. So, I am approaching this as a business platform and saying, how do I build diversity across my platform, which will make my business less cyclical and more sustainable .
Vijaya Rao: Yes, true, sir. Very helpful. I was more inquisitive about the measures you are taking. Yes, that's helpful. Thank you so much.
Moderator: Thank you. Next question is from the line of Mahesh A, an individual investor. Please go ahead.
Mahesh A.: My question is to Vetri Sir. So, I want to understand more of balance sheet perspective. We hold almost Rs. 4,000 or Rs. 4,500 crores of cash and investment on our book at consolidated level, and this equals to almost 35 % - 40% of the total market cap . And when I look at the listed AMCs, this is significantly on the higher end. So, I want to try to understand, how do you look

at this investment and cash flow from a strategic perspective? And is there any way you are planning to create value for shareholders through this part of the balance sheet, as in any buyback plans given the val uations are on the lower side and also the latest buyback reform announced in the budget. So, how do you see this significant portion of our balance sheet?

Vetri Subramaniam: Yes. Okay. Thanks, Mahesh. Well, I mean, we have that amount of cash on our books also because we are a very old institution, and we have built up that balance sheet over time through the good work that we have done in terms of serving investors, and that's where that cash balance has come from. But as you would be aware, in recent years, whatever we are generating in terms of profits, we are pretty much paying that out in large measure back to the shareholders by way of dividend. So, we will continue that policy. There is no need to add to

 that cash pile. But we also believe company of our kind, there is a need to have some investment or rather some liquidity on the books, some cash on the books. There could also be opportunities down the road in terms of M&A, etc. So, we will not add to that cash in the future because we will keep dividending out. But no other plans to do anything dramatic with the cash at this point of time.

Mahesh A.: Okay. And just to follow up on the dividend side, the last couple of years, we declared some special dividend as well in addition to regular dividend. And this year, I believe it's all the regular dividend. But going forward, do you have a guidance on a percentage of profits that we intend to declare as dividend? Or is it volatile that we saw in the last couple of years? So, how do you give guidance on the dividend policy going forward?

Vetri Subramaniam: Well, if you look at the trend line, I am not discussing policy. But if you look at the trend line, I think including what we have just announced today, which is Rs. 40, I think roughly we are at about 95% almost in terms of a trend line. I think that's a good way to think about it. The trend line itself is suggestive of --our basic view that there is no need to add any more cash on our books. We have enough liquidity for any corporate optionality that we might want to preserve. Anything t hat we generate in the businesses, we are happy to just give it back to shareholders. This is not a capital -intensive business.

Moderator: Thank you. Next question is from the line of Mandira A from Inves co. Please go ahead.

Mandira A.: So, I joined a little late. Could you help me with industry is reaching approximately Rs. 80 lakh crores. How is UTI positioned to capture the larger share and expanding its pie?

Sandeep Samsi: We are very happy that the industry is rea

ching new milestones and that just reinforces the belief that people have in the mutual fund penetration and in mutual funds overall. For us, we are focusing on three key growth areas, we will continue to deepen our retail participation particularly in SIP s for the long -term flows and at the same time we will not only reach out to the metro cities but also strengthen our distribution in the B30 cities and the emerging markets. And as Vetri mentioned, we are focused on broadening our equity funds to ensure that at any point in time , some of the funds are able to cater to the requirements of the investors. We also mentioned that we are very strongly investing in our technology as well as in process improvement, and therefore, also in our communication. So, we are well poised to lead and create new possibilities to participate in this growing mutual fund jour ney. And as we discussed that we are also looking at launching new passive funds so that investors can achieve their lifecycle goals. Does that answer your question, Mandira?

Mandira A.: Got it. And secondly, what trend are you seeing in investor behavio ur during the volatile market? Is there any change in the ticket size or the participation pattern?

Sandeep Samsi: Yes. So, as we discussed that we have seen over a period of time that investors have become more resilient , and they understand that this cyclical or volatility which is there in the market will go away eventually. And they believe in the long -term growth story of India. So, we don't

 see so much of redemption pressure that we used to see in earlier years because the investors are now aware how these markets are functioning. Having said that, March is generally a period when you see a lot of SIPs getting closed because of multiple reasons. One is peop le start their SIPs in the month of April, and their natural cycle closes in the month of March. People look to change their SIPs because they would have done some portfolio readjustment. So, those things will always happen and that will sho w a higher redemption of SIPs in the month of March. But overall, if you look at the trend and especially if you see the month of February, the trend has been very encouraging where we saw a drop in the number of SIPs which w ere being stopped at the industry level. And that number was even better if you look at the UTIs overall SIP boo k.

Mandira A.: Got it, sir. That was really helpful. Thank you.

Moderator: Thank you. Next question is from the line of Prisha Shah, an individual investor. Please go ahead.

Prisha Shah: Good evening, sir. I just have one question basically on the industry s ide. So, we have been seeing there's a lot of competition in this AMC space with Fintechs and everyone coming with their products now. So, in such a competitive environment, how are we seeing the key distribution on UTIs and is there any sustainable visibility over there?

Sandeep Samsi: Yes. So, if you look we have been doubling down on our distribution, especially with the banks as well as with the Fintechs. And these are two segments which are growing and especially the Fintechs because there are a lot of new Fintechs which are coming, and the younger generation find it very easy to invest through a Fintech platform. So, we have increased our engagement with them and we are seeing good traction coming especially from the Fintech platform.

Prisha Shah: Yes, sir. That answers my question. Congratulations on the good set of numbers.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I now hand over the call to Mr. Vetri Subramaniam for closing comments. Over to you, sir.

Vetri Subramaniam: Thank you for that Yashashri . Thank you, everybody, for joining us here on this call today. I hope we have been able to provide you an insight into what our thoughts are and how we are looking to move ahead in the future and l

ook forward to engaging with you again next quarter.
Thank you.

Moderator: Thank you, sir. Ladies and gentlemen, thank you for joining the call. In case of any queries, feel free to connect with AdFactors Investor Relations Team. You may now disconnect your lines.